

Information Agenda

Date: Friday, 22 August, 2025

Elected Members: His Worship the Mayor Vince Cocurullo
Cr Gavin Benney
Cr Nicholas Connop
Cr Ken Couper
Cr Jayne Golightly
Cr Phil Halse
Cr Deborah Harding
Cr Patrick Holmes
Cr Scott McKenzie
Cr Marie Olsen
Cr Carol Peters
Cr Simon Reid
Cr Phoenix Ruka
Cr Paul Yovich

For any queries regarding this meeting please contact
the Whangarei District Council on (09) 430-4200.

1. Information Reports**1.1 Tikipunga Artificial Turf and Lighting****3****2. Public Excluded Business**

Tikipunga Artificial Turf and Lighting

Agenda: Information Agenda

Publish date: Friday 22 August 2025

Reporting officer: Deva Howat (Acting Manager | Community Infrastructure Projects)
 Sarah Snowden (Sport Development Officer)

1 Purpose / Te Kaupapa

The purpose of this information agenda is to provide an update on the Tikipunga Artificial Turf and Lighting project.

2 Background / Horopaki

Through the 2021-2031 Long Term Plan process the funding of a new No1 field at the Tikipunga Sports Park was funded (to build a new football field with irrigation, drainage, and lighting).

The tender for the construction contract closed in November 2023. The project did not progress because the construction costs exceeded the available budget.

At the Long Term Plan 2024-34 Deliberations - Whangarei District Council Extraordinary meeting (29 May 2024) a recommendation was approved to:

Progress the development of the Tikipunga Sports Park Turf Development by:

- a. Supporting the business case for artificial sports turf surface; and*
- b. Including an additional \$50,000 operating expenditure in year 1 of the Long Term Plan for producing a business case; and*
- c. Including an additional total of \$2.5m capital expenditure, to be split \$2m in year 2 and \$500,000 in year 3 of the Long Term Plan for the development of an artificial sports turf; and;*
- d. Including \$30,000 operating expenditure for the maintenance and operation of the artificial sports turf in years 3-10.*

A business case was undertaken in October 2024 to determine the best option for the field and development of the Tikipunga Sports Hub for football as identified in the Active Recreation and Sports Strategy (2022).

The Business Case recommended that *a full-size artificial turf football field be developed at Tikipunga Sports Park.*

3 Discussion / Whakawhiti kōrero

The project team has received the draft detailed design for review. The design has been shared with the Whangarei football clubs to comment on. The detailed design (tender drawings, specification, and engineers estimate) is due in September. The construction procurement is planned for November/ December with construction to start in January 2026 and be completed in June 2026.

Development of a new artificial turf football pitch at Tikipunga is aimed at increasing football field capacity for Whangarei. This facility will provide consistent, high-quality playing conditions irrespective of weather and will be accessible to all football clubs and user groups. Football, more than any other grass code, has the highest number of field closures and games required to be rescheduled due to pitch unavailability in weather events.

Though the field is located at Tikipunga Sports Park, unlike our sand and soil-based pitches, this field will not be booked by one club for use for the season. As the Tikipunga artificial turf is an asset to benefit the wider football community we are investigating options for how best to manage the booking of this field, which is most likely to be:

- Weekday bookings will take place in 1-2 hour blocks, incorporating off-peak and peak rates.
- Weekend bookings to be available as part of game day scheduling, which is the responsibility of Northern Region Football (the regional sporting organisation responsible for the football season draws).

The artificial turf is to be marked with one senior/full sized field, overlaid with two junior pitches allowing for a range of user groups, targeted at maximizing the usage. There has been consideration to how we can make the field accessible, from access to facilities, to the colour of the line marking we have chosen. The layout plan (Attachment A) provides the detail of the design to date.

The ongoing maintenance cost, which is less than sand and soil pitches, will be offset by the recovery cost from bookings.

4 Financial/budget considerations / Ngā pānga pūtea/tahua

The budget for this project is \$3,133,300 and the project is estimated to cost \$3,105,785, with a surplus of \$27,515.

Sports & Facilities Improvements - Lighting (00697-CX-6480)	\$492,200
Sports & Facilities Improvements - Turf Development (01028-CX-6480)	\$2,641,100
Total Budget	\$3,133,300

Project Cost Estimate	\$3,105,785
Surplus	\$27,515

5 Attachments / Ngā Tāpiritanga

Attachment A: Tikipunga Artificial Turf Layout Plan

Attachment B: Long Term Plan 2024-34 Deliberations - Extraordinary Whangarei District Council Meeting Minutes - 29 May 2024

Attachment C: Tikipunga Artificial Turf Feasibility & Business Case

FIELD MARKINGS NOTE:
FIELD MARKINGS ARE STITCHED INTO TURF AND THEREFORE IT IS ADVISED THAT ONLY TWO FIELD TYPES SHOULD BE MARKED (AS SHOWN ON PLAN).

24m OF 4.5mH BLACK GOAL BACKDROP FENCE WITH LAST 2m TO BE TAPERED DOWN TO MATCH LOWER FENCE HEIGHT (NORTHERN END OF BOTH JUNIOR PITCHES).

6m ARA BOLTED-IN DUGOUTS OR SIMILAR APPROVED. SEE PHOTOS ON SHEET CD315. DUGOUTS TO BE BUILT WITH NO ACRYLIC TO BE MORE ROBUST.

- NOTES:**
- 1) SOUND SYSTEM - DUCTING TO BE INSTALLED FOR FUTURE SOUND SYSTEM. LOCATION TO BE CONFIRMED.
 - 2) ELECTRONIC SCORE BOARD - DUCTING TO BE INSTALLED FOR FUTURE SCORE BOARD. LOCATION TO BE CONFIRMED.
 - 3) GATE LOCATIONS TO BE CONFIRMED. GATES TO BE LOCKABLE.
 - 4) SIGNAGE TO BE INSTALLED DIRECTING TURF RULES AND FOOTWEAR CLEANING.

EDGE OF PLATFORM = 106m x 74m
3.0m RUNOFF AROUND FIELD

WHITE MARKINGS
FULL FIELD PITCH
(100m x 68m)

YELLOW MARKINGS
2 x 11-12 YRS PITCHES
(68m x 45m).
CONFIRMING AT
DETAIL DESIGN IF
RETREATING POINTS
TO BE ADDED AND IF
FIELD CENTRELINE
SHOULD BE DASHED

100mm STEP FROM END OF
CHANGING ROOM RAMP TO
2.0m WIDE FOOTPATH. STEPS
AND RAMP DOWN TO FIELD.

CHANGING ROOM HEIGHT
RL = 82.20 WITH 1in12 RAMP
TO OUTSIDE OF BUILDING.
STORAGE ROOMS
RL = 81.8m

BUILDING LAYOUT RECEIVED
FROM OTHERS AND IS
SHOWN INDICATIVE ONLY

3.0m WIDE SWALE - MORE TOPO DATA
REQUIRED TO CONFIRM GRADE

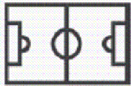
26m OF 4.5mH BLACK GOAL BACKDROP FENCE WITH
LAST 2m TO BE TAPERED DOWN TO MATCH LOWER
FENCE HEIGHT (BOTH ENDS OF FIELD).

2.0m WIDE PERIMETER FOOTPATH
MATCHING FIELD GRADE (0.6%)

1.2mH PEDESTRIAN FENCING FULL PERIMETER
WITH GATE LOCATIONS TBC

NATURAL FIELDS		
4-6 Years (typically marked by cones)	Min. 20 x 15m	Max. 30 x 20m
	Min. 30 x 20m	Max. 40 x 30m
7-8 Years (typically marked by cones)	Min. 45 x 30m	Max. 55 x 35m
	Min. 60 x 45m	Max. 70 x 50m
9-10 Years	Length: 90-120m	Width: 60-75m
	Full Size	

**PITCH SIZE
AND
MARKINGS**



REV.	REVISION DETAILS	DRAWN	APP.
D	4TH ISSUE	17-06-2025	AP --
C	3RD ISSUE	26-05-2025	AP --
B	2ND ISSUE	15-04-2025	AP --

PROJECT DETAILS
WHANGAREI DISTRICT COUNCIL
DEVELOPMENT OF
TIKIPUNGA SPORTS PARK ARTIFICIAL TURF AND LIGHTS
CONCEPT DESIGN

TITLE
PROPOSED TURF PLAN

DATE CREATED 31-03-2025	DRAWN AP	DESIGNED AP	APPROVED --
VECTA REF NO 25014	SCALE 1:500 @ A3		STATUS CONCEPT DESIGN
DWG NUMBER CD310			REVISION D



Tikipunga Artificial Turf Feasibility & Business Case

Whangarei District Council

October 2024

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With Thanks To:

NZSTI, Northern Region Football, Tikipunga Association Football Club, Northland Football Club, Sport Northland, Green By Nature

About RSL Consultancy

RSL Consultancy undertakes projects and offers strategic advice throughout Aotearoa to enable community well-being. We support organisations to make informed decisions when it comes to their people, facilities, places, and spaces. RSL carries out a range of pre-planning work from needs assessments and feasibility reports to business cases. We also work on a range of organisational strategic and operational projects.

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1. Executive Summary

Football has been and continues to be a popular sport across the Whangārei district. A Sports Field Demand Study commissioned by Whangarei District Council in 2021 identified an existing shortfall of football fields, particularly for training, across the district. At Tikipunga Sports Park this amounted to 32 hours per week of access to lit fields for training. This shortfall was projected to grow to 50 hours per week by 2031.

While the development of an artificial turf has higher upfront costs than other options, the increased capacity and cost per hour of use can make it a more attractive option than having to develop a number of grass fields to match capacity for use.

To understand if the development of an artificial turf is the best solution to meet the increasing demand, Whangarei District Council commissioned an independent feasibility study and business case specifically looking at the development of a multi-use artificial turf at Tikipunga Sports Park. The size of Tikipunga Sports Park, its central location for use by teams in the Northern Region Football league across Northland, its current use by Tikipunga Association Football Club and Northland Football Club and as a preferred venue for football events and tournaments makes it the ideal site on which to develop an artificial turf. Current redevelopments to changing rooms and Tikipunga Association Football Club clubrooms will support increased use generated by an artificial turf and make it the most suitable venue in the district to be the 'Home of Football.'

1.1. Key Findings

Demand for access to fields for football continues to grow with Northern Region Football reporting a 32% increase in participation since 2021. Northland Football Club reports a similar increase while Tikipunga Association Football Club reports an overall increase of 8%.

Development of an artificial turf will contribute to all 4 Whangarei District Council community outcomes as it will:

- Be a further draw card for participants and spectators alike to the area particularly Tikipunga Sports Park.
- Further support mental and physical health by providing participants with more opportunities to access sports fields beyond the regular hours of usage and capacity and provide better user experiences.
- Support active lifestyles and give locals something to feel proud of as the only non-hockey artificial turf in the district.
- Ensure the sports field network will be more resilient if a turf is chosen that can withstand most weather.

Development of an artificial turf at Tikipunga Sports Park in conjunction with the upgrades to the changing rooms and clubhouse will address the need identified by NZ Football for a 'home of football' in Northland.

Development of a multi-use artificial surface will enable use by users other than football. This could include use by local schools and marae, rugby and cricket training, touch competitions, marching, ki-o-rahi, and mau rākau.

If an environmentally friendly, wood particle infill (preferred) option is chosen, it will support the principles of Sport NZ's 2024 Environment Sustainability Guidelines and reduce environmental impact concerns historically associated with artificial turf development.

The estimated capital cost of the preferred artificial turf is \$2.932m, with renewal costs over 30 years of \$1.038m. Annual operating costs are estimated to be approximately \$37,000. None of the stakeholders spoken to are in a position to contribute to the construction costs of the turf but understand that maintenance and renewal costs may be built into hire charges. .

While the development of an artificial turf has higher upfront costs than other options because of the materials and construction involved, the increased capacity and cost per hour of use make it a more attractive option than having to develop up to 6 grass fields to match capacity for use.

	Option 1: Improve Natural Grass Fields	Option 2: Convert to Sand-Based Fields	Option 3: Hybrid Technology	Option 4: Artificial Turf
Pros	Increase capacity of some existing natural grass fields	Increase capacity of some existing fields compared with natural grass fields.	Can target high wear areas with hybrid technology	- Best carrying capacity (most intensive use) - Guaranteed quality & use, regardless of weather
Cons	Significant number of sports fields required to be upgraded to meet capacity needs	- A number of sports fields required to be upgraded to meet capacity needs - Increased irrigation in summer months - Increased technical support	- A moderate number of fields required to be converted to meet capacity needs. - Increased irrigation in summer months - Increased technical support	- Higher capital cost & renewals - Wider environmental considerations - Increased technical support
Capex Costs	\$250,000	\$695,000	\$1.050m	\$2.932m
Maintenance	\$27,000 per annum	\$33,000 per annum	\$58,000 per annum	\$37,300 per annum
Renewals	\$50,000	\$500,000	\$1.8m	\$2.076m
Whole of life costs – 30yr	\$1,110m	\$2.185m	\$4.615m	\$6.127m
Weekly Use (in Winter)	10	18	30	55
Total hours of Use/yr. (winter only)	250	450	750	1375
Cost per hr of use (winter use only)	\$148	\$162	\$205	\$149

The football stakeholders spoken to understand there will be a cost for all users to access the turf. In light of the levels of deprivation across parts of Whangārei, care needs to be taken to ensure this cost is reasonable and does not function as a barrier to participation.

There are several different approaches that can be taken to assess what that cost should be to users of an artificial turf. Whether it is simply to cover annual maintenance costs or maintenance and renewal costs. Changes may need to be made to Whangareī District Council's funding policy if the level of cost recovery does not align with its current funding policy of 80% public/ 20% private.

Historically artificial turf charges are considerably more than charges for other field types because of the level of capital development/ replacement costs and operational/ maintenance costs.

For the protection of the asset, responsibility for ownership and maintenance of an artificial turf should rest with council. To avoid club capture of an artificial turf responsibility for bookings can either lie with council directly or through a council appointed agent, such as Green By Nature that Whangareī District Council currently uses, or with Tikipunga Association Football Club under clear conditions negotiated with all major stakeholders and the subject of a memorandum of understanding between them.

1.2. Recommendations

It is recommended that:

- A full-size artificial turf be developed at Tikipunga Sports Park.
- Wood particle infill be used to address environmental impact concerns.
- WDC should own the turf.
- Maintenance of the turf to be undertaken by WDC or their contracted turf specialists.
- WDC meets with stakeholders to agree the preferred management structure for the turf. If the football stakeholders cannot reach agreement, consider engaging Green By Nature as turf bookings manager.
- A memorandum of understanding be entered between WDC and any relevant stakeholders about use and booking management.
- An annual turf allocations meeting is held, including WDC, Green By Nature, NRF, TAFC, and NFC to determine usage is fairly distributed.
- Any user fees proposed are such that they do not function as a barrier to participation.

2.Introduction

2.1. Purpose of Report

Whangarei District Council (WDC) engaged Recreation Sport Leisure Consultancy (RSL) to develop a business case to support planning and investment in the development of an artificial sports turf, primarily for football, at the Tikipunga Sports Park. This development is intended to address the undersupply of both competition and training fields across the district identified in the 2022 Sports Field Supply and Demand Study. Continued growth in football since that study confirms the undersupply is increasing and continues to be an issue for football. This has led to wear and tear on the fields during the season caused by overuse, which in turn requires additional maintenance. This additional maintenance is adversely affecting the operational budget.

2.2. Scope and Methodology

This report takes an objective, evidence-based approach to assessing the viability of an additional artificial sports turf at Tikipunga Sports Park. The agreed scope and methodology included:

- Analysis of strategic alignment with relevant planning frameworks, strategies, and plans.
- Stakeholder engagement with identified stakeholders.
- Consideration of high-level population and participation trends.
- Analysis of supply versus demand and carrying capacity of sports fields.
- A high-level assessment of the wider environmental impacts of an artificial sports surface.
- Consideration of whole-of-life cost comparisons with non-artificial options (natural turfs).
- Provision of high-level capital and operating costs.

2.3. Out of Scope

- Assessment of a range of possible sites for an artificial sports turf, as location already identified in several key strategic documents.
- A detailed assessment of sports participation and demographic trends as they relate to the provision of sports fields.
- A detailed assessment of the supply and demand of sports fields to understand current and future needs, as this was undertaken in 2022.
- Design drawings are not part of this business case.

3. Background

3.1. Current Situation

Acknowledging the benefits sport and recreation bring to the community, WDC offers a network of 90 sports fields across the district providing for training and competition needs at all levels. These are a mixture of soil and sand-based fields with lighting on some fields. Tikipunga Sports Park is part of that network with a selection of different-sized fields used in the winter and increasingly in the summer, primarily by football. There is also provision of one rugby field in the winter. In summer, there are 4 touch fields, 4 artificial cricket wickets, and 1 practice cricket net with 3 wickets, along with 12 5-a-side football fields. WDC contracts Green By Nature (Green By nature) to manage the bookings and maintenance of the park.

3.2. Current Use of Tikipunga Sports Park by Football

Tikipunga Sports Park is the home ground of Tikipunga Association Football Club (TAFC) and the venue of choice for Northland Football Club (NFC). Figure 3.1 shows the winter football field configuration at the park. The field configurations show use by TAFC and NFC. The sports fields are also often used as:

- The fallback option for other clubs, particularly for training, if their fields are unavailable because of the impact of wet weather,
- A central meeting point for clubs travelling from the north and south of Northland for games and to host events/tournaments throughout the year organised by TAFC or Northern Region Football (NRF).

Table 3.2 details weekly winter use of the park by both clubs. In addition to the regular weekly use, every 6 weeks TAFC hosts the First Kicks Festival for 5 and 6 yr olds for all of Whangārei district. At the beginning of the season, TAFC hosts all Whangārei 9th and 12th grade players on a Saturday with lots of games being played on all the junior fields.

Tikipunga High School teams use two full fields every second Wednesday as their home ground.

3.2.1. Winter Football Field Configuration



Table 3.1: Weekly Winter Use of Tikipunga Sports Park

Day of the Week	Tikipunga AFC	Northland FC
Monday		3 senior pitches under lights
Tuesday	2 senior pitches from 5-9pm for youth/senior under lights	2 senior pitches for youth under lights
Wednesday		1 senior pitch
Thursday	All pitches used 2 full pitches are used twice	1 senior pitch under lights
Friday	Games under lights when opposition agree ¹	
Saturday	All fields used. Some more than once for competition.	Regular competition
Sunday	TAFC women every 2 nd week	Regular competition

The park is also extensively used by other clubs as a halfway point for travelling teams, for example, any youth games between teams such as Mangawhai, Bream Bay and Kaitaia or Kerikeri. This can

¹ Current lights not really adequate but suffice

occur 15-20 times a season. NRF also schedules Ngunguru FC games there as an overflow if their field is out of action due to weather. This service is provided for any other teams that might have similar issues. This happens 3 to 4 times a year.

In addition, NRF schedules 6 junior festivals per season at Tikipunga Sports Park, with each one hosting in excess of 300 kids. They also host the annual Aimee Lindsay Junior Festival there which has around 1200 kids participating. These events are held on weekends.

NRF hosts New Zealand Secondary Schools Tournament week at Tikipunga Sports Park which takes place each year at the beginning of September. The 2024 tournament had 32 teams playing around 30 games a day spread over 6 pitches. This involved over 500 payers based at the park for the week.

3.2.2. Summer Use by Football

5-a-side football is played on smaller fields than 11-a-side football and is increasingly popular over summer. TAFC runs twilight games during summer months across 12 5-a-side fields. Up to 4 games are played on each field. The fields are also used for an annual Multi-Cultural Football Festival in October where 10 fields are used, some for more than one game. Figure 3.2 shows the summer football field configuration at the park.

NFC uses the fields at the beginning of their season while it waits for Trigg Stadium to be released from athletics.

Figure 3.2: Summer (Twilight) Football Field Configuration



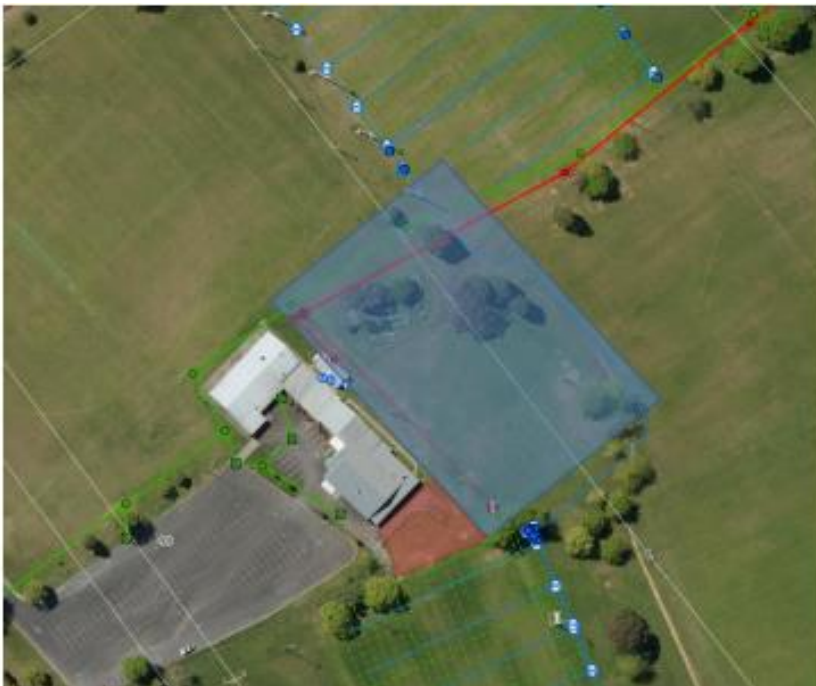
3.3. Future Plans

The need for a 'Home of Football' in Whangārei was identified by New Zealand Football (NZF) in 2016. The purpose being to provide a regional hub for player development and coach and referee training for those involved in the game in Northland. The expectation of NZF for a 'Home of Football' is an artificial turf, plus at least 2 other fields, and associated infrastructure such as changing rooms and administration areas. Since then, Tikipunga Sports Park has been identified in several strategic documents including the 2020 Active Recreation and Sport Strategy for Whangārei District and Kōkiri Ai Te Waka Hourua 2021-2030 (the Northland Spaces and Places Strategy) –as a regional facility with potential to be the 'Home of Football'. WDC's Long Term Plan 2024-2034 also identifies the development of an artificial turf at Tikipunga as an upcoming project with an approved budget of \$2.1m in 2025/26 and \$537,900 in 2026/27 to progress the development.

In anticipation of becoming the 'Home of Football,' substantial investment has been secured to upgrade both the changing rooms and TAFC clubrooms to ensure adequate space is available for the club and NRF officers, and as a venue to accommodate increased patronage as the 'Home of Football.' Redevelopment of the changing rooms was underway at the time this report was prepared, with work on the clubhouse due to commence in October 2024. The changes to the clubrooms will establish a viewing area looking out onto the proposed artificial turf.

Whangarei District Council has previously decided on the location of the artificial turf. Figure 3.3 indicates where the proposed artificial turf would be located at the park.

Figure 3.3: Proposed Location of Artificial Turf



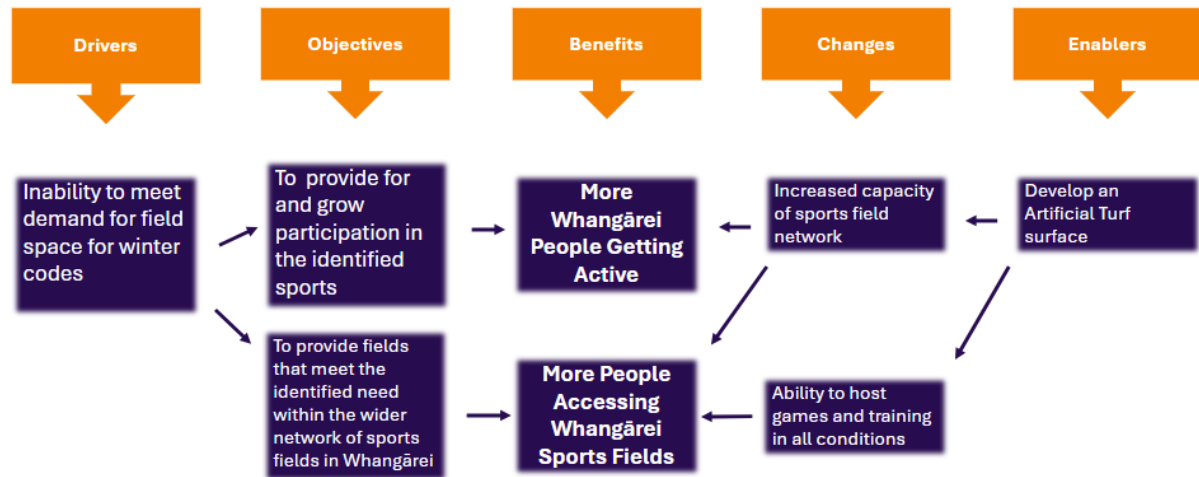
3.4. Potential Non-Football Use of Tikipunga Artificial Turf

While there will be high demand for an artificial turf at Tikipunga Sports Park by football, particularly during the winter months, the choice of a multi-use turf will enable use by other codes and groups. Sport Northland has indicated that several activities would be interested in using the proposed artificial turf. These include cricket, rugby and touch clubs, marching teams, and local marae for mau rākau and ki-o-rahi. Most of these users would be seeking access during the summer months. Other

artificial turf around the country have also been popular with ultimate frisbee. The proximity to Tikipunga High School, and the Te Puawaitanga and Pehiaweri Marae may provide potential users on weekdays when the turf is not in demand for football use.

4.Strategic Case

The following section identifies the alignment the proposed Tikipunga artificial turf project has with various national, regional, district, and local strategic documents and community outcomes. The following intervention logic model helps define the strategic case for investment.



4.1. Summary Overview and Alignment

Strategic Document	Key Points	Relevance
National Significance		
Sport NZ Strategic Plan 'Every Body Active' 2024-2028.	Focuses on Increased frequency, intensity, time, and type of participation in physical activity and sport and enhanced experience or participants, supporters, volunteers, and workforces. An artificial turf at Tikipunga will enhance the experience of participants by ensuring their season is uninterrupted by bad weather and unusable natural field conditions.	High
NZ Spaces and Places framework, Sport NZ 2024	- The Framework identifies challenges and opportunities that need to be addressed: - Affordability - Urban development and growth - Improving environmental sustainability and climate resilience - Changing demand - Improving functionality Most of these opportunities and challenges have been addressed in this Business Case.	High

Strategic Document	Key Points	Relevance
Environment Sustainability Guidelines Sport NZ 2024	The Guidelines recommend consideration of environmental sustainability at all stages of facility development – inception, design, construction, and operation. Consideration of environmentally friendly turf construction elements in this Business Case will support the philosophy of the Guidelines.	Medium
Sport New Zealand Sports Field Design Guidelines 2019	- The document provides guidance on each of 4 stages that should be considered in sports field development: - Needs analysis - Sports field options - Cost Analysis - Specialised site assessment This Business case addresses 3 of the 4 stages.	High
Sport New Zealand Disability Plan. Play, Active Recreation & Sport (2019)	Identifies that disabled young people are less likely to participate in play, sport, and recreation activities. An artificial turf may improve accessibility and encourage diversity of users.	Medium
Women and Girls in Sport and Active Recreation Strategy (2018)	- Vision: "Enabling women and girls to realise their potential in and through sport and active recreation." - Priority areas: Leadership, participation, value, and visibility. Development of an artificial turf will provide an environment for women and girls to realise their potential.	Medium
NZ Football National Facilities Strategy Update (2016)	- The Strategy identified the need for a 'Home of Football' in Whangarei. Which would likely contain an artificial turf and associated infrastructure. - It would also be used by the Northern Football federation for training and competition games. Development of an artificial turf at Tikipunga Sports Park in conjunction with the upgrades to the changing rooms and clubhouse will address that need.	High
Regional Significance		
Kōkiri ai Te Waka Hourua; Regional Play, Active Recreation and Sport Strategy 2021.	- Provides a high-level strategic framework to guide future decision making. - Key recommendation subject to the needs and feasibility assessments, progress the proposed 'Home of Football' development at Tikipunga Sports Park. - With initial priority given to field and lighting upgrades and support amenities (clubrooms, changing rooms, car park upgrades). - This business case will provide the independent assessment sought by needs and feasibility assessments.	High
District Significance		

Strategic Document	Key Points	Relevance
Whangarei DC Long-Term Plan 2024-2034	- The development of the Tikipunga artificial turf is identified as an upcoming project with approved budget in Years 2 (\$2,103,200) and 3 (\$5037,900) to progress the development. - Sport and recreation is recognised as contributing to the 4 well-beings: - Social - Economic - Environmental - Cultural And to the 4 community outcomes: - Thriving local identity - Diverse and inclusive culture - A great place to call home - Sustainable and resilient future An artificial sports turf will contribute to all 4 community outcomes: - As a further draw card for participants and spectators alike to the area particularly Tikipunga Sports Park. - Further supporting mental and physical health by providing participants with more opportunities to access sports fields beyond the regular hours of usage and capacity and providing better user experiences. - Supporting active lifestyles and giving locals something to feel proud of as the only non-hockey artificial turf in the district. - The sports field network will be more resilient if a turf is chosen that can withstand most weather.	High
Whangarei Sports Field Supply and Demand Study 2022	- Considering the demand for lit training fields at Tikipunga the Study identified a weekly shortfall of 32 accessible, that is lit, hours (weekdays) in 2021 which would increase to 50 hours in 2031. - The recommendation was to explore options to provide an additional 40 accessible hours that is lit to meet current mid-week demand. Installation of an artificial at turf at Tikipunga would achieve this.	High

Strategic Document	Key Points	Relevance
Active Recreation and Sport Strategy for Whangarei District 2020	- The strategy provides a high-level direction to WDC on how to meet the current and future active recreation and sport facility (spaces and places) needs. - A recommendation made in relation to football is to support Tikipunga Park becoming the 'Home of Football' incorporating an artificial turf field and access to a minimum of two grass fields to complement other provision in Northern Football region. - This is subject to the sports field demand study findings, and the findings of an independent needs analysis and feasibility study. This Business Case will provide the independent assessment sought	High
Local Significance		
Tikipunga Placemaking Plan 2020-2031	Identifies the development of the Tikipunga sports hub/ 'Home of Football' as a priority relating to a community driven initiative under council's goal of urban connectivity. The completion of this business case for an artificial turf at Tikipunga will move that development one step closer.	Medium

A more detailed description of the strategic documents referred to above is in Appendix One – Secondary Data Review.

5. Demographic Trends for Whangārei

5.1. Demographic Trends

The Whangārei district has a growing population. The population is expected to increase by almost 40,000 people (38%) between 2024 and 2054, reaching just over 142,000 people in 2054. The Kamo Community of Interest Area² (13,004) and Tikipunga Community of Interest Area (6,978) are projected to experience the greatest overall growth. See Appendix Two for more demographic information about Whangārei district.

The population of all age groups in the Whangārei district are expected to experience growth in the 25 years to 2048. The group aged 65 years and over is expected to experience by far the greatest growth with an increase of 16,100 people (74% increase). All the other age groups are expected to experience steady growth of between 3,200 and 8,800 individuals (15% to 28% growth) over the same time. By 2048 it is expected that the population will be reasonably evenly spread across all age groups.

Table 5.1: Whangārei Age Group Projections

Age	2023	2028	2033	2038	2043	2048	Change 2023-2048	% Change 2023-2048
0-14 years	20,700	20,900	21,500	22,100	22,900	23,900	3,200	15%
15-39 years	29,700	31,100	31,800	32,800	34,500	35,700	6,000	20%
40-64 years	32,000	33,400	35,400	36,900	38,700	40,800	8,800	28%
65 years and over	21,800	26,300	30,200	33,800	36,000	37,900	16,100	74%

Source: NZ Statistics Census 2018 – High Projections

5.1.1. Playing Age Population Projection

For the purposes of this study playing age has been determined as 5-39 years of age as this represents the majority of active participants. It is important to consider that analysis of current participation indicates that 5 – 18-year-olds make up between 75% - 90% of total participation. While the masters' age group of sport (30+) continues to increase in popularity and is captured in the playing age of 5-39 years old, in reality projected changes to the 5 – 18 years old are the most significant factor.

There were 43,830 people of playing age (5-39 years) in the Whangārei district in 2023 and this is expected to increase to 51,730 people by 2048. This is an increase of 18% or 7,900 people. The group aged 5-14 years is expected to increase by 13% or 1,860 people and the population of the 15–39-year age group is expected to increase by 20% or 6,040 people over the same period.

² See Appendix Two for an Explanation of Community of Interest Areas

Table 5.2: Playing Age Population Projection (Source: Stats NZ High Projection)

Age	2023	2028	2033	2038	2043	2048	Change 2023-2048	% Change 2023-2048
5-14 years	14170	14190	14620	14990	15380	16030	1860	13%
15-39 years	29660	31150	31830	32840	34530	35700	6040	20%
5-39 years	43830	45340	46450	47830	49910	51730	7900	18%

6. Participation Trends in Football

6.1. Regional Participation

The 2022 Sport NZ Active New Zealand Survey provides a regional (Sport Northland catchment which is the whole of the Northland region) year on year comparison of football participation from 2017 to 2022. Table 6.1 provides participation data from 2017 and 2022 and shows there has been a slight increase in participation over the 6-year period.

Table 6.1: Northland Football Participation Data

Age Group	2017	2022	Change
Young people (5-17)	17%	20%	3%
Adults (18+)	1%	3%	2%

Source: 2022 Active NZ Survey – Sport Northland Region

6.2. Districtwide Activity Behaviours

Sport NZ's Insights Tool³ provides data of activity behaviours in football across local government areas and compares it with the national rate of activity. It provides an opportunity to drill down into the activity behaviours across the Whangārei district. The data is for different demographic cohorts than those in the Active NZ Survey, looking at lifestyles rather than simply age groupings. From this data, it is apparent that football participation for both the secondary school age and young family cohorts in the Whangārei district is higher than the national level of participation, while the level of participation of primary school aged children in the Whangārei district is lower than the national level of participation.

Table 6.2: Whangārei District Activity Behaviour Compared to National

Area Measured	Primary School Age (5-12)	Secondary School Age (13-17)	Young Adult (16-34/ no children)	Young Family (20-45 parents)
Whangārei	15.3%	16.1%	3.3%	8.5%
National	19.7%	14.3%	3.4%	2.9%
Difference (+/-)	-4.4%	+1.8%	–	+5.6

³ NB. Relatively low sample size may impact on the reliability of the data, so should be read more as a guide than actual participation.

Source: Sport NZ Insights Tool

NRF reports growth of 32% across Whangārei in the last 2 years. This has largely been across the junior grades, although senior numbers have been returning to pre-COVID numbers in some areas.

6.3. Local Activity Behaviours

Registration numbers sourced from TAFC show an 8.4% increase in club registrations from 2021 (300) to 2024 (327). While male registrations in the senior divisions have not bounced back since COVID leaving the club one senior men's team down, junior registrations have provided the increased numbers overall. NFC has also seen growth, 35% over the last 3 years with 15 teams in 2024 compared with 10 teams in 2021. In addition to this, it now has 160 participants in its junior skills centre.

7. Evidence of Need and Options to Meet Need

7.1. Sport Field Supply and Demand

In 2021 WDC commissioned a sports field supply and demand study (the Study) to determine whether there were sufficient sports fields available to meet both current and future need. The Study considered the supply and demand of the wider network of winter and summer sports fields across Whangārei district. In relation to football, the Study found:

- There are 12 football clubs in the district with 225 teams.
- 33 of the teams are senior, 31 youth, and 161 junior.
- 8 women's and 2 girl's teams were identified. However, the majority of youth and junior teams are mixed.

The Study identified that during the winter season, access to fields without training lights is restricted and that while fields may have some capacity for more use, it is not available for use without lighting. It was also highlighted that the patterns of use are changing with more teams only available to train in the early evening, increasing the demand in a shorter, more concentrated period of time. While the fields and players may be available immediately after school it is an increasing trend that the coach is not available until after work. When these factors are considered, there was a shortfall of 40 hours a week Full Time Equivalent field capacity for football in Tikipunga.

There is evidence of a trend towards early morning training on artificials (before work), particularly for teams with high numbers of parent players with family commitments after school and in the evening. Artificial fields can manage the additional use whereas sand and soil-based fields struggle to cope with these additional hours and changes of use.

7.1.1. Changes since 2021

This Business Case has focused on the demand for football at the Tikipunga Sports Park and in particular TAFC and NFC. It is therefore not possible to fully compare participation and demand for sports fields overall in the same terms as the 2021 Study. The focus therefore has been to consider the changes specific to TAFC and NFC to identify the potential impact on the surplus/shortfall of football fields.

In 2021 the main users of the Tikipunga Sports Park were TAFC and NFC. Both clubs have identified an increase in the number of players, teams, and overall demand over the period 2021 to 2024.

- In 2024, TAFC has 37 teams (5 adult, 3 youth, 9 junior and 20⁴ 8th Grade) compared to 34 teams in 2021
- In 2024, NFC has 15 teams (3 senior, 8 youth and 4 junior teams) compared to 10 teams in 2021. In addition, NFC operates a weekly Football Skills Centre with approximately 160-180 participants.

⁴ 8th Grade team numbers estimated based on player numbers to enable comparison between 2024 and 2021.

- It was also identified that Tikipunga Sports Park is extensively used for training by a number of teams based outside of Whangārei to provide a centralised training venue to minimise travel times.

This increase in player and team numbers has increased the demand for football fields/pitches since the 2021 Study. It is estimated that the identified bounce-back in participation has increased the field demand for football in Tikipunga by 19.5 hours a week, further increasing the shortfall identified in the 2021 Study.

7.2. Options to Meet Need

The 2021 Study identified 3 main options to meet the shortfall in field capacity:

- More effective use of existing fields through code allocation and use schedules.
- Increasing the capacity of existing fields.
- Expanding the supply of fields.

Development of artificial turf was one of 7 suggestions to increase the capacity of existing fields, alongside:

- Drainage improvements
- Irrigation improvements
- Lighting existing unlit fields
- Extending floodlighting on partly floodlit fields
- Sand carpeting more soil fields
- Developing more dedicated training areas

For more detail on the options to meet need, refer to Appendix Three.

7.2.1. Artificial Turf – The Proposed Response to Increase Capacity Across the Network

Artificial turf for sports fields has been in existence since the 1960s and grown in popularity in New Zealand in the last 20 years. Hockey was an early adopter with most hockey in New Zealand now played on artificial surfaces. Other local authorities in New Zealand have seen artificial surfaces as the most effective option for maximising playing time. Auckland Council (and its predecessors) has invested heavily in a large number of artificial turfs for sports codes. Wellington City Council has also converted a number of existing, under-performing soil-based fields to artificial turf.

The capacity of an existing field can be extended to 50 or more hours a week if artificial turf surfaces are used. This is between 3 to 4 times the capacity of most of the current fields in the Whangārei district. Note that whilst turf manufacturers say the fields can be used 24/7, in reality, community teams are not 'available' to make use of them right across the day. In addition, manufacturer's warranties tend to be based on limiting use to 2000 hours per year.

As an example of use of an existing artificial turf, Table 7.1 shows annual use at Selwyn District Council's Foster Park artificial football turf⁵.

⁵ Average hours per week: Total hours / 52 weeks; Average hours per week (Summer): Total hours between 1 Oct-31 Mar / 26 weeks; Average hours per week (winter): Total hours between 1 Apr-30 Sep / 26 weeks

Table 7.1: Annual Use of Foster Park Artificial Football Turf

TOTAL Hours	1856
Average Hours / Week	36
Average Hours / Week (Summer)	24
Average Hours / Week (Winter)	47

Turf Technology

Technology has evolved from the early turfs that were developed. The turfs currently available have a longer pile depth, reducing the risk of abrasions. The pile is also complemented by rubber and sand-based infills and shock pads. Natural, environmentally friendly infills are now being manufactured and have been included in the costing from NZSTI for the turf proposed for WDC. This technology is approved by both FIFA and World Rugby and enables the surface to be compared favourably to natural playing surfaces.

The third-generation turfs (3G) comprise simulated grass stalks tufted in a weaved rubber backing, with small crumb rubber balls and sand swept into the base of the stalks to hold them upright. 3G turf can be installed in existing sports parks or on greenfield sites. The cost of installation is dependent on the scope of preparation work needed to level and drain the site, the size of the field, whether a shock pad is installed or not and, to some extent, the brand of turf. Artificial turf fields have a limited life. At this stage, this life is estimated to be between 8 to 12 years depending on the nature and intensity of use and how well the turf has been installed and maintained. The earliest installations are only now reaching this age. Generally, just the carpet needs to be replaced at that time provided the foundation has been well prepared in the first instance.

Environmental Impact

WDC recognises the issues associated with climate change and has a Sustainability Strategy in place to look at sustainability holistically. Therefore, it is important to understand any wider environmental factors which may occur as a result of the development of an artificial turf. These wider factors include potential carbon emissions, micro-plastics, water usage and disposal of the surface carpet at the end of its useful life.

Carbon Emissions

An artificial turf is responsible for a much greater volume of CO₂ equivalent emissions than a natural turf field. An artificial turf has a significant amount of embodied emissions and sequesters no carbon annually. Extending the life of the artificial turf reduces the annual amount of emissions (the embodied emissions are set in stone when the turf is installed but the equivalent annual amount is reduced by extending the life of the turf).

Maintenance Emissions

Maintenance emissions created by weekly mowing of a grass field and weekly brushing of an artificial turf will be similar. But the additional (in addition to mowing) of a grass field is estimated to create 1.5 times additional maintenance emissions. Extending the life span of the artificial turf through correct maintenance practices will have a much greater environmental benefit than reducing maintenance

emissions through reduced maintenance. There is potential to reduce maintenance emissions by using electric powered vehicles.

Choice of shock pad

The major environmental impact will be the embodied emissions in the artificial turf carpet, the performance infill, and the underlying shock pad. There are also embodied emissions in the underlying base, but these are regarded as negligible because in total they are only about 10% of what is contained in the artificial turf carpet, the performance infill, and the underlying shock pad but most importantly they will be spread over a much longer time. There is no reason the base should not last 50 years – it would simply be re-used through multiple artificial turf carpet / performance infill / shock pad renewals

A poured in situ shock pad will have a lower whole of life environmental effect than a carpet type shock pad because a good poured in situ shock pad will be able to be reused a number of times (just the artificial turf carpet and the performance infill replaced when the carpet is renewed). Carpet type shock pads tend to be replaced each time a renewal of the surface is done.

End of life disposal

The carpet and shock pad need to be disposed of at the end of life when the artificial turf is replaced. At this stage there is minimal potential for recycling in New Zealand (although some of the infill may be able to be recycled and re-used).

Often carpets are re-cycled into other uses such as to stabilize stock races on dairy farms or earthworks on mountain bike tracks. However, the disadvantage with that is that it means they are likely to be left there permanently. The better alternative may be to send the used carpet and shock pad straight to landfill.

Reduced fertiliser, pesticide, and water use

Compared to a natural turf surface, an artificial surface does not require the use of fertilisers and little pesticide, other than to control moss and algae.

Most artificial turfs in New Zealand don't have irrigation systems and hence use no water for irrigation.

For more information about the environmental impacts of artificial turf including potential carbon emissions, micro-plastics, water usage and disposal of the surface carpet at the end of its useful life, refer to Appendix Four.

7.2.2. Cost Comparisons Across Options

While this report focusses on artificial turf as the response to increase field capacity across the district it is worthwhile to consider the costs of artificial turf compared to other options. Table 7.2 provides a breakdown of those costs and provides a whole of life cost analysis over a 30-year period. While acknowledging there is a far greater upfront cost and replacement cost for an artificial turf, maintenance costs are not significant compared to the cost to maintain hybrid fields and around 10% more to maintain sand-based fields. Also, the opportunity to use the turf more than 4 times more per week than a natural grass field means the cost per hour of use (\$149) compared to the other options is favourable, particularly compared to hybrid (\$205) and sand-based (\$162) fields.

The opportunity cost of acquiring land to generate the same floodlit field capacity with soil or sand-based fields as conversion of an existing field to artificial is significant. The capital cost of purchasing land and developing 2 or 3 additional soil or sand-based fields to match the capacity of the artificial field will be more than the cost of installing an artificial field. In addition:

- This land is likely to be on the city fringe and distant from the Tikipunga regional football hub
- It is likely to need provision of car parking as well as a toilet and change facility
- The fields will need the installation of floodlighting

Table 7.2: Summary of Options Analysis⁶

	Option 1: Improve Natural Grass Fields	Option 2: Convert to Sand-Based Fields	Option 3: Hybrid Technology	Option 4: Artificial Turf ⁷
Pros	• Increase capacity of some existing natural grass fields	• Increase capacity of some existing fields compared with natural grass fields.	• Can target high wear areas with hybrid technology	• Best carrying capacity (most intensive use) • Guaranteed quality & use, regardless of weather
Cons	• Significant number of sports fields required to be upgraded to meet capacity needs	• A number of sports fields required to be upgraded to meet capacity needs • Increased irrigation in summer months • Increased specialist technical support	• A moderate number of fields required to be converted to meet capacity needs. • Increased irrigation in summer months • Increased specialist technical support	• Higher capital cost & renewals • Wider environmental considerations • Increased specialist technical support
Construction Costs ⁸	\$250,000	\$695,000	\$1.050m	\$2.932m
Maintenance	\$810,000 (\$27,000 per annum)	\$990,000 (\$33,000 per annum)	\$1.765m (\$58,000 per annum)	\$1.119m (\$37,300 per annum)
Renewals ⁹	\$50,000	\$500,000	\$1.8m	\$2.076m

⁶ Average Costs and Hours in NZ as supplied (using 2024 data). 30-year time frame used and are per full size equivalent field. Costings for development as supplied by NZSTI and maintenance costs assessed by Green By nature.

⁷ Costs relating to wood particle infill.

⁸ Including standard earthworks. Each site will vary.

⁹ Allowed for in years 11 and 21 where appropriate (that is Sand Carpet, Hybrid and Artificial turfs)

	Option 1: Improve Natural Grass Fields	Option 2: Convert to Sand-Based Fields	Option 3: Hybrid Technology	Option 4: Artificial Turf ⁷
Whole of life costs – 30yr Subtotal	\$1,110m	\$2.185m	\$4.615m	\$6.127m
Weekly Use (in Winter)	10	18	30 ¹⁰	55
Total hours of Use/ yr. (winter only) ¹¹	250	450	750	1375
Cost per hr of use (winter use only)	\$148	\$162	\$205	\$149

¹⁰ Based on Sport NZ Sports Field Development Guidelines 2019

¹¹ Using a 25-week season. Taken from Sport New Zealand (Dec 2019) Guidance Document for Sports Field Development p.28. Hours will vary depending on soil & climatic conditions.

7.2.1. Artificial Turf Infill Options

An Artificial turf's useability is reliant on a combination of pile length and the type and amount of infill used. The New Zealand Sports Turf Institute (NZSTI) has provided details of the cost of 3 infill options for turf. A detailed breakdown of the components of the 3 artificial turf options is set out in Appendix Five.

- **Option One: Artificial turf with SBR¹² infill**
- **Option Two: Artificial turf with EPDM¹³ infill**
- **Option Three: Artificial turf with wood particle infill**

Option 1 (SBR Infill) has become less favourable and is essentially ruled out by some councils as it cannot be recycled, it has significant heat retention and smells in higher temperatures.

Option 2 (EDPM infill) has historically been the option most commonly used by councils but as councils take a closer look at climate change and sustainability, more environmentally friendly options are being sought. The use of EPDM infill is also declining now with natural infill materials starting to emerge to replace the rubber infill options.

Option three (Wood particle infill) has effectively replaced cork as the more environmentally friendly option as wood particle infill is less prone to floating and migration. As the Northland Region becomes more prone to extreme weather events, wood particle rather than cork infill would be advisable.

All 3 options are designed for community-level, multipurpose use, capable of 60 plus hours per week. They all meet World Rugby Regulation 22 and FIFA Quality Programme requirements.

¹² SBR = Styrene Butadiene Rubber crumbs – rubber crumb from tyres

¹³ EPDM = Ethylene Propylene Diene Monomer – higher density synthetic rubber

8. Financial Considerations for Preferred Turf Option

This section outlines the various financial considerations associated with the development, maintenance, and replacement of an artificial turf with wood particle infill, as the most environmentally friendly option available. This includes:

- The cost of the turf,
- The funding model to meet the cost of the turf,
- Cost recovery from the use of the turf to meet maintenance and replacement costs and
- Financial implications to WDC (as preferred owner).

8.1. Preliminary Capital Cost for Preferred Turf Option

Table 8.1 details the overall installation and replacement costs of a wood particle infill turf.

Table 8.1: Preferred Turf Option Costs

Option	Installation cost	Replacement cost	Option Summary
Option 3: Wood particle infill	\$ 2,932,212	\$ 1,038,163	Most environmentally friendly option. Less displacement.

Providers of synthetic turf generally have more than one option for the synthetic carpet for the turf surface. There is minimal difference in the pricing of the synthetic carpet. The different surfaces are tested with the different types of shock pads to meet the certification requirements of the governing bodies (FIFA, World Rugby).

The type of synthetic turf installed comes down to the intended use of the facility. Factors that determine this relate to the makeup of the carpet chosen include:

- Stitch rate of fibres
- Fibrillated and monofilament sports yarn
- Single or multiple colours
- Sub piles some will provide better infill retention characteristics

Table 8.2 provides a breakdown of the components of the natural wood particle infill turf. Total cost other projects is in Appendix Six. These should not be viewed as direct comparisons as the detail behind the costs is unavailable and most were completed several years ago.

Table 8.2: Preliminary Cost Estimates for the Preferred Artificial Turf Option

Component	Wood Particle Infill
Turf Cost (excludes consents, professional fees, and development contributions, if any).	\$2,291m

Component	Wood Particle Infill
Ancillary Cost (includes fencing, lighting, posts/ goals, player shelters, entrance/access ways).	\$641,400
Total Turf and Ancillary costs	\$2,932m
Renewal and Replacement Cost (based on 10-year life expectancy on synthetic surface).	\$1.038m

8.2. Annual Operating Costs

NZSTI estimates annual maintenance costs of \$37,294. This is 12% (\$4,300) more per annum than the current cost to maintain sand-based fields in Whangārei¹⁴ but provides more than double the capacity for use, 60+ hours compared with 18. As can be seen in Table 8.3 operating/maintenance costs for artificial turf vary considerably around the country. A detailed breakdown of maintenance costs for the proposed turf is in Appendix Five. A breakdown for the 6 venues referred to in Table 8.3 was unavailable.

Table 8.3: Comparison of Annual Operating Costs (excludes electricity and insurance).

Turf Owner	Annual Operating Cost/Turf
Proposed WDC Turf	\$37,294
Auckland Council	\$100,000
College Rifles	\$40,000
Hutt City Council	\$36,000
Palmerston North City Council	\$12,000
Selwyn District Council	\$19,000
Wellington City Council	\$30,000

8.3. Replacement Costs

While some turfs have been used well over 10 years, NZSTI recommends replacement of the turf every 10 years. This involves removal and repurposing of the existing synthetic surface, shock pad rectification, and synthetic surface installation. The replacement cost for the preferred wood particle infill turf is \$1.038m. The breakdown of these costs is in Appendix Five under Option 3. On this basis over a 30-year lifespan, worn turf renewal and infill would occur in years 11 and 21.

¹⁴ Source WDC sports field maintenance provider Green By nature.

9. Potential Funding Mix

WDC has allocated \$2.1m in year 2 (2025/26) and \$537,900 in year 3 (2026/27) of the 2024-34 Long Term Plan for the development of the turf. Any shortfall in funding will likely be sought from other sources.

9.1. Stakeholder Contributions

None of the 3 key stakeholders, TAFC, NFC, or NRF are in a position to contribute to the cost of the turf development. TAFC contributed what little funds it had, to the redevelopment of its clubrooms.

9.2. Traditional Funding Sources

Other than councils, Lotteries, Community and Gaming Trusts are the biggest funders of community facilities throughout New Zealand. Smaller contributions can be secured through philanthropic trusts, local businesses, and private individuals. The funding pool of all potential funders is over-subscribed.¹⁵

Gaming trusts will generally only fund in the communities they have outlets in and to the level of profits they have made in those communities. With a sinking-lid policy on gaming machines being adopted by some councils around the country the pool of money available for funding in those areas is also reducing, making it even harder to access this type of funding. While WDC has a restriction on the maximum number of machines that can be operated at a class 4 venue it does not have a sinking-lid policy. WDC's 2021 Class 4 Gaming Venue policy does not allow for the establishment of any new Class 4 venues. However, it does allow for existing venues to relocate under certain circumstances, one being the expiration of lease. This means existing Class 4 funders will continue to fund the district. Should the policy become more restrictive over time, this would likely impact the level of funds available for the wider community and this project. This could impact on any application within the community, regardless of whether the application was being made by WDC or others.

Whangārei has access to a mix of these funders, consisting of:

- Lottery Grants Board
- Northland Regional Council through the Northland Sporting Facilities Rate
- Foundation North
- Grassroots Trust
- Oxford Sports Trust

Foundation North and the Northland Regional Council have both invested in the redevelopment of the TAFC clubrooms and changing rooms.

'Our position is to oversee and administer football throughout the Auckland and Northland region and also run programmes and development opportunities within schools and communities. We would not be in a position to contribute towards the turf.'

NRF

¹⁵ Lotteries estimate the Community Facilities Fund is 2.5 times over-subscribed.

9.3. Alternative Funding Sources

If funding is not available from the larger funders it is likely a comprehensive fundraising plan will be required. This would need to be implemented to maximise funds raised from within the community. This funding plan could consider:

- Naming rights sponsor for the turf – Provided existing sponsorship arrangements allow this, then the turf may be an attractive proposition for a sponsor
- Crowd funding – This is an increasingly popular practice of funding a project by raising small amounts of money from many people¹⁶
- Other tiers of sponsorship - This would allow the community the opportunity to sponsor or feel ownership toward the project. There are a number of successful examples of this strategy throughout New Zealand. For example:
 - Sponsoring seats to support the refurbishment/earthquake strengthening of the Embassy Theatre in Wellington
 - Purchasing a brick to support the development of the New Brighton Pier in Christchurch
 - Purchasing a plaque to support the development of the Omihi Hall in Canterbury
 - Purchasing metal grape leaves to support the development of the Moutere Hills Community Centre in Nelson
- A levy on the registered Northern Regional Football players.

Lease to Buy

A newer alternative funding model is the opportunity to lease to buy an artificial turf. A New Zealand-based supplier and installer of synthetic turf is offering a leasing arrangement whereby the supplier takes responsibility for all costs in relation to an artificial turf they install, including ongoing maintenance and management of the turf. The lessee then pays an annual fee that ranges from \$120,000 - \$300,000 per annum depending on requirements. Revenue from advertising and/ or sponsorship can be used to offset annual costs.

Auckland Council has investigated this approach and believes it would be better off financially using this model over the life of the turf.¹⁷ It should be noted that Auckland Council fully fund any artificial turf developments. This type of arrangement (lease to buy) would shift the costs from being capital expenditure to operating expenditure.

9.4. What Funders are Looking For

9.4.1. Value for Money

Funders are all looking for what they call 'value for money' which equates to a high level of community use. With a shortfall in access to training fields for football alone, community use for a 22-week period could sit at over 400 hours. While investors prefer to see multi-use of facilities they invest in, investment in dedicated hockey turf around New Zealand confirms they will invest in single-purpose facilities, but they are likely to look more favourably on a multi-purpose facility as it provides a better opportunity for higher community use. While football is proposed to be the principal user of

¹⁶ Such as Boosted, PledgeMe, Kickstarter NZ, Givealittle

¹⁷ Kris Bird, Auckland Council

the turf during winter, there will still be time available for other community users in both winter and particularly summer.

Foundation North and Northland Regional Council have invested in the current developments at the park, they may see investment in an artificial turf as an opportunity to further increase community use thereby enhancing their overall investment.

9.4.2. Evidence of Need

All funders are looking for evidence of need for a facility, most would prefer this to come from a needs analysis prepared by an experienced independent consultant which includes:

- Wide community consultation not just the proposed primary user
- Current and projected participation statistics
- Consideration of what alternative venues are available and what state they are in
- Strategic alignment with Long Term Plans, Master Plans, other council documents, sports code specific Facilities Strategies, Regional Facilities Strategies

This has been undertaken through the development of the 2021 Sports Field Supply and Demand Study and this report.

9.4.3. The Feasibility of the Project

Again, funders prefer an independent feasibility study to be undertaken once a need has been identified. This would include:

- The level of confirmed funding at the time of the application
- The amount of further funding sought and the likelihood of securing it
- The ability of the applicant to maintain and ultimately replace the asset demonstrated through detailed income and expenditure projections and previous experience

This is the purpose of this report and will be available to support any funding applications.

9.4.4. Funders' Preferences

Support of both national and regional sport organisations and landowners will enhance any application to independent funders. While not specifically having identified Tikipunga Sports Park as the location for an artificial turf, NZ Football has identified the need for a 'Home of Football' in the Whangārei district with the expectation that would have an artificial turf¹⁸. NRF and Sport Northland have both shown support for the location of the turf at Tikipunga Sports Park.

¹⁸ NZ Football Facilities Strategy Update 2016

10. Operational Considerations

10.1. Ownership and Management

Who owns and manages an artificial turf are critical issues that must be resolved and agreed to by all interested parties well in advance of operation/use. There are 5 options:

- Council owned and managed
- Council owned and third party managed (the current model in place for Tikipunga Sports Park)
- Trust owned and managed
- Federation owned and managed
- Club owned and managed

The choice of option depends on the environment the turf is developed in, the financial implications for rate payers, the ability of any potential owner to maintain the integrity of the turf and the ability of any operator to avoid capture by any one user:

The Funding Environment

In Auckland, the development of artificial turfs was seen as the only option to significantly increase capacity across the network to meet the needs of an increasing population and avoid exorbitant costs of securing additional land for fields. As the predominant CAPEX and OPEX contributor it also made more sense for Council to own and manage the fields. Economies of scale can be achieved by Council managing maintenance across the entire network.

WDC has already earmarked a significant portion of the development cost of the turf in years 2 and 3 of the 2024-34 LTP. Any additional funding will need to come from recognised external funding agencies as none of the key stakeholders, that is, TAFC, NFC and NRF are in a position to contribute to the cost of development of the turf. Accordingly, WDC should retain ownership of the turf as part of the wider sports field network, for use, primarily but not exclusively by football.

Financial Implications for Ratepayers

If funding is provided by Council to a third-party owner, the funding is deemed to be an operational rather than capital expense and may have greater cost implications for ratepayers. WDC should undertake an assessment of the cost implications to determine if one is more favourable to ratepayers than another.

Timely Renewals

Historically hockey has operated a trust-owned and managed model. What has become clear over time is that a trust often does not have the financial capability to ensure the renewal the turf at the end of its life. If external funding is unavailable to support the renewal process, it may impact on the user experience. Hockey NZ now discourages clubs from taking on that responsibility.

Despite the size of both TAFC and NFC it is unlikely either club would have the capacity to meet the cost of renewal of the turf without access to funding from WDC or an external funding agency. While

renewal costs can be factored into user fees, those fees must consider the ability of user groups to meet those costs and encourage rather than discourage use.

None of the key stakeholders, TAFC, NFC, NRF have expressed a desire to own the turf.

Turf Maintenance

Unless the manager of the turf is experienced in turf management, it may negatively impact the player experience and longevity of the turf lifespan.

Sports fields in Whangārei are currently maintained by Green By Nature. Their skills and experience are unlikely to be met by club management of the maintenance of an artificial turf. None of the key football stakeholders has expressed a desire to be involved in the maintenance of the turf.

Avoiding Club Capture

There is often a perception, which may or may not prove to be a reality, that locating a turf on a particular club's home ground will lead to capture of the turf by that club. NFC and NRF have both raised this as a concern about placement of the turf at Tikipunga Sports Park if it is to be managed by TAFC. Tikipunga Sports Park is already well used by other clubs for regular training and competition, as well as tournaments and events. TAFC has advised that they see the artificial turf having at least the same, if not more use by the wider community and they would not want to interfere with that in any way. However, as use of the turf is integrally connected to the Tikipunga Clubrooms and connected changing rooms, TAFC wishes to be responsible for the booking management of the turf.

10.2.Learning from Other Turf Developments

Key operational learnings to arise from previous developments include:

- Having robust user policies in place to ensure equitable access. Often a turf is developed on a site where a club is already domiciled. This can lead to a perception that the turf has been developed for that specific user group. This is a potential risk for Tikipunga.
- Ensure a user policy is in place that outlines a fair and transparent system for booking time on the turf.
- If developed on Council land then Council should own and retain control of the floodlights, to ensure ongoing maintenance protocols are followed.
- A code's ability to pay reasonable costs for turf hire may change over time. Ensure everyone understands the financial implications before committing to the development of an artificial turf.
- Consider a "buffer zone"¹⁹ between the artificial turf and grassed areas to avoid the transfer of organic matter on to the turf surface.

10.3. Recommended Approach

10.3.1.Ownership of the Turf

WDC owns the turf as part of the wider sports park network. The rationale for this is:

- The key stakeholders have no interest in owning the turf.
- The level of investment proposed by WDC

¹⁹ A concreted area with metal grating to trap grass, dirt and other organic matter that will be on people's shoes.

- The level of deprivation across Tikipunga and other parts of the district will likely impact the ability of another owner having the financial capacity to fund the renewal of the turf without significant capital investment from external funders. If that funding is unavailable when needed this may lead to poor turf condition which will impact on user experience.

10.3.2. Management of the Turf

There are 2 components of turf management that need to be considered:

- Turf maintenance
- Booking management

10.3.3. Turf Maintenance

Currently, Green By nature is contracted by WDC to both manage bookings and maintenance of all sports fields across Whangārei. Extending the contract to encompass the artificial turf would be a relatively easy exercise and from a maintenance perspective would be a wise decision, as TAFC has no expertise in maintenance, particularly of a specialised surface.

10.3.4. Booking Management

As far as booking management goes, there are 2 options:

- Extend Green By nature' contract to encompass bookings of the artificial turf in line with their existing contract. This would ensure one operator would have overall oversight of the whole sports park network.
- Task TAFC with responsibility for the booking management to align with the bookings of their clubrooms and the changing rooms which will be used for commercial bookings as well as to support sport on the field.

Any concerns regarding club capture of the turf can be adequately managed by WDC meeting with the key stakeholders on an annual basis to agree the terms of use and identify and agree the allocation of turf time among user groups. This can then be captured in a memorandum of understanding that all stakeholders are a party to.

10.4. Proposed Fees and Charges

The level of user hire charges depends on the asset owner's policies on user charges and/ or what is agreed to and documented in a Memorandum of Understanding regarding turf. For example, Auckland Council does not charge for the use of sports fields, grass or artificial, while some other owners will charge a fee that reflects the level of user-pays cost recovery the owner is attempting to achieve. Most councils have a cost recovery policy that ranges from 5% private (user pays) to 20%, this means charges for artificial turf are usually much higher than grass fields as they cost more to maintain on an annual basis. For example, Selwyn District Council charges \$34.50 per hour for use of the artificial turf but only charges \$80 per season for a grass field with lights.

WDC's 2024 Revenue and Financing Policy's funding needs analysis recognises that users of sport and recreation facilities gain a private benefit. However, it also acknowledges that there is a wider community benefit in the provision of good quality facilities which encourage a more active lifestyle. Facilities provide both short and long-term benefits, accruing advantages to be enjoyed by future as well as current ratepayers. As such, the operational expenditure funding source is set at 80% public

(rates) contribution and 20% private (user pays). In reality, the socio-economic status of much of the community is such that the ratio is more like 95% public and 5% private. There is no similar requirement for capital expenditure.

A user fee should be implemented to allow recovery of some of the costs involved in maintaining and renewing the turf. This could range from a universal fee that all users pay, as is the case at Selwyn's Foster Park artificial turf²⁰, or a fee that allows for maintenance and replacement costs to be covered by users in peak times, providing free use in off-peak times.

Table 10.1 compares different rates charged for the hire of artificial turf around New Zealand.

Table 10.1: Hourly Charges for Artificial Turf

Owner	Charge (per hour)	Comments
Albany Football Hub	\$50	Specialist 5-a-side fields. Not full size
Auckland Council	No fee	No fee for fields or clubrooms
Chch United Football Centre	\$144	Lights additional \$40
Dunedin City Council	Around \$1200 per yr	
Hutt City Council	\$90	
Palmerston North City Council	\$40 (\$25 schools)	Lights/changing rooms additional fee
Selwyn District Council	\$34.50	
Upper Hutt City Council	\$70	
Waimakariri District Council	\$85	Lights additional \$30
Wellington City Council	\$82.50	Off peak rate \$52, Youth \$40
Northland Hockey	\$70.50 (per ½ turf per hr, per team)	

Individual clubs are usually responsible for the capital and operating costs of any floodlights that may be used for evening trainings, however, as the turf at Tikipunga is intended for wider use than simply TAFC, the cost of erecting flood lighting should not be passed on to a single club and could either be included in the overall capital cost or passed on to NRF as the regional body.

Table 10.2 outlines 6 different scenarios for a proposed user fee structure based on the estimated annual maintenance and renewal²¹ costs provided by NZSTI. These have been calculated using Sport NZ's mid and high-range hours of use.²² The final costs need to be considered and agreed on during negotiations for a memorandum of understanding in relation to the turf.

Scenarios 1 and 2 reflect WDC's current funding policy in theory and practice for operational expenses and adopt the same approach for the renewal/capital expenditure. Scenarios 3-6 would

²⁰ \$34.50 per hour, inclusive of lights and changing rooms, to all users both off peak and at peak times.

²¹ Based on 10-year life expectancy on synthetic surface. Noting many turf around the country have been used for more than 10 years. (\$37,300 excluding lighting operating costs) (\$1.038m for the environmentally friendly infill)

²² 2019 Sports Field Design Guidelines.

require a funding policy change. Some scenarios may also put the use of the turf beyond the means of many in the community and could serve as a barrier to participation rather than an incentive.

Table 10.2: User Fee Structure Scenarios

	Proposed User Fee Recovery Rate	Amount to be Recovered Per Annum	Proposed Average Hourly Turf Hire Charge (break even for 1,063 hours/year ²³)	Proposed Average Hourly Turf Hire Charge (break even for 1,375 hours/year)
Scenario 1	20% maintenance / 20% renewal	\$28,220	\$26.50	\$20.50
Scenario 2	5% maintenance / 5% renewal	\$7,055	\$6.60	\$5.15
Scenario 3	100% maintenance/ 0% renewal	\$37,300	\$35	\$27
Scenario 4	50% maintenance / 50% renewal	\$70,550	\$66	\$51
Scenario 5	100% maintenance / 50% renewal	\$89,200	\$84	\$65
Scenario 6	100% maintenance/ 100% renewal	\$141,100	\$132.70	\$102.60

These charges are based on the following assumptions:

- The recovery rate of annual maintenance and renewal costs ranges from 5% to 100%.
- The turf is hired for 1,063 or 1,375 hours per year. This requires an average of either 22 hours (medium use) or 29 hours (high use) per week for a 48-week year (noting that it is likely this will fluctuate during the year and there will be more hours of turf hire during the winter sports season).
- The more free use of the turf, the higher the user charge will need to be for other user groups to subsidise this use.
- The same rate is charged for all users.
- If the turf is being used for training the entity using pays the full rate.
- If the turf is being used for games the fee is split across 2 clubs. This will reduce the cost per club for shorter games but turf use for a senior game will be around 2 hours so there will be no savings.

²³ Medium and high use rates of use for artificial turf identified by Sport NZ.

11. Conclusions and Recommendations

11.1. Conclusions

While the development of an artificial turf has higher upfront costs than other options because of the materials and construction involved, the increased capacity and cost per hour of use makes it a more attractive option.

Concerns regarding the environmental impact of artificial turf are reducing with the development of more environmental infill options such as wood particle.

The size of Tikipunga Sports Park, its central location for use by teams in the NRF league across Northland, its current use by TAFC, NFC and as a preferred venue for football events and tournaments makes it the ideal site on which to develop an artificial turf. Current redevelopments to changing rooms and TAFC clubrooms will support the placement of an artificial turf at the park and make it the most suitable venue in the district to be the 'Home of Football.'

The 2022 Sports Field Demand Study identified an existing shortfall of 32 hours per week of access at Tikipunga Sports Park to lit fields for training for TAFC, NFC and other clubs. This shortfall was projected to grow to 50 hours per week by 2031. Since that study was undertaken NRF reports a 32% increase in football participation across the Whangārei district. NFC reports a similar increase while TAFC reports an overall increase of 8%.

Current demand and use is such that there may not be many hours available in winter for use by groups other than football, but the proximity to Tikipunga High School, and the Te Puawaitanga and Pehiaweri Marae may provide potential users on weekdays when the turf is not in demand for football use. While there will be some demand over the summer months by football there is likely to be more hours available for the likes of touch, cricket and ki o rahi.

The football stakeholders spoken to understand there will be a cost for all users to access the turf. In light of the levels of deprivation across parts of Whangārei, care needs to be taken to ensure this cost is reasonable and does not function as a barrier to participation. There are several different approaches that can be taken to assess what that cost should be and whether it is simply to cover annual maintenance costs or maintenance and replacement costs. Changes may need to be made to WDC's funding policy if the level of cost recovery does not align with its current funding policy of 80% public/ 20% private.

The estimated capital cost of the preferred artificial turf is \$2.932m, with renewal costs over 30 years of \$1.038m. Annual operating costs are estimated to be \$37,000. None of the stakeholders spoken to are in a position to contribute to the construction costs of the turf.

11.2. Recommendations

It is recommended that:

- A full-size artificial turf be developed at Tikipunga Sports Park primarily but not exclusively for football.
- Wood particle infill be used to address environmental impact concerns.

- WDC should own the turf.
- Maintenance of the turf to be undertaken by Green By Nature or any other turf specialists WDC should contract in the future.
- WDC meets with stakeholders to agree the preferred management structure for the turf. If the football stakeholders cannot reach agreement, consider engaging Green By Nature as turf bookings manager.
- A memorandum of understanding be entered between WDC and any relevant stakeholders once agreement has been reached about use and booking management.
- An annual turf allocations meeting is held, including WDC, Green By Nature, NRF, TAFC, and NFC to determine usage is fairly distributed.
- Any user fees proposed are such that they do not function as a barrier to participation.

12. Appendix One – Secondary Data Review

12.1. National

12.1.1. Sport NZ Strategic Plan 2024-2028

Continuing with the vision of *Every Body Active*, the Plan identifies:

- 3 long-term outcomes:
 - Increased frequency, intensity, time, and type of participation in physical activity and sport
 - Enhanced experience of participants, supporters, volunteers, and workforces
 - Increased variety of culturally distinct pathways for tangata whenua and all New Zealanders
- 3 strategic focus areas:
 - Maintaining physical activity levels of tamariki
 - Reducing the decline in physical activity levels for rangatahi
 - Improving equity for tamariki and rangatahi who are less active
- 4 strategic priorities to be successful:
 - Capable and resilient partner organisations
 - Quality opportunities and experiences
 - Empowered local communities and hapori
 - Active schools and kura

12.1.2. New Zealand Spaces and Places Framework, Sport NZ 2024

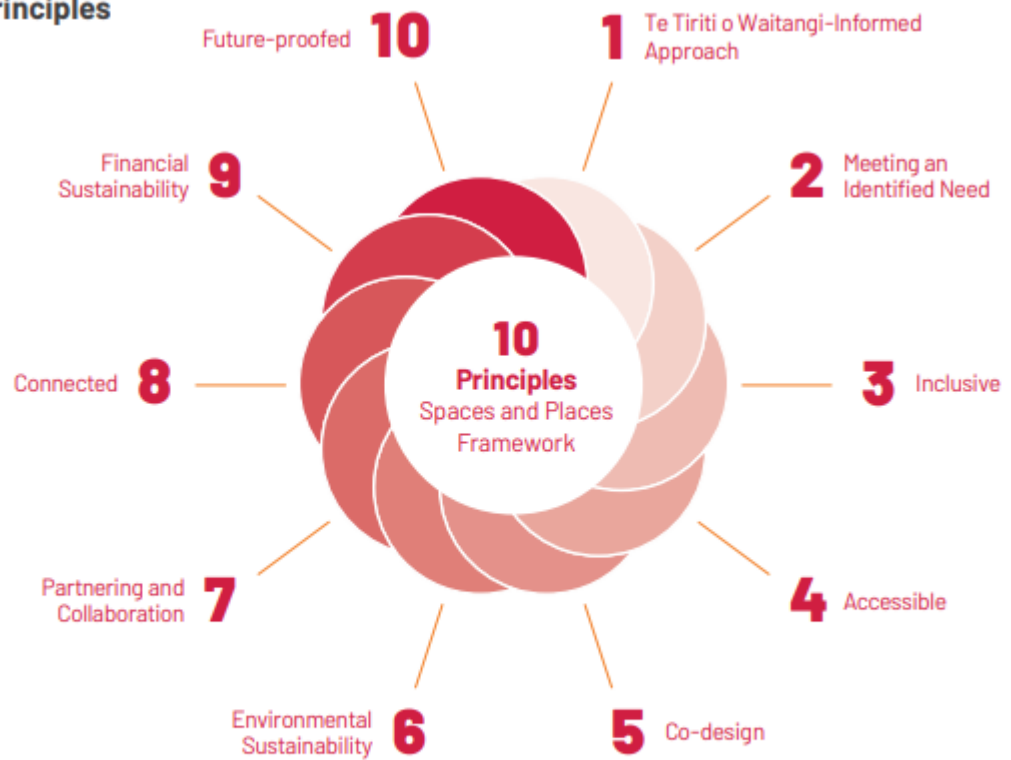
This Framework builds on the 2014 New Zealand Sporting Facilities Framework in response to the continued need for robust planning and decision-making about resources and investment in fit-for-purpose play, active recreation, and sporting facilities and active environments.

The Framework identifies challenges and opportunities that need to be addressed:

- Addressing affordability
- Responding to urban development and growth
- Improving environmental sustainability and climate resilience
- Changing demand
- Improving functionality

To do this the Framework recommends application of 10 guiding principles:

Guiding principles



The principles within this framework, whilst expressed as individual principles, do not work in isolation – they overlap and are interconnected.

The Framework is intended to work together with other strategies and plans



12.1.3. Environment Sustainability Guidelines, Sport NZ 2024

These guidelines were designed to be read in conjunction with the New Zealand Spaces and Places Framework,

The purpose of the guidelines is to help territorial authorities and sport and recreation organisations navigate the range of issues relating to environmental sustainability that affect spaces and places for play, active recreation, and sport (referred to as spaces and places) in New Zealand.

These guidelines apply specifically to the environmentally sustainable inception, design, construction and operation of spaces and places. They are intended to help organisations identify and adopt sustainability measures that will:

- Help to improve present operations
- Support decision-making for future investment

Four key sustainability concepts are conveyed in the guidelines:

- **Sustainability First** considering and implementing sustainable practice is essential for the operational resilience, financial viability and long-term cost effectiveness of spaces and places. Examples include:
 - Reducing GHG emissions by improving energy efficiency and making informed material choices.
 - Making a step-change in water management by reducing consumption and minimising discharges.
 - Reducing all waste going to landfill and developing a culture of re-use and recycling.
- **Whole of Life**: all projects must be considered in terms of their long-term consequences. This applies to positive and negative impacts on the community and environment that spaces and places engage with, and also to the affordability of operating facilities in the future. Examples of this approach include:
 - Setting strategic aspirations for reducing GHG emissions.
 - Accounting for operating and maintenance costs and how they will be funded over time.
 - Considering the preparation needed for resilience against future extreme weather events (flooding, storms, coastal erosion, and heat waves).
 - Considering material maintenance, durability, and lifespan (including what happens to them at end-of-life)
- **Needs Assessment**: thinking and acting sustainably requires reducing excess and effectively utilising resources. Careful consideration of needs, as opposed to wants, should guide decision making, with particular focus on the needs of potential future users of spaces and places.
- **Context**: social, cultural, transport, ecological and economic context must be considered. Solutions need to minimise negative impacts and create win- win outcomes for the wider community. This requires working with a wide range of stakeholders and expertise as early as possible in the project.

The guidelines propose that you only build new if there are no other alternatives such as:

- Collaborate
- Refurbish
- Re-purpose

The guidelines are structured around the 4 key stages of most spaces and places projects:

- Project concept and planning
- Design
- Construction
- Operation

The document provides a checklist of 8 interconnected sustainability themes that should be considered for each of the 4 stages:

- Energy
- Materials
- Water
- Transport
- Ecology
- Wellbeing
- Communities
- Economy

12.1.4. Sport New Zealand - Sports Field Guidance Document (2019)

Sport New Zealand has produced this guidance document to assist a wide range of providers, including local authorities, schools, and sports club to assess their sport field requirements and make appropriate sports field development decisions.

This document identified a four-stage process to help address issues and provide guidance on decision making regarding the upgrading or development of sports fields.

The Sports Field Decision Making Process

The sports field decision making process is captured within the following four stages.

Stage 1. Needs Analysis

Establish what you have, and what you need.

Stage 2. Sports Field Options

Understand your level of service expectations.

Stage 3. Cost Analysis

Understand your budgetary constraints.

Stage 4. The Way Forward and Where to Find Advice

Artificial Turfs

In reference to artificial turfs this report covers site-specific and environment factors going into detail around the; topography, climate, soil type, heat factors and players health, water availability, trees, landfill sites, design, construction, operation, maintenance/replacement, and decommissioning.

It states that the continued development of artificial surfaces has meant that the current third generation (3G) artificial surfaces perform similarly to natural turf. However, artificial turf is still considered a recent development for winter sport in New Zealand (except for hockey) and little is known on the lifespan and maintenance costs here. The main advantage of artificial sports fields over natural grass fields is that they can withstand much higher levels of use.

The report also goes into detail around play safety and states that it is important to consider the changes that occur to artificial turf over time, such as the compaction of infill, loss and displacement of infill and the flattening of fibres, and initiate measures to prevent these situations from occurring.

In conclusion this document states that good design needs to be based on a sound understanding of the current trends and practices, developments in the sport and leisure industry and lessons

“When making the sports field decision it is crucial to assess sports field demand, levels of proposed use, maintenance and management in order to balance risk against demand” (Sheppard, 2008)

learnt from previous projects. Evaluating the results from the needs analysis, sports field options, cost analysis and gaining qualified advice will ensure an informed sports field decision is achieved.

12.1.5. Women and Girls Strategy in Sport Strategy (2018)

The Strategy launched by the Government with a vision to enable women and girls to realise their potential in and through sport and active recreation. This Strategy was developed in response to not only declining activity levels in women and girls, but also levels that were consistently lower than the levels of boys and men across most ethnic and age cohorts.²⁴

It was also intended to address the many and increasing barriers that women and girls face to become active and redress the imbalance in leadership opportunities within the sport and active recreation sector.

Priority areas in the strategy are leadership, participation, and value and visibility.

In response, Sport NZ has used its 'participant centred approach' to help groups to understand how to communicate with women and girls and provide co-design opportunities for them to identify and organise sport and active recreation opportunities of their choice.

Sport NZ has run leadership forums focusing on women and girls in sport and recreation and has introduced a requirement for all organisations they invest in to have 40% female representation on their Boards.

12.1.6. New Zealand Football National Facilities Strategy Update (2016)

The following highlights key points from the New Zealand Football National Strategy in relation to the football nationally as well as specifically for Northern Football.

Nationally

- Nationally demand for football is increasing overall, reflecting a range of trends including population growth, increasing junior player numbers and, wider ethnic diversity.

Northern Football

- In 2013 the Northern Football Region 'playing age' population was 265,810 and overall is projected to increase by 69,111 (26.3%) to 335,720 in 2043. .
- Membership is projected to increase by 3,466 from 13,184 in 2023 to 16,652 in 2043.
- These increases are largely an extended 'Auckland effect' generated in the North Shore zone of the Northern Football Federation.
- Low or even negative growth is projected for many areas of the wider Northland Region.

Issues/Opportunities identified for Northern Football:

- The need for a 'Home of Football' based in Whangarei to provide a regional hub for player development and coach and referee training for those involved in the game in the Northland. This would likely contain an artificial turf and associated infrastructure such as changing rooms and administration areas. It would also be used by Northern Football federation for training and competition games.
- Accessing summer football fields is a challenge. A benefit of delivering summer football is the ability to provide pathways for players, referees, and officials.

²⁴ Active NZ Survey 2017 and 2018

- The majority of sports fields are soil based which provides less use per week than sand carpeted fields.
- There is also limited flood light provision.

12.2.Regional

12.2.1. Whangarei Recreation Facilities Plan 2024

The purpose of this Plan is to identify a preferred location/s for a sports hub with the capacity to accommodate:

- A multi-use indoor court facility (6 courts)
- An aquatic facility
- Sports fields
- Outdoor netball courts
- Active recreation opportunities

Tikipunga High School adjacent to Tikipunga Sports Park was assessed as a potential site but was only ranked 6 out of 7 sites.

12.2.2.Kōkiri Ai Te Waka Te Waka Hourua 2021-2030

A Strategy for play, active recreation, and sport across Northland. It is intended to inform the development of future Long-term and Annual Plans for Councils and key organisations working within the sector, including funders. It considers the spaces, places and programmes that support play, active recreation, and sport activities in the region.

Tikipunga Sports Park is identified as a regional facility. As defined a regional facility has the ability to host inter-regional and internal regional competitions and /or serves as a regional high-performance training hub for one or more sports codes.

The recommendation made in relation to football in the Active Recreation and Sport Strategy for Whangārei District February 2020 is repeated in this Strategy.

12.3.District

12.3.1. WDC Long-Term Plan 2024-2034

Volume 1

4 community outcomes these have changed since the 2020 Active Recreation and Sport Strategy was developed:

- Thriving local identity
- Diverse and inclusive culture
- A great place to call home
- Sustainable and resilient future

Growth and climate change are both identified as key drivers of the Plan.

The development of the Tikipunga artificial turf is identified as an upcoming project with approved budget to progress the development.

Volume 2

A key assumption that informs this strategy is that climate change and associated more frequent and intense rainfall events will adversely impact sportsfields. The response is to plan and budget for an increase in artificial turf to deal with sodden fields and therefore maintain the current level of service and increase capacity without requiring new fields and/or land purchases.

12.3.2.Sports Field Supply and Demand Study 2022

The Study considered the supply and demand of the wider network of winter and summer sports fields across Whangarei district. This included Tikipunga.

- There are 12 football clubs in the district with 225 teams
- 33 of the teams are senior, 31 youth and 161 juniors
- 8 women's and 2 girl's teams were identified. However, the majority of youth and junior teams are mixed.

Current Demand and Supply Hours per Week – full field equivalent:

Demand Summary 2021	Total Competition/ Weekend	Total Training/ Weekday	Total Demand
Football	129	201	342
Tikipunga	25.5	53	79
Supply Summary 2021	Total Competition/ Weekend (surplus)	Total Training/ Weekday (surplus)	Total Supply (surplus)
Tikipunga	25	36	61

On the face of it Tikipunga looks to have enough fields to meet demand. But what also had to be considered was the accessibility of the weekday fields. Many are unlit which means they are of little value for training purposes. Taking that into account if the fields remain unlit the training supply surplus/shortfall looks like this:

2021	2031
-32	-50

The recommendation was to explore options to provide an additional 40 accessible hours to meet current mid-week demand.

Installation of an artificial at turf at Tikipunga would go some way to do this.

12.3.3.Sustainability Strategy, WDC, undated

The Strategy acknowledges climate change is a serious environmental issue. Mitigation is a key component of the Strategy. The Strategy has a series of actions that initially focus on raising awareness and then reducing climate change impact.

A key focus of the Action Plan relevant to this project is embedding sustainability and climate change as a decision-making criteria across Council functions. Relevant actions:

- Introduce sustainable and ethically sourced materials, reduced emissions, and waste outcomes in contractor management.
- Reuse of material from demolition work for new builds / rebuilds.

12.3.4. Active Recreation and Sport Strategy for Whangārei District February 2020

The purpose of the Strategy is to provide a high-level direction to Whangareai District Council (Council) on how to meet the current and future active recreation and sport facility (spaces and places) needs for the district. It is also intended to assist active recreation and sport stakeholders, community organisations, and funding agencies with their future investment decisions. The Strategy is described as a function-based plan that contributes to Council's Vision - A vibrant, attractive, and thriving district and 4 community outcomes:

- Efficient and resilient core services
- Positive about the future
- Caring for the environment Proud to be local

The 3 goals of the Strategy are:

- increasing participation
- improving the quality of experience
- improving long-term sustainability of facilities

A recommendation made in relation to football:

Subject to the sports field demand study findings, and the findings of an independent needs analysis and feasibility study, support be given to Tikipunga Park becoming the 'home of football' incorporating an artificial turf field and access to a minimum of two grass fields to complement other provision in Northern Football region.

This recommendation is identified to achieve 2 of the 3 strategic goals – increasing participation and improving long-term sustainability of facilities. Arguably it will also improve the quality of experience if opportunities to training and play are not lost in bad weather. Council is identified as the lead agency. The time frame has a short-term priority of 0-3 yrs.

12.4. Local

12.4.1. Tikipunga Placemaking Plan 2020-2021

Tikipunga has been identified as a high growth node within the Whangareai District Growth Strategy. This Plan creates a 20–30-year spatial plan for how the area will change and grow and identifies the challenges and opportunities that come with that.

The Tikipunga sports hub/ 'Home of Football' is identified as a priority within the Plan relating to a community driven initiative under Council's goal of urban connectivity. The description for the action:

The community to work with Sport Northland and Council to develop Tikipunga Home of Football, in line with the 'Active Recreation and Sport Strategy' - action 35:

- Assist in establishing a user forum / governing body with the Tikipunga 'Home of Football' and the sporting codes.
- Develop a master plan or development plan for Tikipunga Sports Park including additional car parking.
- Explore opportunities to increase collaboration and partnerships at an operational level between the existing and future users.

Two actions triggered by the development of the sports hub/ 'Home of Football' are:

- Develop an overflow carpark at the Tikipunga Sports Park to service both the sports park and Otuihau/Whangārei Falls.
- Create a recreational walking and cycling loop around the Tikipunga Sports Park.

13. Appendix Two: Community Profile

13.1. Whangārei District Demographic Snapshot

It is important to factor in demographic changes in the Whangārei district when predicting future needs for sport and active recreation facilities such as an artificial turf. Following is a summary of the key demographic factors such as population growth, ethnic profile and the ageing population that will impact the demand for community facilities.

	Demographic Highlight	Impact on Sport and Recreation
	The total population of the Whangārei district is expected to grow by 38%% (39,490 people) between 2024 and 2054, from 102,816 to 142,306 people	An increase in the total number of people wishing to participate in sport and active recreation.
	All communities of interest in the Whangārei district are expected to experience population growth between 2022 and 2054. Kamo (13,004) and Tikipunga (6,978) are projected to experience the greatest overall growth.	Future facility developments need to consider where the future population will be and what level of mobility people have to travel around the district to participate.
	The population of all age groups in the Whangārei district are expected to experience growth in the 25 years to 2048.	When considering future sporting and active recreation needs in the Whangārei district it is important to understand the differing use levels of facilities by various age groups.
	The proportion of the population in the group aged 65 years and over is expected to increase by 6% to 27% or over one-quarter of the population in the 25 years to 2048 ²⁵ .	More demand for indoor recreation and social spaces by this cohort, along with the types of activities they wish to participate in. A requirement for facilities that are warm, accessible and with good acoustics.

²⁵ Ethnic population totals will be greater than the total population as individuals can identify as more than one ethnicity.



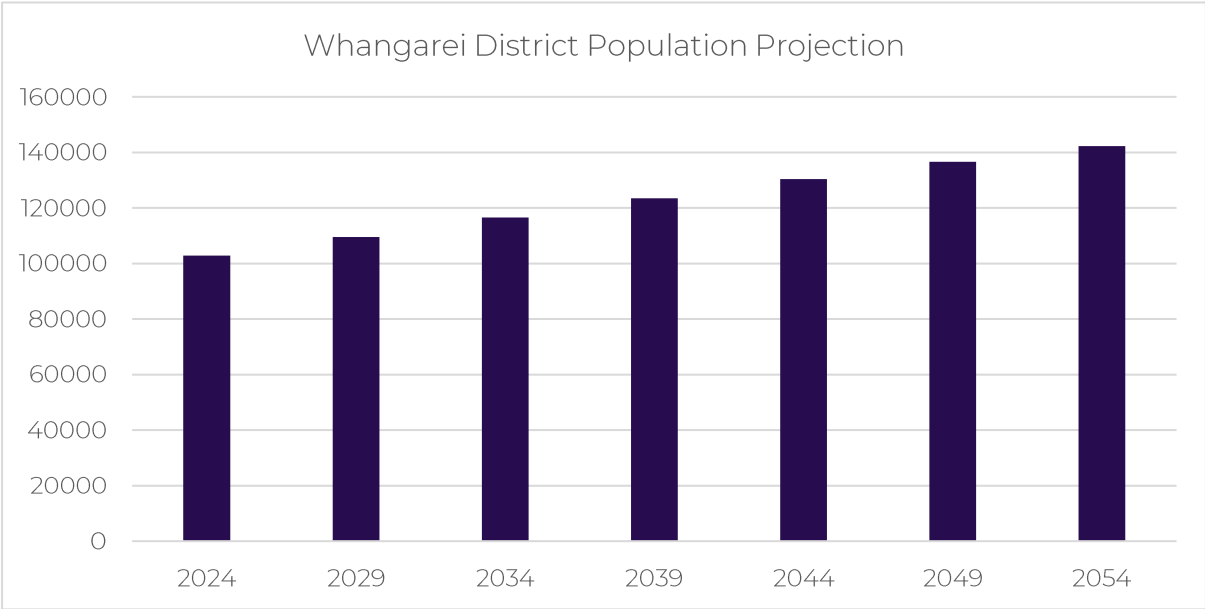
The population of the Whangārei district is expected to become more ethnically diverse between 2023 and 2043. All ethnic groups are projected to experience a growth in numbers, but the group identifying as European or Other is expected to increase at a much smaller rate than the populations of those identifying as Māori, Asian or Pacific.

The participation preferences of various ethnic groups can vary. Football has traditionally been an activity that is particularly popular with Asian and African groups.

13.1.1. Population Projections

The total population of the Whangārei district is expected to grow by 38%% between 2024 and 2054, from 102,816 to 142,306 people.

Figure 13.1: Whangārei District Population Projection

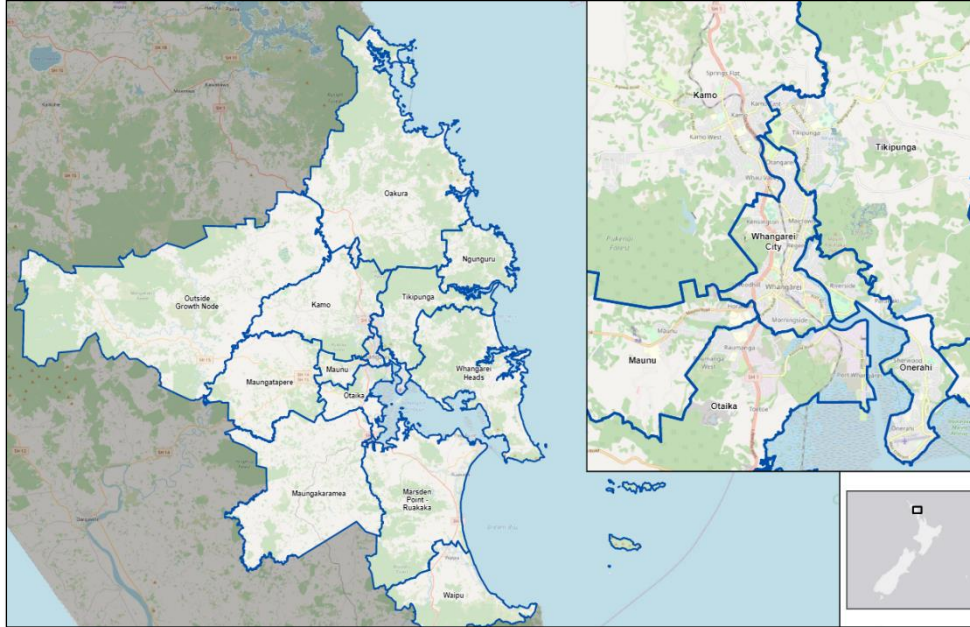


Source: Northland and Whangārei Population Projections– High Growth Scenario

13.1.2. Community of Interest - Population Projection

WDC has identified communities of interest that are used to describe various areas in the district for planning purposes. Figure 12.2 illustrates where these communities of interest are located.

Figure 13.2: Whangārei Communities of Interest



Source: WDC supplied

All communities of interest in Whangārei are expected to experience population growth between 2022 and 2054. Kamo (13,004) and Tikipunga (6,978) are projected to experience the greatest overall growth. Whangārei City, Marsden Point-Ruakaka, Onerahi, Otaika, Waipu and Maunu are all expected to experience population growth of more than 2,000 people over the 32 years.

Table 13.1: Communities of Interest – Population Growth Projections

Community of Interest	Population 2022	Population 2054	Change 2022-2054	% Change 2022-2054
Kamo	18808	31812	13004	69%
Tikipunga	10313	17291	6978	68%
Whangārei City	14982	18924	3942	26%
Marsden Point-Ruakaka	9850	12933	3083	31%
Onerahi	9109	11736	2627	29%
Otaika	7596	9953	2357	31%
Waipu	3290	5435	2145	65%
Maunu	5885	7992	2107	36%
Ngunguru	3186	4445	1259	40%
Whangārei Heads	4588	5761	1173	26%
Hikurangi	1758	2683	925	53%
Maungatapere	3826	4400	574	15%
Outside Growth Node	2167	2666	499	23%
Oakura	2865	3328	463	16%
Maungakaramea	2475	2895	420	17%

Source: WDC supplied – Population Levels and Growth for Whangārei District (High Projections)

Note approximately 90% of the population now and in the future will reside within an approximate 30-minute drive to the Whangārei city.

13.1.3. Age Group Projections Whangārei District

The population of all age groups in the Whangārei district are expected to experience growth in the 25 years to 2048. The group aged 65 years and over is expected to experience by far the greatest growth with an increase of 16,100 people (a 74% increase). All the other age groups are expected to experience steady growth of between 3,200 and 8,800 individuals (15% to 28% growth) over the same time. When considering future sport and active recreation needs in the WDC area it is important to understand the differing use levels of facilities by various age groups.

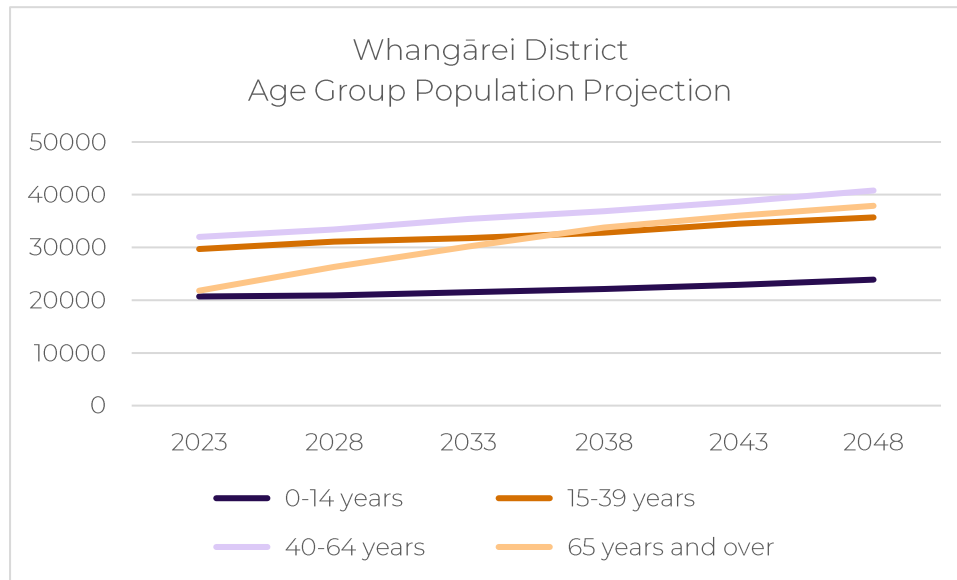
Table 13.2 Whangārei Age Group Projections

Age	2023	2028	2033	2038	2043	2048	Change 2023-2048	% Change 2023-2048
0-14 years	20700	20900	21500	22100	22900	23900	3200	15%
15-39 years	29700	31100	31800	32800	34500	35700	6000	20%
40-64 years	32000	33400	35400	36900	38700	40800	8800	28%

Age	2023	2028	2033	2038	2043	2048	Change 2023-2048	% Change 2023-2048
65 years and over	21800	26300	30200	33800	36000	37900	16100	74%

Source: NZ Statistics Census 2018 – High Projections

Figure 13.3 Whangārei District Age Group Population Projection



Source: NZ Statistics Census 2018 – High Projections

13.1.4. Age Group Population Distribution

While it is expected that the 40–64-year age group will make up a similar proportion of the population in 2048 as it does in 2023, it is expected that the proportion of the population in both the 0–14-year age group and the 15–39 year age group will decrease by 3%. The proportion of the population in the group aged 65 years and over is expected to increase by 6% to 27% or over one-quarter of the population.

Table 13.3: Age Group Population Distribution

Age	% of Total Population 2023	% of Total Population 2048
0-14 years	20%	17%
15-39 years	29%	26%
40-64 years	31%	30%
65 years and over	21%	27%

Source: NZ Statistics Census 2018 – High Projections

13.1.5. Playing Age Population Projection

For the purposes of this study playing age has been determined as 5–39 years of age as this represents the majority of active participants. It is important to consider that analysis of current participation indicates that 5 – 18-year-olds make up between 75% - 90% of total participation. While

the masters' age group of sport (30+) continues to increase in popularity and is captured in the playing age of 5-39 years old, projected changes to the 5 – 18 years old are the most significant factor.

There were 43,830 people of playing age (5-39 years) in the Whangārei district in 2023 and this is expected to increase to 51,730 people by 2048. This is an increase of 18% or 7,900 people. The group aged 5-14 years is expected to increase by 13% or 1,860 people and the population of the 15-39 year age group is expected to increase by 20% or 6,040 people over the same period.

Table 13.4: Playing Age Population Projection

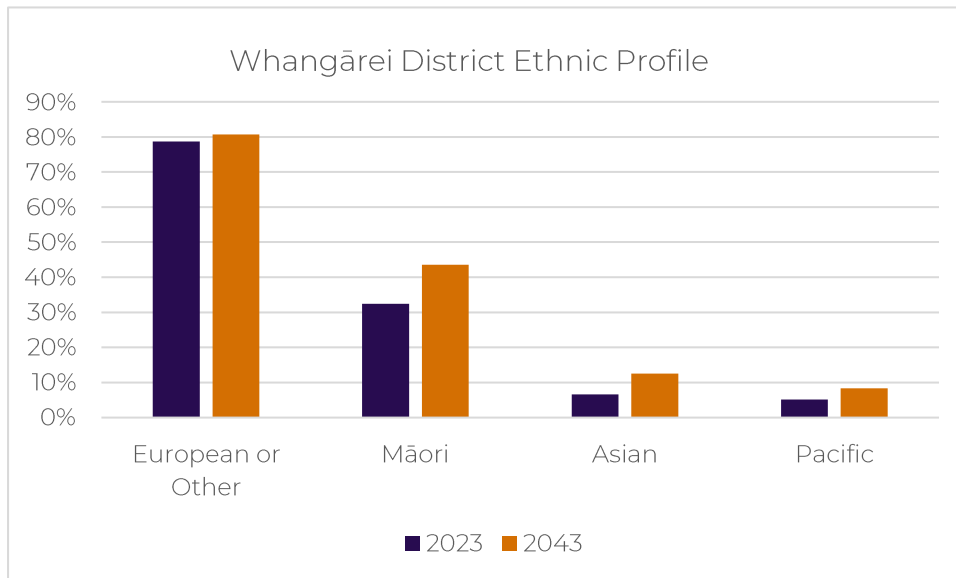
Age	2023	2028	2033	2038	2043	2048	Change 2023-2048	% Change 2023-2048
5-14 years	14170	14190	14620	14990	15380	16030	1860	13%
15-39 years	29660	31150	31830	32840	34530	35700	6040	20%
5-39 years	43830	45340	46450	47830	49910	51730	7900	18%

Source: Stats NZ High Projection

13.1.6. Ethnic Profile

All ethnic groups are projected to experience a growth in numbers between 2023 and 2043²⁶. The population of those identifying as Māori is projected to increase by 23,500 people or 71% while the population of those identifying as Asian is expected to see a significant increase of 142% or 9,580 people. The population of those identifying as Pacific will also experience a big increase, of 103% or an additional 5,510 people. Those identifying as European will remain the biggest ethnic group, however it is projected to record the smallest increase in the 20 years to 2043, of 30%.

²⁶ Ethnic population totals will be greater than the total population as individuals can identify as more than one ethnicity.

Figure 13.4: Whangārei District Ethnic Profile

Source: NZ Statistics Census 2018 – High Projections (Ethnic Population Totals 2023 and 2043) and Population Levels and Growth for Whangārei District High Growth Scenario (Total Population Projections 2024 and 2044)

14. Appendix Three – Options to Meet Need

14.1. Options to Meet Shortfall in Field Capacity

There are three main options to meet the shortfall in field capacity:

- More effective use of existing fields through code allocation and use schedules
- Increasing the capacity of existing fields
- Expanding the supply of fields

14.1.1. More effective use of existing fields

Optimising code allocation and competition / training balance

The data provided in this report will help ensure allocation of fields is optimised across competition and training and across codes.

Changing Sports Schedules

Currently most football and rugby competition games are played on Saturdays with some league on Sundays. This leaves many fields unused on Friday evenings. In some parts of New Zealand there is a growing move towards playing some grades, usually young children, on Friday evenings. Coastline League used to play their senior men's competition on Friday evenings but have now reverted to Saturday afternoons. Where competitions are run Bay of Plenty wide scheduling changes will be difficult because of the need to have agreement from those outside the Whangārei District.

Reconfiguring small sided fields

Council provides a number of small sided fields for younger children to play on. There is potential for some of these games to be played on full fields using cones to mark off the smaller areas. This would provide an opportunity to reconfigure park layouts to provide the maximum number of full size or half size fields. Such reconfiguration would provide greater flexibility in use as currently these fields are too small for higher grade games and some levels of training.

14.1.2. Increasing the capacity of existing fields

Drainage

Installing drainage in an un-drained soil field is likely to improve the quality of the field but may not significantly increase its playing capacity.

Irrigation

Irrigation during dry summers is essential to ensure fields go into the winter season with good grass coverage and the ability to maintain a good quality playing surface throughout the winter season.

Lighting existing unlit fields

When setting field capacity figures, it is assumed that fields without floodlights have a lower capacity than fields with floodlights, regardless of the actual capacity of the field to withstand use. This is because, without lights, training is limited to daylight hours which in winter means before 5pm to 5.30pm. Floodlighting extends the time a field is available, particularly for weekday training. With lights teams could train until 8.30 or 9pm, although current trends and feedback from players indicate a preference for training only until 8pm – 8.30pm. An Auckland City study undertaken in 2005 found that players are reluctant to train after 8.30pm due to work the following day. It is also unrealistic to expect all junior teams to train from 3pm as, whilst players may be available, coaches generally have work commitments meaning any start to training before 3.30pm or later is often difficult to manage. The current pattern for TCC based junior teams is for training to generally be between 4.30pm – 6pm to suit coach availability.

In assessing weekday capacity use at weekends also needs to be taken into consideration as fields in winter cannot take unlimited play without long term damage to the field surface. There is an assumption that the field surface can take increased play without sustaining long term damage. This requires appropriate ongoing levels of maintenance and seasonal renovations.

Extending flood lighting on partly floodlit fields

Currently some floodlit fields available for training are only partly lit reducing the level of usable lit space. The calculation of field hours assumes that there is less capacity on unlit fields. Extending floodlighting to illuminate the full field will provide additional training capacity after dark.

Sand carpeting soil fields

In the northern areas of New Zealand sand carpeting of soil fields often doubles or more the capacity of the field. As many of the Whangārei fields are already on sandy soil this level of gain is not envisaged.

Dedicated training areas (DTA)

Dedicated training areas will generally have a much higher training capacity than a field that has to retain a reasonable surface quality for weekend competition. DTAs are a viable option to consider. Whilst it is possible to share DTAs between codes in practice it can result in friction particularly if the field surface deteriorates and compromises training quality. There are successful examples of code sharing of artificial turf fields which can take almost unlimited use. Involvement of the RSO and negotiating formal written agreements between the clubs / codes will help avert potential problems.

Artificial Turf

Capacity of existing fields can be extended to 50 or more hours a week if artificial turf surfaces are used. This is between 3 to 4 times the capacity of most of the Whangārei's current fields. Note that whilst turf manufacturers say the fields can be used 24/7, in reality community teams are not 'available' to make use of them right across the day. In addition, manufacturer's warranties tend to be based on limiting use to 2000 hours per year. The third generation turfs (3G) comprise simulated grass stalks tufted in a weaved rubber backing, with small crumb rubber balls and sand swept into the base of the stalks to hold them upright. They look and play like natural grass and are available in versions approved by all three winter codes. 3G turf can be installed in existing sports parks or on

greenfield sites. The cost of installation is dependent on the scope of preparation work needed to level and drain the site, the size of the field, whether a shock pad is installed or not and, to some extent, the brand of turf. Artificial turf fields have a limited life. At this stage, this life is estimated to be between 8 to 12 years depending on the nature and intensity of use and how well the turf has been installed and maintained. The earliest installations are only now reaching this age. Generally, just the carpet needs to be replaced at that time providing the foundation has been well prepared in the first instance. Artificial turf fields do require specialised maintenance to ensure the turf fibres remain upright as they are designed to take the wear on the tip of the fibre. If the fibres flatten, they will be subject to more wear and can shred. Maintenance costs, excluding the (generally) required daily inspections are estimated to be in the region of \$37,3000+ per year for an artificial turf receiving around 40 hours use per week. The significant capital investment also needs to be protected in some way from unsuitable use, vandalism, and fire.

Hybrid Turf

Hybrid turfs represent a 'halfway' point between natural grass fields and artificial turf. They are based on a natural grass field reinforced with artificial fibres. The fibres are woven into a backing material through which natural grass grows. Hybrid turfs are thought to extend the playing capacity of a sand based field to around 30 to 35 hours per week, although this has yet to be proven on fields used for community sport in New Zealand. Auckland Council has conducted several small trials with hybrid turf installed in football goal mouths with very encouraging results. The first hybrid turf fields are now being installed with one on a football field and a second on a rugby field. The hybrid turf can be installed on site and will typically take the same time to be ready for play as a standard newly stolonised grass turf. It can also be grown off site and then laid, markedly reducing the time the field is out of play.

Hybrid turf offers a number of benefits over artificial turf including:

- Cost, currently estimated at around \$500,000 if on an existing sand carpet field with full drainage
- No requirement for a fully engineered base
- Looks and plays like a natural grass field
- Meets FIFA 1 star standard (even without natural grass)
- Uses sand as infill
- Similar temperature to natural grass fields in summer
- Does not require fencing for protection
- Sections can readily be replaced
- Is seen as still being a grass field

There are also some disadvantages compared with artificial turf:

- Provides less additional capacity
- Is still not proven for community sport use under New Zealand conditions
- Will still require between season maintenance, similar to that given to any sand based grass field
- Will still be subject to wet weather closures similar to any grass field
- Is proving more expensive to maintain than originally thought

14.1.3. Expanding the supply of fields

Greenfield development

Explore options to develop additional high quality, floodlit fields to maximise accessible capacity.

Partnerships / Use Agreements with Other Providers

Sport is already using sports fields owned by other providers, in particular marae, sports clubs and schools. Whilst investigating partnerships is outside the scope of this study these could provide further capacity.

15. Appendix Four - Environmental Considerations²⁷

WDC recognises the issues associated with climate change and has a Sustainability Strategy in place to look at sustainability holistically. Therefore, it is important to understand any wider environmental factors which may occur as a result of the development of an artificial turf. These wider factors include potential carbon emissions, micro-plastics, water usage and disposal of the surface carpet at the end of its useful life.

When comparing carbon emissions of natural turf with those of artificial turf a key consideration is the amount of embodied emissions contained in each over the expected lifetime. That is, once installed, the artificial turf does not emit carbon on an on-going basis. However, the total embodied emissions divided out over the expected lifespan calculates the equivalent of annual emissions from the surface.

Embodied emissions: Artificial turf versus natural turf			
Field Type	Embodied emissions, kg of CO ₂ -e/m ² /year	Embodied emissions, kg of CO ₂ -e/10 000m ² field/year	Carbon sequestered annually, kg of CO ₂ -e/10 000m ² field / year
Artificial turf	29	290 000	0
Natural turf	0.97	9700	7519

Note the following:

1. CO₂-e = carbon dioxide equivalents
2. The amounts for the artificial turf area are based on an assumed 10-year lifespan of the artificial turf, shock pad and performance infill. The embodied emissions in the base are small in comparison and spread over a much longer lifespan (there is no reason a well-constructed base won't last at least 50 years).
3. The amounts for the natural turf assume that it is a high-performance sand carpet type of field and an assumed 10-year lifespan. However, with good maintenance a sand carpet field will last much longer than that (20 plus years / indefinite). A traditional soil-based field would be less.
4. Assuming area of field is 10 000m² (1.0ha) in each case.
5. Natural turf fields will sequester some carbon annually due to plant growth products ultimately being stored in the rootzone in the form of organic matter.

15.1.1. Discussion

From the data it is clear that an artificial turf field is responsible for a much greater volume of CO₂ equivalent emissions than a natural turf field. An artificial turf has a significant amount of embodied emissions and sequesters no carbon annually.

²⁷ Source: NZ Sports Turf Institute

Conversely, a natural turf has much less embodied emissions and will also sequester some carbon each year as a consequence of natural growth.

15.1.2. Maintenance emissions

Both natural and artificial turf surfaces require regular maintenance that produces emissions. Correct management is required on artificial surfaces to ensure that the planned life span is achieved (this is important as it directly influences the annualized embodied emissions).

On natural turf surfaces it is essential to keep the field useable.

On artificial turf the most significant requirement and source of maintenance emissions is regular brushing. On a heavily used field this should be done weekly.

On natural turf, the most significant requirement and source of maintenance emissions is regular mowing. On a well-maintained field, this should be done weekly.

Each of these practices will be completed using a similar sized power plant (e.g. small tractor) and width of operation. Hence given the same frequency of operations, the emissions from these most significant maintenance operations in each case, will be similar.

There will be little else in addition on an artificial turf surface. However, the additional (in addition to regular mowing) maintenance requirements on a natural turf surface would result in an estimated 1.5 times additional maintenance emissions on a natural turf surface.

To put this in perspective, it is estimated that the emissions from mowing a 1.0ha natural turf field is well under 500kg of CO₂-e/year. Hence by far the biggest issue to consider is the embodied emissions in artificial turfs.

15.2.Environmental Impacts – Whole of Life

15.2.1. Embodied emissions

From above, perhaps the most significant environmental impact of an artificial turf is the embodied emissions which are large (much bigger than for a natural turf field). As mentioned above, correct maintenance is important in this respect because it will ensure that the life span of the artificial turf is at least as long as planned and hopefully significantly longer. This is important because extending the life of the artificial turf reduces the annual amount of emissions (the embodied emissions are set in stone when the turf is installed but the equivalent annual amount is reduced by extending the life of the turf).

15.2.2.Choice of shock pad

Major environmental impact will be the embodied emissions in the artificial turf carpet, the performance infill, and the underlying shock pad. There are also embodied emissions in the underlying base, but these are regarded as negligible because in total they are only about 10% of what is contained in the artificial turf carpet, the performance infill, and the underlying shock pad but most importantly they will be spread over a much longer time frame. There is no reason the base should not last 50 years – it would simply be re-used through multiple artificial turf carpet / performance infill / shock pad renewals

A poured in situ shock pad will have a lower whole of life environmental effect than a carpet type shock pad because a good poured in situ shock pad will be able to be reused a number of times (just the artificial turf carpet and the performance infill replaced when the carpet is renewed). Carpet type shock pads tend to be replaced each time a renewal of the surface is done.

15.2.3.Maintenance emissions

Annually there will be emissions from maintenance practices, but these are relatively small. Extending the life span of the artificial turf through correct maintenance practices will have a much greater environmental benefit than reducing maintenance emissions through reduced maintenance. There is potential to reduce maintenance emissions by using renewable energy (electric) powered vehicles.

15.2.4.Micro-plastics

Artificial turfs incorporate and produce micro-plastics that can end up in the environment. Perhaps the most obvious example of this is where infill particles are washed or carried off the surface and end up in stormwater or wastewater systems (see photo below showing loss of crumb rubber into surrounding areas and ultimately stormwater grates).

In addition, infill material and the artificial turf fibres break down over time from normal “wear and tear” to produce even smaller micro-plastic which also have the potential to enter the environment through various means (including washing down through the profile into the underlying drainage system).

The design and construction of the artificial turf will need to account for this. Specifically, there is a requirement for effective containing bunds / kerbs and drainage water collection and filtration systems.



15.2.5.End of life disposal

The carpet and shock pad need to be disposed of at the end of life when the artificial turf is replaced. At this stage there is minimal potential for recycling in New Zealand (although some of the infill may be able to be recycled and re-used).

Often carpets are re-cycled into other uses such as to stabilize stock races on dairy farms or earthworks on mountain bike tracks. However, the obvious disadvantage with that is that it means

they are likely to be left there permanently. The better alternative may be to send the used carpet and shock pad straight to landfill.

15.2.6.Reduced fertiliser, pesticide, and water use

Compared to a natural turf surface, an artificial surface will require the use of no fertilisers and little pesticide (some pesticide may need to be applied to control moss and algae).

Most artificial turfs in New Zealand don't have irrigation systems and hence use no water for irrigation. High performance natural turf (sand) fields must have irrigation and use large amounts of water.

15.3.Impact of Climate change

The potential impact of climate change appears to be minor at this stage except in relation to the large, embodied emissions in artificial turf surfaces.

15.3.1. Embodied emissions

As detailed previously, artificial turfs have large, embodied emissions - much higher than natural turf surfaces. Hence local or national government policies in relation to climate change initiatives could have an impact on the use of such technology.

15.3.2.Warmer temperatures

Climate change resulting in higher summer temperatures will in turn effect the potential use of artificial turf surfaces at times. Under extreme summer heat, these surfaces are too hot to use during the day.

15.3.3.More extreme weather / sea level rise

More extreme weather and river level rise associated with climate change is particularly relevant to low lying sites close to the sea and /or rivers and streams.

16. Appendix Five - Preliminary Cost Estimates

Estimated budgets for artificial turf installation supplied by NZSTI September 2024

Options	\$NZD Installation cost	\$NZD Replacement cost	Option summary
Option 1	\$ 2,833,025.00	\$ 958,812.50	Community, multipurpose system; SBR rubber crumb infill
Option 2	\$ 3,123,975.00	\$ 1,249,762.50	Community, multipurpose system; EPDM infill
Option 3	\$ 2,932,212.00	\$ 1,038,162.50	Community, multipurpose system; natural wood particle infill

SBR infill has become less favourable and is essentially ruled out by some Councils in NZ. The use of EPDM infill is also declining now with natural infill materials starting to emerge to replace the rubber infill options. Wood particle infill or cork infills are now being considered. The only issue with cork is that there have been occasions where washout of the cork has occurred. The wood particle infill is less prone to floating and migration than cork.

Providers of synthetic turf generally have more than one option for the synthetic carpet for the turf surface. There is minimal difference in pricing of the synthetic carpet. The different surfaces are tested with the different types of shockpads to meet the certification requirements of the governing bodies (FIFA, World Rugby).

The type of synthetic turf installed comes down to the intended use of the facility. Factors that determine this relate to the makeup of the carpet chosen include:

- Stitch rate of fibres
- Fibrillated and monofilament sports yarn
- Single or multiple colours
- Sub piles some will provide better infill retention characteristics

Option 1

- System designed for community, multipurpose use, capable of 60+ hours
- Shock pad - In-situ ELT + PU binder or closed cell Polyethylene foam sheets
- Infill - SBR rubber crumb
- Meets World Rugby Regulation 22 and FIFA Quality Programme requirements
- Costings do not include allowances for resource and building consents, professional fees and site testing other than that stated below

Option 1 Installation Costs		
Component	\$NZD Cost	Notes
Pitch Costs		
Design, site investigation, geotechnical, survey	\$ 33,062.50	
Site establishment, documentation, and project management	\$ 165,312.50	
Bulk earthworks	\$ 92,575.00	Assumes good ground, no contamination, 250-300mm topsoil to remain on site
Stormwater drainage	\$ 218,212.50	Assume network capacity with no additional impact of flow from development. Outlet within 50m
Pavement construction	\$ 370,300.00	250mm pavement based on minimum CBR 8%
Concrete kerbing and footpaths	\$ 165,312.50	Assume 2000mm footpath around perimeter
Reinstatement, topsoil etc.	\$ 26,450.00	
Water supply, drinking fountains, etc.	\$ 13,225.00	
Synthetic turf and shock pad	\$ 991,875.00	Based on 10,000m ² installation area using SBR rubber crumb
World Rugby testing ongoing for 10 years (4 x tests)	\$ 69,000.00	
Supply of drag brushes for routine maintenance, ball roll ramp	\$ 13,225.00	
Supply of suitable tractor for brushing	\$ 33,062.50	25hp tractor or similar

Pitch Subtotal	\$ 2,191,612.50	
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Option 1 Ancillary Costs		
Fencing	\$ 290,950.00	Includes 6m fences behind goals, spectator fencing, gates, perimeter security fence
Lighting	\$ 264,500.00	200 Lux, six pole design
Equipment	\$59,512.50	13.5m rugby posts, portable football goals, player shelters
Entrances / access	\$ 26,450.00	Additional allowance for concrete entrance ways etc.
Ancillary Costs Subtotal	\$ 641,412.50	
TOTAL COST FOR FIELD	\$ 2,833,025.00	

Option 1 Replacement Costs (based on 10-year life expectancy on synthetic surface)		
Component	\$NZD Cost	Notes
Pitch Costs		
Removal and repurposing of existing synthetic surface	\$ 132,250.00	Based on costs for recently completed projects
Shockpad rectification	\$ 33,062.50	Allow for minor repairs of shock pad if damaged during removal
Synthetic surface installation	\$ 793,500.00	
Pitch Subtotal	\$ 958,812.50	

Option 2

- System designed for community, multipurpose use, capable of 60+ hours
- Shock pad - In-situ ELT + PU binder or closed cell Polyethylene foam sheets
- Infill – EPDM rubber
- Meets World Rugby Regulation 22 and FIFA Quality Programme requirements
- Costings do not include allowances for resource and building consents, professional fees and site testing other than that stated below

Option 2 Installation Costs		
Component	\$NZD Cost	Notes
Pitch Costs		
Design, site investigation, geotechnical, survey	\$ 33,062.50	
Site establishment, documentation, and project management	\$ 165,312.50	
Bulk earthworks	\$ 92,575.00	Assumes good ground, no contamination, 250-300mm topsoil to remain on site
Stormwater drainage	\$ 218,212.50	Assume network capacity with no additional impact of flow from development. Outlet within 50m
Pavement construction	\$ 370,300.00	250mm pavement based on minimum CBR 8%
Concrete kerbing and footpaths	\$ 165,312.50	Assume 2000mm footpath around perimeter
Reinstatement, topsoil etc.	\$ 26,450.00	
Water supply, drinking fountains, etc.	\$ 13,225.00	
Synthetic turf and shock pad	\$ 1,282,825.00	Based on 10,000m ² installation area using EPDM rubber infill

World Rugby testing ongoing for 10 years (4 x tests)	\$ 69,000.00	
Supply of drag brushes for routine maintenance, ball roll ramp	\$ 13,225.00	
Supply of suitable tractor for brushing	\$ 33,062.50	25hp tractor or similar
Pitch Subtotal	\$ 2,482,562.50	

Option 2 Ancillary Costs		
Fencing	\$ 290,950.00	Includes 6m fences behind goals, spectator fencing, gates, perimeter security fence
Lighting	\$ 264,500.00	200 Lux, six pole design
Equipment	\$59,512.50	13.5m rugby posts, portable football goals, player shelters
Entrances / access	\$ 26,450.00	Additional allowance for concrete entrance ways etc.
Ancillary Costs Subtotal	\$ 641,412.50	
TOTAL COST FOR FIELD	\$ 3,123,975.00	

Option 2 Replacement Costs (based on 10-year life expectancy on synthetic surface)		
Component	\$NZD Cost	Notes
Pitch Costs		
Removal and repurposing of existing synthetic surface	\$ 132,250.00	Based on costs for recently completed projects

Shockpad rectification	\$ 33,062.50	Allow for minor repairs of shock pad if damaged during removal
Synthetic surface installation	\$ 1,084,450.00	Based on 10,000m ² installation area using EPDM rubber infill
Pitch Subtotal	\$ 1,249,762.50	

Option 3

- System designed for community, multipurpose use, capable of 60+ hours
- Shock pad - In-situ ELT + PU binder or closed cell Polyethylene foam sheets
- Infill – natural wood particle
- Meets World Rugby Regulation 22 and FIFA Quality Programme requirements
- Costings do not include allowances for resource and building consents, professional fees and site testing other than that stated below

Option 3 Installation Costs		
Component	\$NZD Cost	Notes
Pitch Costs		
Design, site investigation, geotechnical, survey	\$ 33,062.50	
Site establishment, documentation, and project management	\$ 165,312.50	
Bulk earthworks	\$ 92,575.00	Assumes good ground, no contamination, 250-300mm topsoil to remain on site
Stormwater drainage	\$ 218,212.50	Assume network capacity with no additional impact of flow from development. Outlet within 50m

Pavement construction	\$ 370,300.00	250mm pavement based on minimum CBR 8%
Concrete kerbing and footpaths	\$ 165,312.50	Assume 2000mm footpath around perimeter
Reinstatement, topsoil etc.	\$ 26,450.00	
Water supply, drinking fountains, etc.	\$ 13,225.00	
Synthetic turf and shock pad	\$ 1,091,062.50	Based on 10,000m ² installation area using natural wood particle infill
World Rugby testing ongoing for 10 years (4 x tests)	\$ 69,000.00	
Supply of drag brushes for routine maintenance, ball roll ramp	\$ 13,225.00	
Supply of suitable tractor for brushing	\$ 33,062.50	25hp tractor or similar
Pitch Subtotal	\$ 2,290,800.00	

Option 3 Ancillary Costs		
Fencing	\$ 290,950.00	Includes 6m fences behind goals, spectator fencing, gates, perimeter security fence
Lighting	\$ 264,500.00	200 Lux, six pole design
Equipment	\$59,512.50	13.5m rugby posts, portable football goals, player shelters
Entrances / access	\$ 26,450.00	Additional allowance for concrete entrance ways etc.
Ancillary Costs Subtotal	\$ 641,412.50	

TOTAL COST FOR FIELD	\$ 2,932,212.00	
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Option 3 Replacement Costs (based on 10-year life expectancy on synthetic surface)		
Component	\$NZD Cost	Notes
Pitch Costs		
Removal and repurposing of existing synthetic surface	\$ 132,250.00	Based on costs for recently completed projects
Shockpad rectification	\$ 33,062.50	Allow for minor repairs of shock pad if damaged during removal
Synthetic surface installation	\$ 872,850.00	Based on 10,000m ² installation area using natural wood particle infill
Pitch Subtotal	\$ 1,038,162.50	

Annual Maintenance Costs

Annual Maintenance Costs (applicable to all 3 options)		
Component	\$NZD Cost	Notes
Pitch Costs		
Routine maintenance grooming	\$ 25,392.00	Based on 4 hours per week brushing and servicing, fuel, running costs for tractor. Assume 40 weeks per year
Professional service grooming	\$ 7,935.00	Based on quarterly specialist service
Algaecide / Weedicide materials	\$ 661.25	
General Repairs	\$ 3,306.25	Based on penalty spot replaced every two years amortised

Pitch Subtotal	\$ 37,294.50	
Ancillary Costs		
Lighting (operating costs)	\$ 19,837.50	Approximate power consumption to operate lights
Ancillary Costs Subtotal	\$ 19,837.50	
Total cost for field	\$57,132.00	

17. Appendix Four - Environmental Considerations²⁸

WDC recognises the issues associated with climate change and has a Sustainability Strategy in place to look at sustainability holistically. Therefore, it is important to understand any wider environmental factors which may occur as a result of the development of an artificial turf. These wider factors include potential carbon emissions, micro-plastics, water usage and disposal of the surface carpet at the end of its useful life.

When comparing carbon emissions of natural turf with those of artificial turf a key consideration is the amount of embodied emissions contained in each over the expected lifetime. That is, once installed, the artificial turf does not emit carbon on an on-going basis. However, the total embodied emissions divided out over the expected lifespan calculates the equivalent of annual emissions from the surface.

Embodied emissions: Artificial turf versus natural turf			
Field Type	Embodied emissions, kg of CO ₂ -e/m ² /year	Embodied emissions, kg of CO ₂ -e/10 000m ² field/year	Carbon sequestered annually, kg of CO ₂ -e/10 000m ² field / year
Artificial turf	29	290 000	0
Natural turf	0.97	9700	7519

Note the following:

6. CO₂-e = carbon dioxide equivalents
7. The amounts for the artificial turf area are based on an assumed 10-year lifespan of the artificial turf, shock pad and performance infill. The embodied emissions in the base are small in comparison and spread over a much longer lifespan (a well-constructed base could last at least 50 years).
8. The amounts for the natural turf assume that it is a high-performance sand carpet type of field and an assumed 10-year lifespan. However, with good maintenance a sand carpet field will last much longer than that (20 plus years / indefinite). A traditional soil-based field would be less.
9. Assuming area of field is 10 000m² (1.0ha) in each case.
10. Natural turf fields will sequester some carbon annually due to plant growth products ultimately being stored in the rootzone in the form of organic matter.

17.1.1. Discussion

From the data it is clear that an artificial turf field is responsible for a much greater volume of CO₂ equivalent emissions than a natural turf field. An artificial turf has a significant amount of embodied emissions and sequesters no carbon annually.

²⁸ Source: NZ Sports Turf Institute

Conversely, a natural turf has much less embodied emissions and will also sequester some carbon each year as a consequence of natural growth.

17.1.2. Maintenance emissions

Both natural and artificial turf surfaces require regular maintenance that produces emissions. Correct management is required on artificial surfaces to ensure that the planned life span is achieved (this is important as it directly influences the annualized embodied emissions).

On natural turf surfaces it is essential to keep the field useable.

On artificial turf the most significant requirement and source of maintenance emissions is regular brushing. On a heavily used field this should be done weekly.

On natural turf, the most significant requirement and source of maintenance emissions is regular mowing. On a well-maintained field, this should be done weekly.

Each of these practices will be completed using a similar sized power plant (e.g. small tractor) and width of operation. Hence given the same frequency of operations, the emissions from these most significant maintenance operations in each case, will be similar.

There will be little else in addition on an artificial turf surface. However, the additional (in addition to regular mowing) maintenance requirements on a natural turf surface would result in an estimated 1.5 times additional maintenance emissions on a natural turf surface.

To put this in perspective, it is estimated that the emissions from mowing a 1.0ha natural turf field is well under 500kg of CO₂-e/year. Hence by far the biggest issue to consider is the embodied emissions in artificial turfs.

17.2.Environmental Impacts – Whole of Life

17.2.1. Embodied emissions

From above, perhaps the most significant environmental impact of an artificial turf is the embodied emissions which are large (much bigger than for a natural turf field). As mentioned above, correct maintenance is important in this respect because it will ensure that the life span of the artificial turf is at least as long as planned and hopefully significantly longer. This is important because extending the life of the artificial turf reduces the annual amount of emissions (the embodied emissions are set in stone when the turf is installed but the equivalent annual amount is reduced by extending the life of the turf).

17.2.2.Choice of shock pad

Major environmental impact will be the embodied emissions in the artificial turf carpet, the performance infill, and the underlying shock pad. There are also embodied emissions in the underlying base, but these are regarded as negligible because in total they are only about 10% of what is contained in the artificial turf carpet, the performance infill, and the underlying shock pad but most importantly they will be spread over a much longer time. There is no reason the base should not last 50 years – it would simply be re-used through multiple artificial turf carpet / performance infill / shock pad renewals

A poured in situ shock pad will have a lower whole of life environmental effect than a carpet type shock pad because a good poured in situ shock pad will be able to be reused a number of times (just the artificial turf carpet and the performance infill replaced when the carpet is renewed). Carpet type shock pads tend to be replaced each time a renewal of the surface is done.

17.2.3.Maintenance emissions

Annually there will be emissions from maintenance practices, but these are relatively small. Extending the life span of the artificial turf through correct maintenance practices will have a much greater environmental benefit than reducing maintenance emissions through reduced maintenance. There is potential to reduce maintenance emissions by using renewable energy (electric) powered vehicles.

17.2.4.Micro-plastics

Artificial turfs incorporate and produce micro-plastics that can end up in the environment. Perhaps the most obvious example of this is where infill particles are washed or carried off the surface and end up in stormwater or wastewater systems (see photo below showing loss of crumb rubber into surrounding areas and ultimately stormwater grates).

In addition, infill material and the artificial turf fibres break down over time from normal “wear and tear” to produce even smaller micro-plastic which also have the potential to enter the environment through various means (including washing down through the profile into the underlying drainage system).

The design and construction of the artificial turf will need to account for this. Specifically, there is a requirement for effective containing bunds / kerbs and drainage water collection and filtration systems.



17.2.5.End of life disposal

The carpet and shock pad need to be disposed of at the end of life when the artificial turf is replaced. At this stage there is minimal potential for recycling in New Zealand (although some of the infill may be able to be recycled and re-used).

Often carpets are re-cycled into other uses such as to stabilize stock races on dairy farms or earthworks on mountain bike tracks. However, the obvious disadvantage with that is that it means

they are likely to be left there permanently. The better alternative may be to send the used carpet and shock pad straight to landfill.

17.2.6.Reduced fertiliser, pesticide, and water use

Compared to a natural turf surface, an artificial surface will require the use of no fertilisers and little pesticide (some pesticide may need to be applied to control moss and algae).

Most artificial turfs in New Zealand don't have irrigation systems and hence use no water for irrigation. High performance natural turf (sand) fields must have irrigation and use large amounts of water.

17.3.Impact of Climate change

The potential impact of climate change appears to be minor at this stage except in relation to the large, embodied emissions in artificial turf surfaces.

17.3.1. Embodied emissions

As detailed previously, artificial turfs have large, embodied emissions - much higher than natural turf surfaces. Hence local or national government policies in relation to climate change initiatives could have an impact on the use of such technology.

17.3.2.Warmer temperatures

Climate change resulting in higher summer temperatures will in turn effect the potential use of artificial turf surfaces at times. Under extreme summer heat, these surfaces are too hot to use during the day.

17.3.3.More extreme weather / sea level rise

More extreme weather and river level rise associated with climate change is particularly relevant to low lying sites close to the sea and /or rivers and streams.

18. Appendix Six - Comparison Artificial Turf Cost

Table 16.1: Artificial Turf Costs at Other Venues

Facility (constructed)	Capital Cost
NZSTI estimates 2024	\$2.83-\$3.12
Seddon Fields, Auckland (2013) – resurfaced 2022	\$2.4m
William Green, Auckland (2019)	\$2.2m
Logan Park, Dunedin (2019) (2 turfs)	\$3.9m
Manawatu Arena (2019)	\$1.5m ²⁹
Foster Park, Rolleston (2022)	\$4.3m ³⁰

²⁹ Manawatu Arena capital cost excludes fencing and floodlighting which were already present and able to be re-used.

³⁰ This development was for 2 artificial turfs, one specifically for hockey and one multi-use. On this basis there would have been some economies of scale building them at the same time.

Attachment 1

Deliberations on the 2024-34 Long Term Plan

Whangarei District Council

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Background

Public consultation on the Long Term Plan 2024-2034 was undertaken for one calendar month between 25 March 2024 and 25 April 2025.

The Consultation Document, adopted by Council on 21 March 2024, presented three specific questions for community feedback:

1. Should Council become a shareholder in Northland Inc?
2. Should Council allocate funding to continue its Freedom Camping Monitoring and Compliance service after the funding from Ministry for Business Innovation and Employment ended?
3. Which of three options should Council pursue to address improved outcomes for its commercial property portfolio?

Consultation and Engagement

Consultation and Engagement Programme

Public meetings were held during the period of 25 March 2024 - 25 April 2024, which included a total of 325 people attending at least one public meeting

- 4 public meetings around the District (Hikurangi, Parua Bay, Ruakaka and Te Iwitihi Civic Centre)
- 1 Hapū o Whangārei engagement drop in session at Te Iwitihi Civic Centre
- A hosted webinar
- 1 Business After 5 hosted in partnership with Northland Chamber of Commerce
- 1 Interactive workshop with key groups that represent the community.

Social media campaign

This campaign aimed to inform people within a social-media environment and give them what they needed to give meaningful feedback on the Long Term Plan.

The campaign was made up of a variety of different types of media and engagement methods, including:

- A prepared “day in the life” video highlighting the diversity of services rendered by the Council
- Repeated use of the LTP graphics to gain audience-familiarity
- Promotion of the in-person drop-in events
- A live-streamed interactive “questions and answers” video with Chief Executive and other staff answered questions from a live audience
- Use of Facebook and *Neighbourly* platforms, and use of Facebook event-pages and local Groups to promote regional drop-in sessions.

All paid promotion was targeted to people living in Whangarei District.

Key figures and estimates

- Estimated total campaign impressions: 100,000
- Estimated total single-impression population reach through social media: 35%
- Hero video: 19,000 views (10 seconds or more, includes paid promotion). About 10% of viewers watched the whole video.
- LTP graphic posts: about 5k reach each
- Other photographic posts: about 5k reach each

Livestreamed public meeting:

- Peak 45 live-viewers on the night
- Total reach of 5222 including 3000 video-views (3 seconds or more)
- 257 views of 1 minute or more
- 60 comments including questions that were answered live

Formal submissions & analysis

Formal submissions were able to be made online, electronically, verbally over the telephone, via post and/or delivered to Council offices.

Submissions closed at 5.30pm on Thursday 25 April 2024.

419 Submissions were received prior to the deadline with six late submissions added. A total of 425 formal submissions were received as follows:

- 303 (71%) on-line submissions
- 122 (29%) by email – note: the six late submissions were emails and included in this total.
- 105 (25%) of submitters indicated they would like to be heard.
- 90 (21%) were scheduled to speak (15 were unavailable or changed their mind).

Hearings were held on 2 and 3 May 2024.

Analysis of feedback

This part of the report is split into the following parts:

Part One - Consultation Topics

- Analysis of feedback on the consultation questions through formal submissions.

Part Two - Submissions

- Analysis of submissions received.

Note; some figures within this report (i.e. those received through submissions) have not been run through the financial model resulting in a mix of inflated and uninflated figures

LTP Question 1 – Becoming a Northland Inc Shareholder

Option 1 - “Become a shareholder of Northland Inc and contribute to the wider Investment and Growth Reserve.”

Option 2 - “Stick with what we do now.”

Feedback from Consultation

Submissions Analysis:

289 submissions (raw data) selected an option relating to Becoming a Northland Inc Shareholder in submissions received. Of those:

- 108 supported Option 1, become a shareholder of Northland Inc
- 181 supported Option 2, stick with what we do

Of the 130 submissions where no option was selected, 15 submitters provided comments on Becoming a Northland Inc Shareholder in the associated feedback box.

Of these the majority supported providing no funding to Northland Inc (while not a consultation question and unable to be used for analysis for completeness it was considered important to note this here), or did not have an opinion. One of these submitters clearly supported becoming a shareholder of Northland Inc.

This means that the total number of submissions which selected either Option 1 or Option 2, inclusive of those who clearly did so in their comments, was 290. Of those

- **109 (38%) supported Option 1**, become a shareholder of Northland Inc
- **181 (62%) supported Option 2**, stick with what we do

Key Issues raised from submissions:

OPTION 1: Become a shareholder of Northland Inc and contribute to the wider Investment and Growth Reserve. The key points raised by submitters supporting Option 1 include:

- Shareholding provided an opportunity to provide direction /control over the activities of Northland Inc
- As the Region’s largest Council, it allowed Council to demonstrate leadership
- There was value in the relationship and speaking with a single voice on Northland Inc’s behalf
- They had previously had positive experiences with Northland Inc

The following comments typify these themes

Northland Inc brings a research capability by experienced and specialist individuals, not always available to WDC. 2. It introduces a degree of independence from internal WDC politics, which will be welcome. 3. Being a shareholder will provide a mechanism for a logical COORDINATION of approaches for Government funding, rather than haphazard competition within the region. 4. MOST IMPORTANTLY, Northland Inc is preferred by the Government as a coherent and reliable research unit for the region, rather than approaches by individual councils. This alone justifies becoming a shareholder. It is a signal to the

Government of acceptance by WDC of a responsible and coordinated regional initiative.

OPTION 2: Stick with what we do now. The key points raised by submitters supporting Option 2 include:

- It would cost too much or was not good value for money
- Economic development was not Council's core business or role
- There was insufficient information or knowledge as to what Northland Inc did
- They had interacted with Northland Inc in the past and the interaction had not been positive

The following comments typify these themes

Northland Inc brings a research capability by experienced LTPs should include enough information for readers to understand the full implications and risks around significant assumptions and their potential effects. I believe the majority of ratepayers know very little if anything about Northland Inc. except for the three paragraphs in the LTP document that provide a very basic overview. After further investigations, I know now that Northland Inc is a large organisation with 33 staff, 6 board of directors and 1 CEO and are involved in activities over a wide range of sectors and initiatives throughout Northland. Becoming a Northland Inc shareholder raises a number of questions that requires more information, consultation and consideration. Is it a priority and/or the responsibility of WDC to enable the sustainable economic development of the District? Any decrease in rates must be a priority as time are tough as economic activity slows, rising unemployment, wage rate forecast to peak lower, interest rates are likely to stay higher for longer, with so much uncertainty around Central Government actions and policy changes and especially when it is difficult to quantify economic development outcomes and the return on investment in becoming a shareholder of Northland Inc.

Of those submitters who did not actively support either of the options presented 15 provided comments. Some doubted the effectiveness of Northland Inc, with others expressing a desire for Tangata Whenua to have more say. Some opposed the rates increase and/or did not support further spending in this area.

Staff Analysis:

While there was a clear majority of submissions that opposed Option 1 of Council becoming a shareholder there was also support for becoming a shareholder. Reasons for not becoming a shareholder predominantly centered on a desire of submitters not to increase rates or spend more money and to a lesser extent of the efficacy of Northland Inc / what role Council should play in economic development.

Economic development, along with social, cultural and environmental well-being is recognised in the Local Government Act 2002 and councils often contribute to economic development by supporting a local or regional agency designed to drive sustainable economic growth. This Council has identified economic development as a key objective of their current term. This objective aligns with the concept that a

key enabler of economic development is to ensure communities are viewed as attractive places to live and work and can stimulate new economic opportunities through all sorts of economic cycles.

There are things that Council does as business as usual that form a component of economic development such as supporting local economies and driving growth through their procurement processes, their employment policies, their contribution to infrastructure, providing 'business friendly' services - responsive regulatory and consent regimes, low competitive rates - efficient infrastructure, positive promotion of the local area and attracting tourists and events.

Then there are elements of economic development that require a more focussed, strategic outlook that is integrated at a regional and national level. It is in this sphere that economic development agencies -such as Northland Inc- are best placed to achieve meaningful results.

Broadly speaking the key benefits of Whangarei District Council joining the other councils in the Region as shareholders are that it would enable:

- Central Government to communicate with one agency for Northland, and this would likely gain support from Central Government, where government would be communicating at a regional level and Northland Inc. effectively harnessing available central government funding and support.
- Council will have greater control and insight into the monitoring of performance and the distribution of benefit throughout the region. This can be done by regular meetings between Northland Inc. and the formal Joint Committee, Annual strategy sessions with individual Councils, regular meetings between CEs of councils and CE of Northland Inc, and overall reporting of progress to Council.
- Greater alignment of economic development priorities and outcomes across councils and Northland Inc even more so with the development of Te Rerenga, the regional economic development strategy.
- Supporting economic recovery following states of emergency.
- Greater ability to help Council develop funding applications for projects
- Development of a regional destination marketing and event strategy
- Increased funds in the IGR to be able to allocate as project investment co-funding for new initiatives

To achieve these outcomes, requires:

- Organisational and financial stability to last a decade or more
- Political buy-in, Councils must agree that Northland Inc is the provider of economic development services in Northland
- Building trust and stability, monitoring effort and distribution of benefit
- Equitability by medium term equitable distribution in proportion to contribution

The proposal addresses each of these issues, either through the business model originally proposed, the long-term funding contributions from NRC and the district councils, the commitment from Northland councils that the Northland Inc will be the primary organisation to deliver economic development services for the region.

The Council will also have input to the Statement of Intent process via the formal Joint Committee, and the Consensus Voting model promotes building trust. The out-put out-

come framework together with the performance and reporting framework enable the monitoring of effort and measurement of the distribution of benefit.

Council has budgeted for this within their proposed long-term plan and the proposed rate increase. Furthermore, that the quantum concerned as a percentage of overall Council spending is not large.

Being a shareholder of Northland Inc allows an opportunity to positively impact on the efficacy and direction of Northland Inc and to provide more visibility as to the work it is already undertaking in Whangarei on behalf of the Whangarei community. As outlined above, Council does have a role to play in Economic Development

Feedback from councillors following hearings:

Following hearings councillors showed general support for proceeding as per the consultation document, which was the staff recommendation. In the Issues and Options Briefing councillors questioned whether further consultation would be necessary following any review of Council's membership of Northland Inc. The proposal as consulted on allowed for Council to review membership of Northland Inc to determine whether the benefits outlined above have been satisfied before committing funding beyond year two of the plan (2025 – 26). It did not require consultation. The recommendation has therefore been amended to reflect this. It is considered that a review would enable a stronger case to base any future decision to approve or otherwise further investment, with consultation (if any) able to be considered at that time.

Recommendation(s):

That Council

- a) notes the submissions made on the topic, and;
- b) becomes a shareholder in Northland Inc with effect from 01 July 2024 and approves the additional investment funding of \$370,000 in the 2024-25 year and \$482,000 in the 2025-26 year as set out in the Consultation Document, and;
- c) notes the funding required has already been included within the draft LTP budget
- d) reviews the benefits of our involvement in Northland Inc before committing further funding beyond Year 2 (2025 – 26).

Financial Impact:

No change to the budget.

LTP Question 2 – Freedom Camping Monitoring and Compliance

Option 1 - “We keep this service at a slightly reduced level.”

Option 2 - “We stop this service.”

Feedback from Consultation

Submissions Analysis:

289 submissions (raw data) selected an option relating to Freedom Camping in submissions received. Of those:

- 197 supported Option 1, we keep this service at a slightly reduced level
- 92 supported Option 2, we stop this service

Of the 130 submissions where no option was selected, nine (9) submitters provided comments on freedom camping in the associated feedback box. Two (2) of those submitters supported ongoing enforcement, with two (2) seeking that we stop this service.

This means that the total number of submissions which selected either Option 1 or Option 2, inclusive of those who clearly did so in their comments was 293. Of those

- **199 (68%) supported Option 1**, we keep this service at a slightly reduced level
- **94 (32%) supported Option 2**, we stop this service

Key Issues raised from submissions:

OPTION 1: The key points raised by submitters supporting Option 1 include:

The majority of submitters wish to see a continuation of freedom camping monitoring and enforcement for a variety of different reasons, including to maintain the integrity of the related bylaw, to protect the district / camping areas from the negative impact of freedom camping, and for council to be able to respond to complaints about those negative impacts caused by irresponsible freedom campers.

OPTION 2: The key points raised by submitters supporting Option 2 include:

Those who do not support this service mainly focused on their believe that campers could or should “self-regulate” ; that locals could monitor and move on non-compliant campers; that central government should continue fund enforcement is some way; that freedom camping could/should be banned; or didn’ t see the value/need of the programme.

The remaining five (5) submitters who did not chose an option and selected “None” but then added comments stated the following:

- Continuation of Ambassador Programme (no comments on its costs)
- Council to provide free camping grounds (which is within the realm of the Freedom Camping Act, and has not been costed within the draft plan)
- Questioning the logic making this part of the consultation process - should rather ask staff what’ s needed.
- Advocating for monitoring and enforcement partnerships with hapu.
- Advocating the development of a freedom camping strategy.

Staff Analysis:**Option 1 - “We keep this service at a slightly reduced level.”**

More than two-thirds (68%) of all submissions were in favour of Option 1, supporting Council continuing to fund freedom camping monitoring and enforcement, at a slightly reduced level from previous MBIE funded years. Doing so will ensure the integrity of Council’s Camping in Public Places Bylaw and the underlying legislation, the Freedom Camping Act. In addition, this will allow council to respond to complaints regarding freedom camping, continue with the education first principles and take enforcement action where necessary, which in turn will avoid public dissatisfaction. While staff will continue to seek funding options from external parties, and look for other revenue streams that could be used to offset the cost, funding is required in the plan if this of the service is to be guaranteed from year 1.

Option 2 - “We stop this service.”

Less than one-third (32%) of submitters chose option 2 and were of the view that Council should stop this service. However many of the submissions in support of this option did not fully consider the impact that “no service” would have on the environment, the area or affected local communities. These submitters generally felt that either there was little to gain from this service, or that the cost was unnecessary. Furthermore, submitters felt that “locals” (the public) could/would enforce the freedom camping rules, or that freedom campers should be left alone, as they would do the “right thing”. A number of submitters felt that freedom camping should be stopped, or that ratepayers should not be liable to fund freedom camping enforcement, both of which is not legally possible under legislation. Additionally, the public are not able to legally enforce the legislation nor Council’s bylaw, and unfortunately not all freedom campers ‘do the right thing’. Most importantly however, in choosing option 2, Council would likely lose the ability to respond to complaints, which would lead to public dissatisfaction and the loss of the gains made in this area since 2017.

Feedback from councillors following hearings:

While a continuation of the programme is recommended by staff given the matters outlined above, the financial pressures facing Council are acknowledged and acutely appreciated. While the staff recommendation remains a 0.16% rates increase for a reduced Freedom Camping Monitoring and Enforcement programme (as consulted on), through the issues and options Briefing, and in subsequent councillor sessions, clear feedback was provided to staff around the unacceptability of a further rates increase.

As such, while also acknowledging that a Briefing is not a decision making forum, staff acknowledge that this is not possible within Council’s preferred financial parameters. An alternative recommendation has therefore been presented which notes that if a reduced service is to be funded it would need to be delivered via external funding (which is unlikely but will continue to be explored), or through unbudgeted revenue from other areas (i.e. from revenue associated with infringements, which is currently tracking slightly above budget). It is recommended that staff continue to actively investigate these avenues, with a view to reporting back to the Council or the Strategy Planning and Development Committee prior to the commencement of the 2024 season (around October 2024).

Recommendations:

That Council:

- a) Resolves not to fund Freedom Camping Monitoring and Compliance enforcement services going forward.

- b) Notes that unless funding can be secured from external parties, and/or increased revenue can be secured, this will result in Council not responding to Freedom Camping enquiries and complaints going forward.
- c) Directs staff to continue to investigate options for external funding of a reduced Freedom Camping Monitoring and Compliance enforcement service, along with any unbudgeted revenue streams that could be used to fund this service.

Financial Impact:

There is no financial impact associated with a decision to cease the provision of this service.

LTP Question 3 – Commercial Property Options

Option 1 – “Create an in-house dedicated business unit.”

Option 2 – “Create a Council Controlled Organisation-Council Controlled Trading Organisation.”

Option 3 – “Stick with what we do now.”

Feedback from Consultation

Submissions Analysis:

255 submissions (raw data) selected an option relating to Commercial Property Options in submissions received. Of those:

- 46 supported Option 1, create an in-house unit.
- 55 supported Option 2, create a CCO/CCTO
- 154 supported Option 3, stick with what we do now.

Of the 164 submissions where no option was selected, 27 submitters provided comments on Commercial Property Options in the associated feedback box. One (1) of those supported Option 1 (create an inhouse business unit), one (1) supported Option 2 (Create a CCO/CCTO) and seven (7) of those submitters supported Option 3 (sticking with what we do now). The remainder did not indicate a clear preference.

This means that the total number of submissions which selected either Option 1, Option 2 or Option 3, inclusive of those who clearly did so in their comments was 264. Of those

- 47 (18%) supported Option 1, create an in-house unit
- 56 (21%) supported Option 2, create a CCO/CCTO
- 161(61%) supported Option 3, stick with what we do

Key Issues raised from submissions:

Submissions in support of Option 1, create an inhouse business unit, raised a number of points for consideration of Council which have been broadly summarised as:

- Several submitters sought that Council consolidate resources in house, with appropriate expertise added where necessary.
- A more cost-effective option with more direct control.
- CCO/CCTO was seen to have more bureaucracy, cost, lack accountability and/or not necessarily able to achieve positive outcomes (some highlighted Far North Holdings as an example).
- A number saw a CCO/CCTO as higher risk.
- CBD is run down, ‘we need to breathe life back into it’.
- These assets need proper management.
- Create an internal business unit but focus on community/housing outcomes.
- In house could be reviewed in future for alignment to Northland Inc.
- More efficient but need an advisory panel.
- Portfolio not viable, better off consolidating and selling to a developer.
- Council has no business sense.
- Run an inhouse unit as a pilot, providing council informed outcomes for a potential CCTO.
- Not core business of Council, need to minimise cost/resourcing.
- Benefits of options 1 and 2 but given the size of Council's balance sheet and land opportunities Option 1 favoured.

- Keen to work in partnership as a CHP.
- Assets need to be better utilised. In house allows use of these spaces for economic gain for good of community and hapu.
- There should be opportunities for hapu priority setting.
- Needs broad community input and representation.

Submissions in support of Option 2, create a CCO/CCTO, raised a number of points for consideration of Council which have been broadly summarised as:

- Must be profit generating in order to minimise rates in future.
- A number of submissions in support of a CCO/CCTO stressed the need for separation from Council, specific reasons cited for this included:
 - It would increase speed/be less restricted.
 - It would allow these assets to be managed/developed by an experienced company.
 - It would be able to take risks/generate economic outcomes.
 - Council has no business sense.
 - This is not core business of Council.
 - It would prevent development becoming politically motivated.
 - It would ensure enduring outcomes.
- Support development of CBD.
- Development of Whangarei key to economic prosperity.
- Supports better utilisation of Council land, including for housing.
- No guarantees of success as Council will appoint the board.
- A vehicle to generate profits and reinvest in the community.
- Board must be accountable. No cost overruns must generate a profit.
- Needs broad community input and representation.
- Needs to respond to community/arts initiatives.
- Current model ineffective, change needed to improve asset control/management.
- Need to be 'Designing Inclusivity Building Accessible Cities for All'.
- Far North Holding cited as a successful example by a number of submitters.
- Forum Nth should be returned to the community and run through a separate entity for predominantly community use, with a grant from Council.
- Needs to be commercially run.
- Provides vehicle to strategically manage commercial property but must have assurance and control mechanisms in place (i.e. conflicts, SOI, reporting, accountability and transparency).
- Don't want a rates increase.
- Provides vehicle to strategically manage commercial property in partnership with commercial sector. Should collaborate with FNHL and NRC.
- Considered to lead to a more diverse board with proven skill sets.
- Has the potential to respond to climate change and infrastructure needs, deliver on FDS and/or create a vibrant residential/pedestrian/business hub.
- Commercial property not a core function of Council.
- Free of government influence. Accountable to public.
- Only commercial property, needs to be managed actively.
- Role in activating the city and delivering on long term plans.
- Needs to have a clear mandate, not only economic gains that are desirable.
- Needs council control, and a strong focus.

Submissions in support of Option 3, stick with what we do, raised a number of points for consideration of Council which have been broadly summarised as:

- There were several submissions indicating variations of:
 - Not a core function of Council.

- Not likely to be profitable and/or insufficient scale.
 - A desire to see Council focus on infrastructure/cut spending.
 - Don't support rates increases associated with options 1 and 2, too expensive and need to cut spending/stick to core business.
 - Need to right expertise/leave to the experts/market
 - Timing not right, need a better market and/or financial position
 - You have no money/not essential/a luxury/keep rates down.
 - Decide what you need to keep in order to operate, sell the rest.
 - Status quo is adequate/cheapest, get current properties operating well.
 - Parking needs to be increased throughout the city, not lessened.
 - Support options 1 or 2 if focused primarily on high-density affordable housing, supporting infrastructure in the inner city and revitalisation.
 - Needs to be delivered by the market, Oruku and Hundertwasser cited as examples. Don't want to see Council promote something similar.
 - Build on what we have, bring current teams together / better coordination.
 - Ratepayers have already told you "No thanks" / Council empire building.
 - If you are going to invest then invest in a community resource like forum north, be transparent about it and let theatre and arts have a space.
 - Forum North is a fully paid for rate payers event centre. Make necessary upgrades to lifts for accessible entry.
 - Important that hapū and Iwi have a say in active development of properties, and/or their transfer to a separate entity.
 - Restrain the stripping and sale of our assets, particularly overseas without benefit to our local communities.
 - Prefer some less expensive way be found to identify shared values, priorities and direction setting with hapū and other local stakeholders.
 - Central Govt reducing costs in all areas, doesn't make economic sense.
 - More boards mean more expense/bureaucracy with little impact.
 - Vote Councillors to do job, not change everything / bring in more people. Councillors need to be accountable.
 - Need to cut our costs, limit consultants, experts and analysts.
 - Unsure about the other options / insufficient information.
 - Less government intervention, is it necessary for WDC to own properties?
 - In house ensures better strategic alignment with Council priorities.
 - Council must act in interests of ratepayers/not have a property portfolio.
 - Cut losses and sell down its holdings before the market deteriorates further.
 - The central city needs a climate mitigation and sustainability assessment before more money is spent on building there.
 - Do not have the populus and critical mass to fund this.
 - Look at other ways to achieve vibrancy (i.e. landlord/council rent relief, parking), incentivise and capitalise on initiatives such as cruise ships etc.
 - Sell Hundertwasser, didn't want it and now costing ratepayers.
 - Don't believe case put forward strong enough, create an environment for staff to perform and be successful.
 - WDC are inefficient / waste ratepayer money. Ever increasing headcount, siloed and not good at business.
 - Whangarei needs profitable sustainable business to provide employment, like the oil refinery, the closed timber mill. Not Oruku, not Hundertwasser
- Of the submissions that did not pick a preferred option themes arising included:
- Having access to the smartest people in this field should be a prerequisite.
 - Whatever you do it needs to be reflective on current environment/constraints
 - Sell Council owned properties/bring down debt/decrease staff numbers.

- Should be market driven.
- Submissions raised the alienation of land from hapū, the need for a partnership model to ensure grievances are not exacerbated and a need to look at opportunities for the return of lands to hapū so that hapū led development can be realised.
- Substantive consultation with hapū sought to ensure appropriate representation, participation and rights upheld. It may be best to delay option 1 or 2 to allow for this engagement to occur.
- Whatever you do here it should not cost the rate payer any more money.
- Council needs to be inventive and find a way to cut the percentage increase down so we can all live within our means.
- Comments on the need to support and look after homeless.

Staff Analysis:

The depth and breadth of submissions on this topic is acknowledged and appreciated. A number of broad themes can be found within the submissions, with some relating to multiple options, and others specifically relating to a potential shift to property development under options 1 or 2. Key themes are responded to below, with other submissions noted.

A number of submitters sought that commercial property development undertaken by Council generate a profit. Concerns were raised by some submitters as to whether there is sufficient scale to do this within the proposed property portfolio. As outlined in the consultation Document the portfolio is not likely to generate a profit based on initial modelling. While it can be incentivised to maximise return, high-level modelling indicates that there is insufficient scale and commercial opportunities to generate a profit. An indicative 15% return would be required to break even based on estimated costs, assuming the sale of developed properties from year 2. This is not considered realistic.

As such a conservative projection of 5% return on sale from year two was also modelled. This recognised that Council would likely have to make strategic trade-offs in developing its property (discussed in more detail below) and formed the basis for options included within the Consultation Document. Based on this projection property development would not break even over the life of this plan. This modelling applies regardless of whether property development is undertaken in house or through a CCO/CCTO, there is nothing inherent in a CCO/CCTO model that would make it more profitable. However, there are some characteristics (discussed below) that could make it more responsive (i.e. to respond to/deliver on strategic opportunities and/or secure funding and opportunities that Council may not), and better positioned to attract the necessary expertise. As such advice is that property development under options 1 and 2 is unlikely to generate a profit in the life of this plan.

However, and as advised previously, these financial projections were hypothetical, with it not being possible to accurately forecast development cash flows until due diligence on specific projects has been completed. In some cases, greater strategic trade-offs could be required in the development of a site (i.e. where there is parking on a development site that Council wants to replace), while in other cases a site may have less impediments to development. As such the actual rate of return could be higher, or lower. It is therefore critical that there is clear direction up front on the outcomes sought, and the trade-offs that Council would accept.

Through discussions on this topic there have been a range of views expressed. While strategic outcomes have been clearly articulated as the primary driver, there is also a desire to generate a return/profit over time. While this is not anticipated within the plan

based on indicative/high level modelling, it is important to note that the actual return would need to be worked through as part of the detailed analysis of development opportunities, considering the trade-offs sought by Council. A range of possible outcomes and trade-offs for commercial property were also expressed through submissions (from parking, community use and redevelopment/use of Forum North through to being purely profit driven and bringing down rates).

As discussed within the Consultation Document, in reality projects may be progressed where the financial benefits do not meet market related targets in order to catalyse or deliver wider urban outcomes. This came from previous advice where it was noted that Council will need to consider the key reasons for taking a more active role in property development. In doing so Council has discussed wider strategic outcomes that could be achieved relative to its desire to make a profit, noting that many of these (i.e. regeneration, Knowledge Hub activation, broader urban and economic outcomes) would have a non financial return for the District, including potentially acting as a catalyst for wider development and economic outcomes, and/or attracting external funding. It is important that these outcomes are clearly defined however, with any business unit or entity created having clarity of purpose.

If Council is to step into active property development, it is therefore recommended that it;

- Accepts that this is unlikely to be profit generating within the life of this plan (to be reviewed through more detailed analysis).
- Be singular in the focus on commercial property/opportunities (i.e. not focusing on nonprofit generating assets or issues, particularly in the early stages) that could drive strategic outcomes.
- Do more detailed analysis of specific development opportunities
- clearly define the enduring outcomes that Council is seeking for the community, and the trade-offs that it (and ideally future councils) is willing to accept.

While this could be done in a staged approach if Council were to favour an inhouse model, there is a much higher risk if Council were to create an arm's length CCO or CCTO without this clarity from the outset. An alternative, which was supported by some submissions, could be to provide funding/focus via an internal team, looking at a fully fledged business unit or CCO/CCTO once success is proven, and market conditions are more favourable (i.e. through a more modest increase to staffing levels and budgets, and realignment of functions to outcomes).

Regardless of the model submissions on the need for appropriate skills and expertise if Council is to take a more active role in property development are acknowledged and supported. Currently Council has one FTE focussed on commercial property management across the broader \$90m + portfolio. It does not have development expertise, and has not positioned roles within the market to attract these. While both Option 1 and 2 are premised on paying market rates to attract appropriate expertise and staffing, a CCO/CCTO that is well set up and removed from Council may be better placed to attract suitable candidates (i.e. outside of the constraints of Council).

While submissions that property development is not core business of Council are acknowledged, along with those relating to the potential to compete with the market (and associated risks), this activity does fall within broader functions of Council, with Council already holding a commercial portfolio. Taking an active role in property development is ultimately a political decision relating to priorities and funding allocation. If Council is to take a more active role in property development (under either option 1 or 2, or an

enhanced status quo) having the right skills, expertise and budget is strongly recommended. This was supported through submissions received.

As outlined previously, and supported by submissions received, the key distinction if Council were to create a CCO/CCTO would be the degree of separation of any entity created. Key advantages highlighted in submissions included the separation of this activity from Council systems, processes, and political cycles/influence. If a CCO/CCTO is preferred it is recommended that appointments go through a robust process to ensure that they are the best candidate, and that appointees be independent of Council.

Any CCO/CCTO would also need clear direction from Council through mechanisms such as the statement of intent/KPIs. This would ensure transparency and accountability but would need to be underpinned by clear outcomes and trade-offs sought from the entity in development (as discussed above it is recommended that these be defined up front if this is the preferred option). Alongside this there would need to be political mechanisms/commitment to monitor any CCO/CCTO, and hold it accountable where it is not performing. This work is critical to the success of a CCO/CCTO. If this is the preferred option it is recommended that this work be undertaken upfront, through a staged approach to implementation.

Dedicated mechanisms to ensure strategic direction/alignment and provide for accountability are considered necessary regardless of the preferred option of Council. This came through strongly in submissions from hapu where a partnership approach, and a voice in these mechanisms, was sought. Alongside this hapu sought that arrangements put in place going forward don't exacerbate the grievances of the past, and that Council look at opportunities for ongoing to work through historic concerns. Ex harbour board lands were identified as being of specific concern. It was noted that substantive consultation with hapū is required and suggested that *"it may be best to delay option 1 or 2 to allow for this engagement to occur judiciously"*.

Regardless of the option preferred it is recommended that mechanisms be established for the governance and oversight of commercial property, with hapu involvement and input being specifically provided for. It is also recommended that the ex-Balance Site not be included in development opportunities at this time in order to enable further discussion with hapu, recognising that the site is ex harbour board land that has been identified as having cultural importance.

Summary of staff recommendation:

In summary while the staff advice is that the status quo needs to change, the scale and return from the identified properties (noting the potential removal of the ex-Balance site from this portfolio) does not lend itself to a CCO/CCTO or an IBU set up to generate a profit. The key driver must be strategic accepting that, based on the information available at this time, a profit will not be generated within the life of this plan.

If an independent entity is preferred, and it is not commercially driven, a CCO may be more appropriate than a CCTO. It may also be that further analysis identifies specific/targeted opportunities that could best be delivered through a mechanism such as a CCO (i.e. redevelopment opportunities focused on clearly defined strategic outcomes), recognising that others may not. This comes back to the need for clarity of purpose from the outset. It is recommended that more work be done to analyse and quantify the outcomes trade-offs for specific development opportunities, with a staged approach taken.

As outlined above this could involve providing funding/focus via an internal team, looking at a fully-fledged business unit or CCO/CCTO once analysis is completed, success is proven, and/or market conditions are more favourable. Based on information available at

this time this is recommended by staff under the recommendations below. However, it is important to note that if Council does wish to do further analysis of an IBU or CCO/CCTO prior to making a final decision this must be included within the LTP.

Feedback from councillors following hearings:

As outlined above, taking a more active role in property development is ultimately a decision for Council based on priorities and funding allocation.

While recommendations have been framed to cover the staff advice and submission analysis, while giving Council options for further analysis of specific development opportunities, feedback from councillors through the Issues and Options Briefing outlining the collective desire to proceed with a lower budget CCO/CCTO is acknowledged and appreciated. As such, and recognising that Briefings are not a decision-making forum, this is worked through here, along with an alternative recommendation that could be moved instead of the staff recommendation should councillors wish to do so.

Through briefings Council supported further work being undertaken in year 1, proposing a \$150k budget. This is consistent with, and provided for in, staff recommendations. Councillors also indicated that they would like to see a smaller budget allocated to a CCO/CCTO once established, proposing \$500k per annum from year 2 of the LTP. Based on the modelling and assumptions considered by Council to date this could result in an annual allocation of:

- Audit and director fees associated with a CCO/CCTO (\$100k)
- 1 – 2 staff, depending on the skills and expertise targeted (\$200k)
- A work up budget for 1 - 2 properties per annum i.e. consenting, legal fees, due diligence, and design (\$200k)

Actual funding would need to be worked through, but this would be a very lean entity. It is recommended that budgets be tested against development opportunities. Ultimately the number of properties that can be progressed will depend on the expertise that a CCO/CCTO is able to attract, the resulting capacity/capability of any entity and the complexity of properties to be developed.

Should a CCO/CCTO be preferred these are factors that could be assessed in further work undertaken in year 1, along with the outcomes and trade-offs for an individual properties (i.e. Council's desired treatment of existing uses such as parking and the loss of revenue from properties, estimated at \$270k + any parking revenue). Given this uncertainty it is not possible to determine the timing of any property transfers, or account for them within the LTP at this time, with further work being required on both this and the final funding mechanism.

While funding from the Property Reinvestment Reserve was discussed in the Issues and Options Briefing, this is a not a funded Reserve within the draft LTP (excluding a budgeted carry forward which is in part being used to purchase a property in Hikurangi). Essentially the Reserve represents an 'IOU' for commercial properties sold to fund specific Council works, notably Te Matau a Pohe. As such there is no material funding within the reserve that could be transferred to any CCO/CCTO created, with any draw on the reserve having to be debt funded. Given this, and that Council is now looking a fundamentally different commercial property model, staff have previously recommended that Council retire the reserve. This was included within the consultation materials for the LTP and has been provided for in the recommendations below for consideration of Council. It is important to note that this only relates to the accounting of transactions to the PRR, with property

transactions still proceeding as per existing resolutions and being accounted for to the relevant cost centre.

Should Council wish to proceed with a CCO/CCTO as its preferred option it is considered that points 1 – 7 of the staff recommendation remain applicable. However, recommendation 8, 9 and 10 could be deleted, with a new recommendation 8 being moved by Council that that:

Having considered the matters above determines its preferred option as a CCO/CCTO with a more modest budget (\$500k per annum from year 2 of the LTP), noting further work to be undertaken in year 1 of the LTP.

Should this option be moved by councillors point 10 of the staff recommendation would become redundant, with commentary being included in the final Long Term Plan to reflect the decision of Council. In it's entirety the alternative recommendation (addition in bold) could be that Council:

- *Notes that while revenue generation can be incentivised, current modelling indicates that there is insufficient scale and commercial opportunities to generate a profit from properties within the identified portfolio in the life of this plan.*
- *Focuses on commercial property/opportunities to deliver strategic outcomes, including outcomes that could be delivered in partnership.*
- *Does more detailed analysis of specific development opportunities within the commercial property portfolio (including defining the outcomes that Council is seeking from the portfolio / the trade-offs that it is willing to accept) before progressing to any preferred option, allocating \$150k in year 1 of the LTP for this work.*
- *Establishes mechanisms for the governance and oversight of commercial property, with hapu involvement and external expertise being provided for, and clear delegations.*
- *Notes that sufficient budget will be required to attract appropriate skills and expertise and undertake work necessary to progress development proposals, reviewing budgets and funding mechanisms through the detailed investigation stages.*
- *Excludes the ex-Balance Site from development opportunities at this time in order to enable further discussion with hapu.*
- *Retires the Property Reinvestment Reserve (PRR) at 30 June 2024 with components of existing resolutions for the accounting of future PRR transactions rescinded (for the avoidance of doubt this relates to only to the accounting treatment of the transaction to the PRR, not the underlying property transaction, with property transactions proceeding and being accounted for to the relevant cost centre).*
- ***Having considered the matters above determines its preferred option as a CCO/CCTO with a more modest budget (\$500k per annum from year 2 of the LTP), noting further work to be undertaken in year 1 of the LTP.***

Recommendations:

That Council:

- 1) Notes that while revenue generation can be incentivised, current modelling indicates that there is insufficient scale and commercial opportunities to generate a profit from properties within the identified portfolio in the life of this plan.
- 2) Focuses on commercial property/opportunities to deliver strategic outcomes, including outcomes that could be delivered in partnership.

- 3) Does more detailed analysis of specific development opportunities within the commercial property portfolio (including defining the outcomes that Council is seeking from the portfolio / the trade-offs that it is willing to accept) before progressing to any preferred option, allocating \$150k in year 1 of the LTP for this work.
- 4) Establishes mechanisms for the governance and oversight of commercial property, with hapu involvement and external expertise being provided for, and clear delegations.
- 5) Notes that sufficient budget will be required to attract appropriate skills and expertise and undertake work necessary to progress development proposals, reviewing budgets and funding mechanisms through the detailed investigation stages.
- 6) Excludes the ex-Balance Site from development opportunities at this time in order to enable further discussion with hapu.
- 7) Retires the Property Reinvestment Reserve (PRR) at 30 June 2024 with components of existing resolutions for the accounting of future PRR transactions rescinded (for the avoidance of doubt this relates to only to the accounting treatment of the transaction to the PRR, not the underlying property transaction, with property transactions proceeding and being accounted for to the relevant cost centre).
- 8) Takes a staged approach to work through these matters once a preferred option is identified, looking at a fully-fledged internal business unit or CCO/CCTO once analysis is completed, success is proven, and/or market conditions are more favourable.
- 9) Having considered the matters above Council determines its preferred option as an enhanced status quo with a more modest increase to staffing levels and budgets (\$500k per annum from year 2 of the LTP), realignment of functions to outcomes and clear governance mechanisms/delegations surrounding the development of the identified commercial property portfolio.
- 10) Includes commentary within the Long Term Plan around the potential for a fully-fledged internal business unit or CCO/CCTO once further analysis is completed, success is proven, and/or market conditions are more favourable.

Financial Impact:

An increase in the general rate of \$150,000 in Year 1 and \$500,000 per annum for the years 2-10 of the LTP.

Further Comments – Transportation

Feedback from Consultation

Submissions Analysis:

103 responses were received that covered some facet of transportation.

Submissions have raised issues around:

- Road network maintenance
- Brynderwyn alternative access
- Speed reviews and safety
- Footpaths
- Cycleways and Paths

A large proportion of the response was in support of additional investment in accessibility, speed management and shared paths.

Key Issues raised from submissions:

Road Network

Submissions were related to specific roading projects or routes including:

- Ngunguru Rd/Sands Rd roundabout
- Reyburn St to Port Road 4 laning and bridge replacement
- Marsden Bay Drive remediation
- Replace one land bridge on Ruakaka Beach Rd
- Maunu Rd congestion

Staff Analysis

Submitters raised the issue of increasing congestion on the main roads throughout the City particularly on Maunu Rd by the hospital and in the Reyburn St /Port Rd area.

Councils program of Urban Intersection Improvements as set out in the Draft LTP has been developed to address safety and congestion issues over the period of the LTP.

Council is working with NZTA who are leading the development of a Business Case for SH14 and access to the Hospital in conjunction with the hospital. Councils position is that the infrastructure improvements associated with the Hospital should be funded externally. Funding to support business case and design development is currently identified in the long term plan.

A request for a new roundabout at Sands Rd, improvements to the bridge on Beach Rd, Ruakaka and upgrade of Marsden Bay Dr are all projects contained in the current Draft LTP.

Recommendation

No changes to the Draft LTP required.

Brynderwyns Alternative Route

Submissions were received on the need for an alternative State Highway route through the Brynderwyn section of SH1 and for upgrades on the alternative detour routes including replacing the one way bridges.

Staff Analysis

Submitters support the upgrading of the Brynderwyn alternative detour routes including the upgrading of the existing one way bridges.

A business case is required to be undertaken to justify the required funding for this project. Funding for the business case to determine alternative routes upgrade options is included in the draft LTP as well as \$8m for implementation.

Council as part of its submission of the Government Policy Statement for Land Transport prioritised its support for the Roads of National Significance in Northland including the Brynderwyns alternative route.

Recommendation

No changes to the Draft LTP required.

Safety - Speed management

Several submissions were in support of completed traffic calming such as in Te Kamo and Oakura. Requests were received for further traffic calming at Raumanga kindergarten and Morningside School, Parua Bay School, Corks Rd/Station Road intersection and Beach Rd, Onerahi.

Further submissions were received in support of a speed review for Tutukaka, speed review and traffic calming for the Whangaruru area, review of the Whangarei heads scheme and for the implementation of red-light cameras.

Staff Analysis

A reduced program of traffic calming and road safety crossings has been included in the draft LTP.

Funding for consultation and implementation of the Tutukaka Catchment and all schools is included in the draft LTP (years 1-3) and consultation only of Whangarei City is in LTP (years 1-3). The balance of the network is identified for consultation in years 4-10 of LTP. This is subject to NZTA confirming subsidy.

A request for the installation of Red-Light cameras and increased speeding enforcement is not within Councils jurisdiction. The responsibility for the installation and operation of Red Light Cameras has recently been shifted from the Police to NZTA who have yet to establish their policy on new installations. The responsibility for speeding enforcement rests solely with the Police.

Recommendation

No changes to the Draft LTP required.

Shared Paths

The majority of submissions received regarding shared paths were in support of both the existing network and for extending the network around the Whangarei urban area.

Specific support was received for the Tikipunga shared path, extension of the Onerahi shared path to the Onerahi shops, Kamo shared path to the loop path connection and Raumanga improvements and the extension of the shared path to Hikurangi. Only one submission was against expenditure on cycling and shared paths.

Staff Analysis

Council has funded a significant program of shared path construction over recent years and is currently completing the Raumanga Shared Path using Transport Choices funding,

Kamo Shared Path stage 5 using NZTA funding and the extension of the Kamo SP to the Springsflat Roundabout using AIF funding.

No further projects are currently proposed in the first three years of the LTP.

Funding to establish project business case and funding applications is included for projects such as Tikipunga to be developed in the future and project funding is provided in years 4-10 of the Draft LTP.

Recommendation

No changes to the Draft LTP are proposed.

Community Led/Non-Urban Trails

Community Led Cycleways were a relatively new focus within submissions. Requests were received to support the:

- Wairahi Tracks Trust – Langs Beach to Tarata Place project
- Bream bay – One Tree Point to Ruakaka initiative
- Waipu Cycle & Walkway Track between Riverview Place and the Cemetery
- Beach Rd, Onerahi to Parua Bay
- Whananaki Coastal Trail

Northland Regional Trails Project – A request has been received for Council to continue funding to support the Northland Regional Trails Project. This is a joint funded initiative with NRC and Bike Northland to undertake planning, support external funding applications and community led projects.

The Waipu Cycle and Walkway Trust are requesting an estimated \$600,000 is required to complete the 650m length remaining on the cycleway.

Staff Analysis

Funding in the first 3 years of the LTP is reduced but the provision of seed funding to establish project business case and funding applications is provided and project funding is provided in years 4-10 of the Draft LTP.

A potential option available to Council is to bring forward funding from the later years of the LTP to support the Community organisations to complete these Community led projects.

Northland Regional Trails Project – Provision for this funding has already been made in the Draft LTP.

Recommendation

Council considers bringing forward funding \$600,000 for the first 2 years from future years of the Draft LTP to support the Community led projects in Waipu and Ruakaka.

No other changes to the Draft LTP are proposed.

Accessibility

Submissions were received on a wide range of issues that touch on accessibility and safety.

Submissions have been made requesting improvements to accessibility in the CBD particularly relating to pedestrian safety and better pedestrian crossings infrastructure, better parking management and improved accessibility for people with disabilities.

A further submission raised increasing the time for pedestrians on signalised pedestrian crossings.

Staff Analysis

Funding for the implementation of the CBD Masterplan has been provided in the Draft LTP. Initial funding for investigation and design has been made in the first 3yrs.

Recommendation

No changes to the Draft LTP are proposed.

Footpaths

A number of submissions sought improvements to the existing footpath network and new footpaths and in some instances the installation of new kerb and channelling.

Specific areas raised included:

- Hikurangi – King St
- Ruakaka /One Tree Point– Marsh St, Slacko Cres, Albany Cres
- Ngunguru Kopipi Cres

The disability community advocate for wider smoother and accessible footpaths and support the shared path program.

Staff Analysis

The Draft LTP makes a provision for \$1M per annum for new footpaths as part of the NZTA subsidised program. The NZTA requirements for this programme require projects to be ranked using the prioritisation matrix which favours urban footpaths due to numbers of pedestrians, traffic and therefore safety issues. New footpath projects in the rural and coastal areas may miss out under this current program,

Council could consider an additional program of unsubsidised funding targeting new footpaths in the rural and coastal villages.

The upgrade of King St, Hikurangi between Church St and Valley Rd is available from Council's footpath renewals budget for which there is adequate provision in the Draft LTP. Staff can investigate the development of this project with Community involvement, and due to the size of the project this may be implemented over several years.

Recommendation

That Council consider providing unsubsidised funding for footpaths that do not meet the criteria set out in the current Footpath Prioritisation spreadsheet. This would particularly benefit rural and coastal villages as well as fixing existing gaps.

That either

- An additional \$250,000 per annum unsubsidised is included for new footpath projects, or;
- That of the \$1m currently allowed for in the Long-Term Plan (including subsidy), Council agrees to provide additional funding to cover any shortfall in NZTA subsidy

Public Transport

A number of submissions called for increased investment in public transport as well as more specific requests for services as well as infrastructure investment. Submissions have been passed to the Northland Regional Council to be considered as part of the Public Transport Network.

Some submissions sought investigation and implementation of alternative public transport infrastructure including:

- Commuter rail for Whangarei including light rail
- Inter-regional passenger rail between Whangarei to Auckland
- Park and ride facilities
- Bus stops
- Inter-city bus stop (Ruakaka)

Cleaning and maintenance of bus stops was also raised.

A submission from the NRC supports Councils program for mode shift in the City which incorporates improved public transport services, active modes - shared paths and walking and cycling facilities, parking management, the provision of "park n ride" facilities and the urban intersection upgrade program which incorporates pedestrian safety and congestion relief across the city.

Staff Analysis

The Northland Regional Council are responsible for the provision and management of the Public Transport services in the region. Council works with the NRC regarding the provision of additional and supporting infrastructure to support the bus service. The requests for additional bus stops will be investigated with the NRC and can be managed within current budgets.

Requests for the development of "Park n Ride" facilities for the City will continue to be investigated and Council has allowed funding for "Park n Ride" facilities in years 7-10 of the Draft LTP.

The existing inter-city bus stop at the Port Marsden Roundabout is a private service and situated on private land. Council has no involvement with this however a request for an improvement to this service can be investigated and possibly incorporated in the proposed new service centre adjacent to the roundabout,

Passenger Rail – A request for investment in passenger rail infrastructure across the District is not included in the Draft LTP.

Recommendation

No changes to the Draft LTP are proposed.

Roadside Spraying

One submission requested Council reconsider its use of herbicide sprays in the roadside maintenance vegetation control program and consider alternatives.

Staff Analysis

Council has made provision in the Draft LTP to investigate this matter and look at possible trials for alternatives and this is covered in more detail under Parks and Reserves response.

Recommendation

No changes to the Draft LTP are proposed.

Unsealed Road Improvements / Seal extensions

Submissions have been received that raise concerns about dropping the seal extension programme and requesting sealing of gravel roads. This includes requests for:

- Ngunguru Ford Rd

Other submissions support the stopping of the seal extensions.

Submissions have been received that raise concerns with the condition of roads in the district, with a specific focus on the poor maintenance (and performance of contractors) of rural and coastal roads.

Staff Analysis

Council has made provision in the Draft LTP to fund \$3.0M of ratepayer subsidised seal extension projects to complete the last 3 roads previously approved in the 2021-24 LTP and for which consultation with the residents has already been undertaken.

No further provision is planned.

Issue relating to maintenance of specific unsealed roads will be looked at as part of ongoing operations.

Recommendation

No changes to the Draft LTP are proposed.

Parking

Submissions have raised the need for:

- More car parking in retail and urban areas.
- A car parking building
- More mobility parking in the city centre
- More car parking in the town and local centres across the district
- Changes to time zones
- Park and rides

Generally, there is a perception of either insufficient car park numbers and/or that the existing car parking is not in the best location.

Staff Analysis

Council has developed a draft Parking Strategy and Draft Whangarei Centre Parking Plan that will address the allocation and future direction of Parking. Once this has been through consultation and adoption, Council will work with the disability sector to ensure the current provision of mobility car park spaces are in the right locations and suitable for the required use. Additional spaces will be considered if justified.

Funding for the investigation of an additional car parking building is identified in Yrs 7-10 of the draft LTP.

Recommendation

No changes to the Draft LTP are proposed.

Punaruku Awa Flood Mitigation

The Otetao Reti Marae has requested that Council improve road access resilience of the road network within and through Punaruku, Mōkau and Ngaiotonga.

Staff Analysis

Council in partnership with hapū and the Northland Regional Council has completed a business case exploring flood protection initiatives in Punaruku and considers long term climate change impacts. Council is committed to addressing the flooding issues for the Punuruku community. Of the options developed in the business case Option 1 – river pathway is to be provided by the Northland Regional Council.

Option 2, Road Pathway provides 3 options to be implemented incrementally.

Funding for Option 2 A can be managed within the existing road improvement budget. Options timing and funding for Stage 2B and 2C are proposed to be incorporated into the Community Led Adaptation Project being initiated in Whangarauru catchment and incorporating the Punuruku area.

Recommendation

No changes to the Draft LTP are proposed.

Te Kamo Specific Issues

Te Kamo Community Inc. has requested Council support for the development of the Ten Year Te Kamo Community Plan 2024-34 and in particular an identified improvement project called “Te Kamo traffic flow, parking and pedestrian safety project”.

Kamo community Inc would like to discuss partnership options with WDC to implement this project within the 10 yr timeframe of this LTP 2024-34.

The project includes improved traffic flow, more parking and angled parking, disability carparks, clear delineation for pedestrians and vehicles, pedestrian safety and road crossings, bike stands and speed reduction.

Staff Analysis

Council can work with the Kamo Community Inc to develop and implement the proposed “Te Kamo traffic flow, parking and pedestrian safety project”.

Initial design and planning works can be funded from existing budgets, minor works may also be funded from existing budgets and more significant works prepared for inclusion in future LTP programs.

Recommendation

No change to the Draft LTP is proposed.

Waipu Specific Issues

Submissions were received regarding safety problems with the conflict between cars and pedestrians particularly outside the Four Square and Caledonian Dairy shopping areas. Submissions also included requests for additional parking spaces in Wapiu town centre and a roundabout at Nova Scotia Dr and the Centre.

Staff Analysis

The Four Square and Caledonian Dairy shopping areas involve private land. Council will need to discuss any improvements with the property owners.

The request for additional parking spaces in Wapiu town centre will be investigated. The request to investigate the installation of a roundabout at the intersection of Nova Scotia Dr and the Centre is part of the future Urban Intersection upgrade program but not specifically identified and funded at this time in the first 3 years of the Draft LTP.

Recommendation

No change to the Draft LTP is proposed.

Recommendation(s):

That Council:

- A) Acknowledges the submissions received and the issues they raise and, where possible, will include these in our business as usual work, and;
- B) Allocates an additional \$250,000 capital expenditure per annum across years 1 to 10 of the Long Term Plan unsubsidised specifically for new footpath projects in rural and coastal areas and notes this will be funded by additional debt; and
- C) Allocates programme funding to footpaths raised through consultation in rural areas subject to budget and feasibility
 - Hikurangi – King St
 - Ruakaka /One Tree Point– Marsh St, Slacko Cres, Albany Cres
 - Ngunguru Kopipi Cres

Financial Impact:

Footpaths (Rural and Coastal unsubsidised) \$250,000 CAPEX per annum funded by debt.

Further Comments – Parks and Recreation

Feedback from Consultation

Submissions Analysis:

125 submissions were received on Parks and Recreation. Topics were varied. A number of submissions received sought improvements to our parks, reserves and public spaces. Several submissions expressed specific support for our recreation facilities and plans for new developments.

Key Issues raised from submissions:

Provision of Green Spaces

Support for the development of green spaces over the past years. Submissions were received relating to the development of William Fraser Memorial Park / Pohe Island, specifically the construction of the spine path and tidying up around the bike park.

Staff Analysis

Council provides parks and reserves for the benefit of the community. Provision of green space allows the community to keep fit, play sport, have fun and enjoy nature.

As the community population grows there is a need to continue providing green spaces for recreation and respite. Provision of green space within new housing developments is critical for these new communities. Council works with developers to advocate for provision of open spaces within new developments.

The development of the spine path on Pohe Island is included in the draft LTP. The clean up around the Bike Park will be reviewed.

Recommendation(s):

Council continues to provide parks, gardens and green space and maintain its levels of service.

Dog Parks

Submissions were received to develop of a dog park for small dogs and well as an off lead dog area/dog park for Hikurangi.

Staff Analysis:

Council is currently consulting on the Dog Management Policy and Bylaw. The smaller dog exercise area on Pohe Island can be used by any dog owner.

Recommendation(s):

Allow the consultation process for the Dog Management Policy and Bylaw to run its course. No changes are proposed to the LTP.

Hikurangi Sports Hub

Submissions were received both in support and against the Hikurangi Sports Hub. These included requests for a Reserve Management Plan for the Sports Hub and other areas of Hikurangi open space. Submissions also included a request for part of the space to be allocated to become a public garden.

Staff Analysis:

The Hikurangi sports hub is a concept being led by the sports park stakeholders. Facilities at the park are run down and no longer fit for purpose. The concept of a multi-sport hub is widely accepted as the preferred solution as multiple sports codes have their own aging facilities on parks. This concept is strongly supported by Sport NZ and funding agencies.

Council has plans and budget in the LTP for the development of a playground and skatepark at the Sports Park which will contribute to the vibrancy of the venue.

Hikurangi is in need of a Reserves Management Plan (encompassing the Sports Park, Lake Waro and Gomez Road land) given the debate in the community of the purposes of these three parks. No budget or resourcing is currently available to produce a reserve management plan for Hikurangi.

Recommendation(s):

That Council:

- A) Considers undertaking a Reserve Management Plan Strategy, including the option of an omnibus Reserve Management plan, process in year 1 and 2 of the LTP and allocates \$50,000 additional OPEX in year 3 of the LTP to undertake the priority RMP or;
- B) Provide no funding for a reserve management plan within this LTP.

Parks and Gardens Maintenance

Submissions were received requesting increased funding and provision of pest weed control on council land. There were also submission requesting a reduction of mowing of open spaces, fencing of play areas, and provision of food gardens.

The Weed Action Native Habitat Restoration Trust has requested \$20,000 per annum (an increase of \$5,000 per annum) for weed control at Reotahi Reserve.

Staff Analysis

Weed and pest control is a crucial component of parks and reserves management. Council is unable to maintain all of the reserves within its portfolio and relies on community groups to play its part in managing weeds and pests.

Council spends approximately \$300,000 per annum on weed and pest animal control, which is over and above the Parks and gardens maintenance contract which also includes weed management on parks within the contract.

Parks and Recreation has overspent the non-contract parks maintenance budgets over the past few years by \$300,000 per annum as funding has not kept pace with increasing costs yet there is pressure to maintain the facilities to a required level of service. The number of new parks and green space which have come online due to vestments and developers including open space in their developments which become a maintenance issue for Council is putting additional pressure on budgets.

If Parks and Recreation maintain its parks within budget, non-contract maintenance will be restricted to health and safety items only resulting in a decline in levels of service.

Council has a no mow programme at Pohe island as part of an initiative to mow less. A number of reserves are unmaintained and a number of esplanade reserves are not mowed in efforts to reduce costs and for environmental benefit.

Council has no plans of developing food groves however does support communities with community gardens which are often used for food production.

Community weed action groups such as the Weed Action Native Habitat Restoration Trust will be encouraged to apply to Council for grants to support weed action initiatives in the community.

Budget is included in the draft LTP for a review of glyphosate use and alternative methods on parks and open spaces.

Recommendation(s):

- A) Council encourages weed and pest action groups to apply for funding through community grants and other funding sources to support pest control initiatives.
- B) Council continue to maintain parks and gardens with the resources provided acknowledging existing budgets are insufficient to meet community expectations; or
- C) Provide additional funding \$300,000 per annum in the LTP to maintain parks and reserves to meet levels of service.

Staff recommend option A and B

Recreation for disabled and aged

Submission on provision on recreational activities for children with disabilities.

Staff Analysis:

It is acknowledged play opportunities for those with disabilities is limited and Council could do better. Council has partnered with Sport NZ who is funding a Play Advocate position in Council for 2024/25 and 2025/26. The Play Advocate role will develop a Play Strategy for the district which will consider all users including those with disabilities and older adults.

Recommendation(s):

No changes to the LTP

Note that a Sport NZ funded Play Advocate role is to develop a play strategy for Whangarei and that this will include mobility impaired users.

Mountain Biking

Submissions were received on the importance and potential for mountain biking in Whangarei. Submissions relate to requests to allocate maintenance and renewals funding to bike tracks.

Staff Analysis:

Most bike tracks have been created through volunteers using seed funding from Council. The resulting tracks are not vested as Council assets and are therefore not included in our renewal budgets.

Council provides an annual grant of \$12,000 to the mountain bike club to maintain mountain bike trails on Parihaka.

Recommendation(s):

That Council continues to fund the Parihaka mountain bike club via an annual grant.

Cemeteries

Submissions were received in support of the development of a Ruakaka Cemetery. A request was received to support the expansion of the Kaurikohore Cemetery.

Staff Analysis

The development of a Ruakaka Cemetery has been proposed for the past 10 years. Land was purchased in 2022 and designated for Cemetery activities. Initial development work is allocated for in the draft LTP.

The Kaurikohore Cemetery is managed by the Kaurikohore Cemetery Board, an Incorporated Society registered as a Charitable Trust. Council does not own the land that contains the cemetery. Maunu Cemetery is the primary cemetery for the Whangarei District. A master plan for the Maunu site has been completed and has established that the site has capacity for the next 20+ years. As cemeteries reach the limit of available plots they are closed to new interments. As Maunu Cemetery has capacity for the district there is no necessity to grow Kaurikohore

Council has not budgeted for additional cemetery land outside of that already purchased for the Ruakaka Cemetery.

Recommendation(s)

That Council

- A) Continues to undertake planned development of a cemetery for Ruakaka within planned budgets.
- B) Continue to promote Maunu Cemetery as the primary site for cemetery internments.

Recreation Facilities

Submissions have been received in relation to funding and expansion of recreation facilities including:

- D) Operational grant for the Ruakaka Recreation Centre
- E) Expansion of the Trigg Stadium at Kensington Park to accommodate changing gymnastic priorities including tumbling and trampoline.

Staff Analysis:

Ruakaka Recreation Centre

Annual operating grants are provided for Council Controlled Organisations. Community funding may provide opportunities for recreational projects and activities to be undertaken through contestable funds, the funding applications can be accessed online or contacting council for support completing an application.

The District Amenities Fund (DAF) provides ringfenced operating grants to key community amenities. Ruakaka Recreation Centre is a regular recipient of District Amenities Funding and have a current application in the system for an increase from \$46,000 to \$116,000 in Year 1, \$127,000 in Year 2, and \$140,000 in Year 3.

Council is now considering organisations to receive funding from the DAF for the next three years during June for the next three years of the LTP. The Community Development Committee will consider the awarding of these multi-year grants in June 2024.

The DAF budget is the same as last year, we will not be able to meet this request without an LTP top up to the Fund.

There are also other organisations requesting an increase in their DAF funding for the next three years. There is a gap of \$365,000 between requests and available budget, excluding inflation adjustments for each year (not able to be supported).

If Councillors wish to support RRC, Kiwi North, Quarry Gardens and other recipients, extra budget would be required as per below table.

	Year 1	Year 2	Year 3
Total requested	\$1,810,421	\$1,909,574	\$2,025,150
Funding gap	-\$150,421	-\$249,574	-\$365,150

This supports additional submissions for support from Kiwi North and Quarry Gardens as Community Facilities and Services.

Northland Athletics and Gymnastics Stadium Trust (NAGST) manage the Gymnastics Stadium via an operational grant. The proposal put forward by NAGST has not been able to be fully assessed by officers but has merit in further investigation.

Recommendation(s):

Work with NAGST to develop a business case for the future expansion of Trigg Stadium including funding options for consideration in the next LTP.

The District Amenities Fund is increased in support of significant community amenities services in the district by Year 1 \$150,421 opex, Year 2 \$249,574 opex and Year 3 \$365,150 opex and inflation adjusted.

Sports Hub

Submissions were received supporting the Sports Hub project identified in the Sport and Active Recreation Strategy. Comments included those on the timing of the development of the sports hub being outside of the 10 years of the LTP which does not address the current need for fields and indoor sports facilities. Submissions ask Whangarei District Council to consider allocating funding in the period 2024 – 2034.

Staff Analysis:

Parks and Recreation are currently evaluation land options for the future hub facility. \$5.5m is included in year 3 of the LTP for land purchase.

No budget has been included for planning work and the budget for the build is outside the 10 year LTP window.

The Active Sport and Recreation Strategy and Indoor and Outdoor Courts Strategy identify a critical shortage of indoor court space in the district and sports fields are also in short supply. Volleyball teams are currently training on the sports fields and carpark at Kensington due to the shortage of available indoor space. Whangarei has the least provision of sports courts per population in the country where sports such as basketball are one of the fastest growing sports.

A 10+ wait for the development of indoor sports courts will accentuate the problem and funding could be brought forward to fast track this development.

Recommendation(s):

That \$100k of budget currently signalled in year 11-13 of the Infrastructure Strategy be brought forward into the LTP year 3 to enable the development of a concept design following confirmation of the preferred location.

Note that at this stage no Detailed Design or Construction funding to enable the development of the Recreation Hub will be brought forward however this will be considered in the next LTP.

Tikipunga Artificial Turf Field

Submissions were received from both the Northland Regional Football Association and from Tikipunga Association Football Club in support of this project proceeding.

Staff Analysis

Council was planning the construction of a new sports field at Tikipunga Sports Park in the 2023/24 financial year to help address the shortage of sports fields in the district. A budget of \$435,000 had been allocated to the project however tender pricing came back at \$1.4m. A significant contributor to the cost is the considerable enabling works required to build a pitch in the proposed location.

Building a sand/grass-based pitch for the cost quoted is poor value for money and Council are better to consider alternative technologies such as artificial turf which although more expensive to build provide far better value due to the play hours an artificial turf can sustain.

Where a sand-based turf can provide approximately 15-18 hours capacity an artificial turf can provide in excess of 60 hours per week, the equivalent of approximately 4 fields.

Artificial turf is considered a key technology to help the district meet demand. Other technologies such as hybrid turf (natural grass and artificial) will also extend the playing hours of fields and should be considered as part of the WDC's delivery strategy.

A business case/strategy for artificial turf surfaces should be completed in year 1 of LTP.

Recommendation

That Council:

Progresses the development of the of the Tikipunga Sports Park Turf by:

- A) Supporting the business case for artificial sports turf surface, and;
- B) Includes \$50,000 (opex) in year 1 of the LTP for producing a business case, and;
- C) Includes \$2.5m (capex) in year 2 of the LTP for the development of an artificial sports turf, and;
- D) Includes \$30,000 per annum Opex for the maintenance and operation of the turf from year 3.

Recommendations:

That Council:

- A) acknowledges the submission received and the issues they raise and, where possible, will include these in our business as usual work, and;
- B) Considers undertaking a Reserve Management Plan prioritisation in year 3 and allocates \$50,000 additional OPEX in year 3 of the LTP to undertake the priority RMP.

- C) That an additional \$100k capex (debt funded) be added to Year 3 of the LTP to enable the development of the Recreation Hub design. The design and construction is currently signalled in year 11-13 (\$35 Million) of the Infrastructure Strategy.
- D) Progress the development of the Tikipunga Sports Park Turf Development by:
- Supporting the business case for artificial sports turf surface, and;
 - Including an additional \$50,000 (opex) in year 1 of the LTP for producing a business case, and;
 - Including an additional \$2.5m (capex) in year 2 and 3 of the LTP for the development of an artificial sports turf, and;
 - Including \$30,000 per annum Opex for the maintenance and operation of the turf from year 4.
- E) Approves funding of \$70,000 opex per annum in year 1 of the LTP, \$35,000 opex in years two and three for the Ruakaka Recreation Centre.
- F) Agrees to amalgamate funding of existing projects associated with the Hikurangi Sports Hub so that it can be delivered earlier without increasing the overall budget
- a. \$50,000 opex in year 2 to complete the masterplan,
 - b. \$100,000 capex in year 3,
 - c. \$500,000 capex in year 4,
 - d. \$500,000 capex in years 5
 - e. \$500,000 capex in year 6
 - f. \$100,000 capex in year 7
 - g. Notes that this funding includes the replacement of the the Lake Waro skatepark with a new skatepark at the Sports Hub.
 - h. Notes that the scope includes existing LTP projects - Skatepark (\$343k), Playground (\$226), Sports Hub (\$124k), Car Parking (\$298k), Drainage (\$323k) and Floodlights (\$373k) - \$1,686 total in Draft LTP.
- G) Removes funding for existing conveniences investigation of \$100,000 from year 1 as this will be undertaken in house and the budget used to offset other increases.

Financial Impact:

Reserve Management Plans \$50,000 OPEX in year 3.

Sports Hub Development - additional \$100,000 capex in year 3 funded by debt.

Tikipunga Sports Turf Development

- \$30,000 (opex) in year 1 included. Where possible this additional expense will be incorporated within the existing funding envelope. However, the cumulative impact of the individual requests approved, as well as depreciation and interest impacts, may result in a further increase to general rates to ensure Councils budget continues to operate within the parameters set as part of the Financial Strategy.
- \$0.5m (capex) in year 2 of the LTP funded by debt
- \$2.0m (capex) in year 3 of the LTP funded by debt
- Includes \$30,000 per annum Opex for the maintenance and operation of the turf from year 4. Where possible this additional expense will be incorporated within the existing funding envelope. However, the cumulative impact of the individual requests approved, as well as depreciation and interest impacts, may result in a

further increase to general rates to ensure Councils budget continues to operate within the parameters set as part of the Financial Strategy.

Ruakaka Recreation Centre

\$70,000 opex per annum in year 1 of the LTP and \$30,000 opex in year two

Where possible additional expense will be incorporated within the existing funding envelope. However, the cumulative impact of the individual requests approved, as well as depreciation and interest impacts, may result in a further increase to general rates to ensure Councils budget continues to operate within the parameters set as part of the Financial Strategy.

Proposal to reduce operating costs to accommodate the above

- Remove \$100,000 opex for investigation of existing public conveniences as this will be done in house
- Remove \$130,000 opex from year 1 of the Town Basin Investigations – Leaves a \$200k budget to address high risk areas only
- Reduced funding for toilet repairs from \$175k to \$100k for years 1 to 3. May result in some toilets being closed for longer periods
- Delayed opening of Tikipunga All Weather Pitch by a year - \$20k

Further Comments – Water

Feedback from Consultation

Submissions Analysis:

67 submissions were received that had some comment on Water Services. The largest issue raised was fluoridation. There was also comment on the repeal of the three waters legislation and potential amalgamation of services with the other Northland Councils.

There was also support for ongoing renewals, upgrades and growth projects. Some submitters commented on the uneven spread of water rates increases over the 10 years of the plan.

Submissions suggested strong support for growth related infrastructure planned for in Kensington and Ruakaka.

Key Issues raised from submissions:

Rating

Submissions included requests to implement tiered water rates and review the spread of water rates increases more evenly over the 10 years. These requests have been addressed under the Targeted Fees and Charges sections.

Communication

There was a request to provide more information to the public on water quality.

Gomez Rd

Several submitters requested that a Reserves Management Plan was prepared for the Gomez Rd Dam land.

Poroti Water Treatment Plant

There was support for the Poroti Wastewater Treatment Plant as it would ensure water security for the district.

Water Takes/Climate change

Some submissions suggested better management of water use to reduce the reliance on increasing water takes.

Growth

Submitters requested more planning for growth in city centre to ensure development can occur this includes the hospital and city centre.

Staff Analysis:

Rating - A full review of water rates would be beneficial and will be undertaken once there is more certainty about Council's response to the Local Water Done Well Reforms. This will allow time to develop an informed view on the future work program and enabling funding program, which will in turn drive rating policies. This is discussed further in the Rating section.

Communication - Ways to improve customer knowledge of what services we provide and how we provide them should be considered.

Gomez Dam - There are a number of Reserve Management Plans that need to be progressed. There is currently insufficient internal resource or budget to execute these. This is discussed in the Parks and Reserves section.

Water Treatment Plant at Poroti - The support for the Poroti upgrade project is noted. This is the key strategic project for water supply in the Infrastructure Strategy. The importance of demand management is also noted.

Water Takes - The importance of complying with consent conditions is noted. It is expected that all water take requirements are fully met. NRC hold all compliance information and would be better placed to report on performance at a regional level.

Climate Change Impacting Raw Water - This feedback is noted. Water Services will work with NRC to understand these impacts at a catchment level.

Growth - Officers acknowledge the importance of good modelling to support growth projects and effective strategic planning across the district. A project is underway to update the water model but no funding is allocated yet to develop a comprehensive strategic plan. A strategic plan will be required to identify growth projects needed in the next LTP.

Recommendation(s):

That Council:

- a) Acknowledges the submission received and the issues they raise; and
- b) Notes there are no recommended changes to this activity as set out in the Consultation Document; and
- c) Notes that most of the actions requested by submitters can be accommodated in Council's planned activities; and
- d) Notes that central government's Local Waters Done Well programme will provide greater certainty for future options for this activity.

Financial Impact:

There is no financial impact on this activity.

Further Comments – Wastewater

Feedback from Consultation

Submissions Analysis:

29 submissions were received relating to Wastewater.

Most submissions identified specific renewal and upgrade projects of interest such as the:

- Ruakaka Growth - Options for wastewater upgrades and disposal.
- City Growth - General support and encouragement - particularly Bank Street
- Request for a Waste Dump Station for Waipu
- Whangarei Heads - Richie Road Pump Station

Key Issues raised from submissions:

Funding / Rating

Submitters were interested in changes to funding/rating of wastewater services to a volumetric charge.

New Facilities

Submissions included requests for a Motor Home Dump Station and Water Filling Facility for Waipu and a Dump station for Tutukaka.

Parua Bay

Submissions from the Parua Bay community requested a solution for Ritchie Road pump station issues.

Ruakaka

Submissions showed interest in options for managing growth and planning for wastewater disposal and suggested these were funded from development contributions.

Growth

Submitters requested more planning for growth in city centre to ensure development can occur this includes the hospital and city centre.

Staff Analysis:

Local Government legislation does not currently allow volumetric wastewater charges. A full review of wastewater rates would be beneficial and will be taken once there is more certainty about Council's response to the Local Water Done Well Reforms. This will allow time to develop an informed view on the future work program and enabling funding program, which will in turn drive rating policies. If legislation changes to allow volumetric charging this would be included in the review.

There is a reasonable level of support for additional investment in wastewater systems to support growth and minimise impact on the environment.

Plans for installation of a new motorhome dump station in Tutukaka is currently within the LTP. Additional facilities for Waipu will be reviewed for potential scheduling in future plans.

Planning for growth is a key element of current activity and is part of the wider Future Development Strategy implementation plan. Work is underway to determine the

prioritisation of projects for the City area including the city centre so that developers have greater confidence to build.

Officers note that work is to be undertaken on Local Waters Done Well including the development of a Water Services Plan. This plan may look at options relating to different funding and charging models for Wastewater but no change is proposed at this stage.

Recommendation(s):

That Council:

- a) Acknowledges the submission received and the issues they raise; and
- b) Notes there are no recommended changes to this activity as set out in the Consultation Document, and;
- c) Notes that most of the actions requested by submitters are accommodated in Council's planned activities, and;
- d) Notes that central government's Local Waters Done Well programme will provide greater certainty for future options for this activity.

Financial Impact:

There is no financial impact on this activity.

Further Comments – Stormwater

Feedback from Consultation

Submissions Analysis:

18 submissions were received on stormwater. There was general support for stormwater renewal and upgrade projects. The submissions mainly focussed on specific stormwater problem areas.

Key Issues raised from submissions:

Stormwater culverts

Submissions included requests for fixes on stormwater culverts between 17 and 19 Reotahi Road, McLeod Bay and Millbrook Rd. These requests have been passed to the Transportation Department for consideration.

Stormwater Data

There was support in the submissions for the Stormwater Data Improvement Programme and for the provision of funding for condition assessments and modelling on network assets. One submission requested increased funding for condition assessments rather than it being maintained at current levels.

Rates

Submission indicated support for a targeted rate for Stormwater.

Sustainability

There was support for catchment planning, improving water quality through use of wetlands and swales. One submitter requested increased gross pollutant traps. Another suggested removing the ban on residents collecting and storing water for use on gardens.

Consents

Submissions indicated support for stormwater consent programme

Staff Analysis:

Stormwater culverts

The culverts identified are managed as part of ongoing operations. Requests for service have been passed to the relevant departments for consideration as part of their regular maintenance programmes.

Stormwater Data

The Stormwater Data Improvement Programme is a key element of the asset management framework. The Condition assessment programme is projected to increase as we grow capacity. Both these activities are funded as part of the LTP.

Rates

Note that a Stormwater targeted rate is proposed in yr 2 on the Long Term Plan.

Sustainability

The Council Engineering Environmental Standards are developing more water sensitive design solutions for stormwater management. This is an ongoing work programme. There is no ban on water tanks, but new developments are encouraged to connect to the Water Network if located within the catchment area.

Consents

A stormwater network consent programme is underway.

Recommendation(s):

That Council:

- Acknowledges the submission received and the issues they raise; and
- Notes there are no recommended changes to this activity as set out in the Consultation Document, and;
- Notes that most of the actions requested by submitters are accommodated in Council's planned activities.

Financial Impact:

There are no financial changes to this activity.

Further Comments – Coastal Systems and Flood Management

Feedback from Consultation

Submissions Analysis:

22 submissions were received that discussed coastal or flood management issues. There is some overlap with the stormwater activity.

Key Issues raised from submissions:

Climate impacts

Submitters suggested that flood management from Mt Aubrey onto Reotahi Road needs addressing with a genuine engineering solution instead of orange hazard netting. They also expressed concern about the impact of higher tides on roading network. Submissions also included a request to minimise the numbers of new hard protection structures such as seawalls.

City Centre

There were comments on the need for remediation and flood management planning for the city centre including options to minimise managed retreat.

Rates and Funding

Submissions included a request to review funding for coastal protection and to investigate a targeted rate for coastal and flood works.

Beaches

Some submitters requested the removal of vehicles from beaches and that nature based coastal protection was implemented.

Tutukaka

Several submissions expressed support for the Tutukaka Marina breakwater and the upgrade of the Tutukaka boatramp.

Staff Analysis:

Council has produced the Coastal Protection Works Policy which guides when and how Council will invest in coastal protection structures. It also sets out how it will support the community with their own initiatives where deemed appropriate.

Climate impacts

A programme of climate adaptation projects and flood studies are proposed in the long term plan to address concerns raised over climate change.

City Centre

City Centre Flood report/modelling is proposed to address concerns over flood issues in the city centre.

Rates and Funding

There is no capital funding allocated for new coastal protection activities in the plan. A process for project specific targeted rates is planned to be investigated.

Beaches

Vehicles on beaches are managed through the bylaw process. Nature based solutions for coastal erosion are identified within the recently adopted Coastal Protection Policy.

Tutukaka

The Tutukaka Marina breakwater is not a council project but is supported by Council. Council has a programme of renewals and improvements of coastal assets and Tutukaka will be assessed within this programme. The Tutuaka Boatramp is well used in holiday periods and funding from the Coastal Structures budget will be allocated in support of this project.

Where appropriate council can consider a targeted rate for communities where they are the main beneficiaries of coastal protection.

Recommendation(s):

That Council:

- a) Acknowledges the submission received and the issues they raise; and
- b) Notes there are no recommended changes to this activity as set out in the Consultation Document,
- c) Notes that most of the actions requested by submitters are accommodated in Council's planned activities,
- d) Notes that the Tutakaka boat ramp project will be supported through a funding agreement (\$100k capital grant) with the Marina to replace the pontoon which will be vested as a Council Asset;
- e) Continues using the Coastal Protection Policy for assessing coastal protection
- f) Undertake a review of targeted rates for specific coastal protection projects.

Financial Impact:

There are no financial changes to this activity.

Further Comments – Flood Protection

Feedback from Consultation

Submissions Analysis:

8 submissions were received in relation to the flood protection activity. There is some overlap with the stormwater activity.

Key Issues raised from submissions:

Communications

Submissions included a request for more community involvement and communications about the Hikurangi Repo.

Ownership

Submissions did not support farmers taking ownership of the scheme.

Staff Analysis:

Communications

There is opportunity to ensure information is provided more frequently through the Council Projects page.

Ownership

The business case developed for the Hikurangi Repo looks at a wide range of solutions. Work to determine options and solutions is ongoing,

Recommendation(s):

That Council:

- a) Acknowledges the submission received and the issues they raise; and
- b) Notes that there are no recommended changes to this activity.

Financial Impact:

There are no financial changes to this activity.

Further Comments – Solid Waste

Feedback from Consultation

Submissions Analysis:

Twenty-three submissions were received in relation to the solid waste activity. They covered various issues related to the kerbside waste collection services, waste minimisation initiatives and education, and litter collection.

Key Issues raised from submissions:

Waste Collection Services

Requests included:

- removing the twice weekly collection service for coastal communities during January
- wheelie bins for rubbish and or recycling
- food scraps collection
- reduction of rubbish collection frequency to fortnightly
- inorganic waste collection service
- recycling collection services for businesses

Litter Collection

Request included:

- the provision of more litter bins
- more frequent litter collections

Waste Minimisation and Education

Requests included:

- increased education regarding recycling and waste minimisation
- more support for electronic waste recycling

Staff Analysis:

Waste Collection Services

- The twice weekly collection service for coastal communities during January is not well utilised after the first week in January. The service often creates confusion for residents and visitors and is no longer required now that the capacity of recycling collections has increased.
- Food scraps collections may be required by central government in the coming years. If the collection of food scraps becomes mandatory then changes to the kerbside services (frequency, collection container) would best be done at the same time as the new service is introduced.
- Inorganic collections and recycling collections from businesses are expensive services that very few New Zealand Councils provide due to the various problems that they create.

Litter Collection

The location and number of both litter bins and litter collections is under constant review. We agree that it is an important service and appreciate your support for the resource required to perform the work.

Waste Minimisation and Education

A national electronic waste recycling scheme is due to be introduced soon. Until the details of such a scheme are clear it is a difficult area to invest in.

Education and support for waste minimisation is supported through the Council' s waste minimisation fund - we encourage anybody in the community with an initiative in this area to make an application.

Recommendation(s):

That Council:

- a) Acknowledges the submission received and the issues they raise; and
- b) Discontinues the twice weekly collection of waste from the coastal settlements in January in order that service levels across the district are consistent.

Financial Impact:

There would be a financial saving of approximately \$15,000 per annum if the twice weekly collection service was removed.

Further Comments – Community Facilities and Services / Strategy and Planning: Knowledge Precinct Plan, including New Theatre and the Redevelopment of Forum North.

Feedback from Consultation

Submissions Analysis:

Several submissions were received regarding the Knowledge Hub Precinct Plan, and these were generally incorporated within the submissions on Forum North.

A significant number of submissions were received regarding Forum North in relation to the following options:

- New 800 seat theatre
- A ‘black box’ theatre potentially in the existing Forum North building (which is adaptable to different settings and seating configurations) with surrounding performance rooms.
- Events Centre with flexibility for different event types and sizes accessible for all community members.
- Support for the Performing Arts and Culture sector of the district and region

Key Issues raised from submissions:

Knowledge Hub Precinct Plan / Master Plan

Proactive planning for the area around and including Forum North through a master plan / Knowledge Hub Precinct Plan.

Openness and transparent processes including:

- Thorough robust communication and engagement that includes the community and industry consultation (Creative New Zealand, PAANZ, Tour makers, professional contemporary performance companies).
- Governance processes.

A hub of activities that contribute to the social, cultural, economic, and environmental well-being of our community, in alignment with the four well-beings including:

- Tertiary education.
- Multi-functional spaces dedicated to arts such as theatre, cinemas.
- Hospitality activities (restaurants, bars etc).

An inclusive approach for the area which considers diverse groups and the affordability of the facilities for different potential users.

Forum North / New Theatre

Key issues raised included the lack of a venue large enough and with modern facilities in the district to hold national / international touring events, productions and shows.

Currently companies touring NZ with larger shows and events do not come to Whangarei anymore because facilities are outdated, and with a low people capacity it does not make financial sense to bring events to the district. Submissions included a call to put Whangarei back on the map for larger entertainment events.

Staff Analysis:**Knowledge Hub Precinct Plan**

The Knowledge Hub Precinct Plan is a graphical spatial/master plan covering a vision for a large area, generally including key moves and changes over the long-term. It is an action from the Whangarei City Centre Plan and is the final precinct plan to be developed in the city. It covers a large area; there are multiple landowners; multiple outcomes sought. It will be developed with the community, hapu and stakeholders. Importantly, it informs investments and decisions from Council but also other partners including government and other entities.

The consideration of options for the Knowledge Hub Precinct Plan will consider the requirements of both the LGA and Council's Significance and Engagement Policy, including the need for engagement and consultation.

While there is funding in the draft LTP for a theatre and Forum North - the funding is conditional and the details of the use, ownership and occupancy of the assets has not been subject to specific community engagement. The Precinct Plan is a vehicle for that alongside other community outcomes and development opportunities.

As discussed with Elected Members at the beginning of the LTP process, there is currently no Strategy department budget for the Knowledge Hub Precinct Plan beyond 1 FTE staff salary. Additional resourcing was not needed if the project was delivered at a pace that considered existing resourcing limitations. Recent activity with external parties and Government Ministers has forced the work to be expediated beyond internal capacity.

To enable the Precinct Plan to be developed at pace, additional OPEX resourcing of \$200,000 is sought. This is consistent with the budget initially allocated to the project in previous years though unused due to prolonged staff vacancies.

There is some possibility that components of the Knowledge Hub Precinct Plan might be appropriate for the Government's new Fast Track approval process. The Fast Track approval process does not create any additional funding streams.

If a Fast Track application is accepted to be heard by a Panel, then significantly more OPEX resourcing would be required to prepare the technical reports and information required and undertake the consultation expected within the Fast Track Bill. While timing is yet to be confirmed, it is likely that this would be required within the Years 2 and 3 of the LTP. A conservative figure for the work required to achieve this could be upwards of \$750k, potentially materially so. This matter is included in the discussion below.

Forum North renovation and a new Theatre submissions

The sentiment portrayed through the submissions is passion for the sector and strong support for the re-development of Forum North including an Events Centre / new Theatre configuration and Community Arts, Culture and Heritage Facility.

A couple of submissions were sceptical that a large new theatre was the solution for the Arts Sector in the district and this should be considered carefully as to what would best serve the Arts and Culture Sector in a multifunctional way as well as be accessible and equitable.

le for the wider community to participate.

All submissions align with the funding included in the draft LTP budgets 2024-2034 for Forum North redevelopment and seed funding towards a potential new theatre as the need for an Arts and Culture hub are expressed.

Forum North Trust

The FNT LTP submission requests Council to commit financially (dollar for dollar WDC/FNT) to jointly proceed with the Theatre design costs and associated sustainable operating model in 2024/2025 and 2025/2026. The estimated cost for this would be \$500,000 split 50/50, a council contribution of \$250,000 opex.

If council decides that no funding is available until 2027 (Capex is allocated from year 4) and there is no final decision on the build by that date, then it is unlikely FNT would be able to raise a considerable portion of the build costs in support of the project.

FNT would also lose \$1m which is conditional on council 'committing' to starting the build by June 2027 (End of LTP year 3). FNT currently have \$2,250,000 available for the project.

The FNT believe it is fundamental that this preliminary work for a new theatre should be completed as soon as possible before any expenditure is also allocated to the existing Forum North facilities being retained.

Once this commitment from council is made (\$250,000 opex) FNT will start their significant fund-raising campaign and maximise external funding opportunities and have a proposal from Strategic Grants which they would take up once council make a commitment in Year 1 to assist with their fund-raising efforts. FNT aim to match the

council \$6m seed funding in the first instance.

Extensive additional external funding would be required for a new theatre space, estimated \$60m to \$80m+.

The Government identified the Lyric Theatre as a standalone 'fast track' project and FNT have requested a copy of the recent council 'Fast Track' submission so they can fully understand how the Lyric theatre may fit into the Knowledge Hub jigsaw.

FNT welcome the opportunity to be represented on the Knowledge Precinct Plan Project Advisory Board (PAB) and have Trustees and associates who have experience in projects of this size who are committed to the huge fundraising that will be required. FNT also welcomed the signed Memorandum of Understanding with council to work together on a theatre project investigation.

The Trust recognises the financial constraints of council, especially in year 1 of this LTP and would like feedback from council on how thi

project can be progressed.

Forum North Entertainment Centre

The renovation of Forum North Entertainment Centre has the potential to not only enhance the cultural and social wellbeing of the community but also provide economic and environmental benefits.

Renovation of the existing building to an events centre could give flexibility for the community to the size and types of events that could be held and community groups who could have access to its facilities, and consideration for an additional new theatre configuration (Black box theatre) which gives function and

flexibility for the future of the Arts and Culture sector in the district and region.

The Forum North site is part of the Knowledge Hub Precinct Plan, and any redevelopment will progress through that process. As Forum North is a strategic asset of councils as described in the Significance and Engagement Policy, public consultation would be required during the decision-making process on the future of the current Entertainment Centre site.

Funding allocated in the draft LTP 2024-2034 for the renovation of Forum North was in two projects as follows:

Demolition and make good of Council offices:

Year 2 \$2,500,000 capex \$2,500,000 opex

Renovation and strengthening of existing theatre facilities:

Year 1 \$750,000 capex - renovation of FN

Year 3 \$5,000,000 capex

Year 4 \$5,000,000 capex

Funding allocated in the draft LTP for a new Lyric theatre:

Year 4 \$750,500 capex

Year 5 \$1,111,500 capex

Year 6 \$1,111,500 capex

Year 7 \$3,334,500 capex

Remedial Works at Forum North Entertainment Centre

To enable the current operations within the venues at Forum North to continue, immediate remedial works are required, including roof repairs which requires Opex funding. The remedial work and maintenance can be undertaken while the future project is progressed to keep the entertainment centre venues of the building useable and safe.

The opex funding of \$2.5m allocated in the draft LTP year 2, towards the renovation and any demolition and make good works to maintain safety of Forum North. This project has

changed so a portion of this opex could be brought forward into year 1 to fund opex works including the Knowledge Hub Precinct Plan, remedial works, and a commitment by council to progress a design cost and a sustainable operating model in 2024/2025 and 2025/2026.

Options

1. Year 1 - \$825,000 opex . \$200,000 to cover the costs of progressing the Knowledge Precinct Plan, \$500,000 for remedial work and \$125,000 to bring forward the commitment by council options for a new theatre in support of the Forum North Trust's request while the Knowledge Hub Precinct Plan is progressed.

AND

2. Year 2 - \$500,000 opex. \$375,000 for the technical reports and information needed for the Fast Track consenting. To meet Government's requirements, Council will have 2 years maximum to submit a substantive application for assessment by the Expert Panel and \$125,000 to bring forward the commitment by council for design costs and a sustainable operating model for a new theatre in support of the Forum North Trust.

AND

3. Year 3 - \$375,000 Opex for the technical reports and information needed for the Fast Track consenting. To meet Government's requirements, Council will have 2 years maximum to submit a substantive application for assessment by the Expert Panel.

AND

4. The remaining \$800,000 opex and \$2,500,000 capex from year 2, could be removed / reallocated as it is not currently allocated to this project, but it is important to note, there will likely be further funding required as the Knowledge Hub Precinct Plan, the renovation of Forum North Entertainment Centre and a new theatre progress in future years, this may require consultation through a future annual plan or long-term plan.

OR

5. Council could defer another opex project until later years to prioritise this Programme of works.

OR

6. Council could choose to move a different opex and capex amount across multiple years and allocate remaining opex to other projects to avoid negatively impacting rates further.

Risks

Risks associated with the allocation of funding for this programme of work:

- Council does not provide opex funding to demonstrate commitment to furthering a new theatre and Forum North Trust which has the following effects:
 - FNT miss the deadline to start possible construction by June 2027 and lose \$1m of their funding contribution.
 - The significant fundraising required by FNT is delayed.
 - The Strategic Grants offer to support fundraising cannot be undertaken.

- Council does not provide the \$500,000 for remedial works in year 1 of the LTP, the leaking roof in the Forum North Entertainment Centre will damage the interior fitout and has potential to make the venue un-useable.
- If the Knowledge Precinct Plan opex funding is not allocated in year 1, 2 and 3, the required resources available to further the plan and funding for the technical reports to Government would not be progressed.
- Any renovation of Forum North will have to undergo a public consultation process.

Council provided feedback to staff during LTP discussions, and this feedback has been incorporated into the following recommendations which align with option 6 presented above.

Recommendation(s):

Council approves:

1) Moving opex and capex funding currently allocated for the renovations of Forum North from years 1 and 2 across years 1-4 of the Long-term plan 2024-2034 as follows:

- a) \$400,000 opex to year 1, divided between progressing the Knowledge Hub Precinct Plan, and carry out remedial works to keep the current Forum North venue spaces fit for purpose.
- b) \$500,000 opex, divided \$375,000 to fund potential Knowledge Precinct technical reports for any application to Government, and \$125,000 opex year 2 to bring forward of the commitment by council for design costs and a sustainable operating model for a new theatre in support of the Forum North Trust.
- c) \$375,000 opex year 3 to fund potential Knowledge Precinct technical reports for any application to Government,
- d) \$750,000 capex for Forum North Renovations from year 1 to year 3.

2) Notes the CAPEX funding allocated to the new theatre is unchanged between years 4-7 of the LTP

Forum North Redevelopment	CAPEX	OPEX
Yr1	\$0 (\$750,000 was in 2024-2034 LTP for FN Renovation now moved to Yr. 3)	\$400,000 OPEX total • To progress the knowledge Hub Precinct Plan • To fund remedial works at FN.
Yr2	\$0	\$500,000 OPEX total • \$375,000 OPEX to compile potential technical reports for any application to Government. • \$125,000 to contribute to a sustainable operating model and design costs in partnership with the Forum North Trust.

Yr 3	\$5,750,000 (Original \$5,000,000 + \$750,000 from LTP 2021-2031 renovation FN)	\$375,000 OPEX total • \$375,000 OPEX to compile potential technical reports for any Government.
Yr 4	\$5,000,000 no change – Renovation FN	0
New Theatre Seed Funding	CAPEX	OPEX
Yr 4	\$750,500 no change	0
Yr 5	\$1,111,500 no change	0
Yr 6	\$1,111,500 no change	0
Yr 7	\$3,334,500 capex no change	0

Financial Impact:

This additional operation expenditure will be funded collectively with other approved recommendations, by a pro-rata budget reduction across Council excluding Transportation to a maximum of \$642,000 in year 1 and \$1,686,000 in year 3.

Further Comments – Community Facilities and Services – Whangarei Art Trust (WAT)

Feedback from Consultation

Submissions Analysis:

A significant number of submissions were received regarding the Whangarei Art Trust (WAT) which covers both Hundertwasser Art Centre (HAC) and the Whangarei Art Museum (WAM).

Most submissions received were against supporting the Hundertwasser Art Centre (HAC) financially. Several submissions were received in support of HAC and the Whangarei Art Museum, with Northport and Marsden Maritime Holdings providing submissions identifying the value of the Hundertwasser Art Centre particularly drawing cruise ships to Whangarei and that council continue to support these facilities.

There was also general feedback that the district requires a central place for the arts and local artists to grow and display work as there is so much local talent in the district.

The Whangarei Art Trust board have provided their own submission to the LTP.

Key Issues raised from submissions:

Most submissions were expressive that ratepayers should not be asked to contribute towards the HAC and that an alternate use for the building should be considered.

The submissions in support of HAC and WAM were in support of the uniqueness of HAC, the current and future economic benefit to the city, district and region and the continued draw for cruise ships to Whangarei. The continued success of WAM and the contribution to Arts and Culture in the district and region was also appreciated and identified.

The Whangarei Art Trust submission states implicitly that for both entities governed by the Trust to be effectively managed it would require a financial contribution from council on an annual basis through an annual operating grant.

HAC is currently run commercially with paid entry, while WAM is run as a Community Service in the Arts sector and funded by a council annual operating grant. The Whangarei Art Trust have rising expenses which are out of their control including audit fees, power and gas prices, and insurance costs.

An annual operating grant of \$900,000 is requested by the Trust to reach a comfortable financial position for both HAC and WAM entities governed by the Trust. (This figure includes the current WAM grant amount).

Staff Analysis:

From submissions it is clear the community value the Arts and Culture sector in the district and see its value in community wellbeing, there seems no dispute on this view; but several submitters are clear that many ratepayers did not want the Hundertwasser Art Centre for Whangarei, the Deloitte report was not accurate and therefore ratepayers should not be required to fund HAC.

There are several submitters who see the value in both HAC and WAM for the district and region, the economic benefit, the art and culture benefit and the potential for the future, including the draw of cruise ships to Whangarei and that council should be supporting the CCO.

The Whangarei Art Trust are in financial difficulties due to the challenges faced by HAC after opening. The Trust are working towards reducing expenses and increasing revenue to improve the situation. HAC also houses the Wairau Māori Art Gallery, which has its own board, but a close relationship and relies on the support from the WAT board and HAC staff for their operations.

The HAC financial difficulties are starting to impact the Whangarei Art Museum (WAM) which has functioned through an annual operating grant from council for many years. This grant is currently \$471,239 and a rent concession of \$186,100. Total support received \$657,339. The draft LTP figure for the annual operating grant is reduced to \$418,739 plus rent concession.

The WAM grant has not been increased for several years, although a \$200,000 injection of funds was provided in year 1, then \$100,000 in year 2 and \$50,000 in year 3 of the 2021-2031 LTP support the museum, this is not included in the draft budgets for the 2024-2034 LTP, making operations for WAM untenable into the future without falling into a financial deficit and having the additional impact of HAC losses. WAM have requested \$60,400 opex each year 1-10 in support of the Whangarei Art Museum educational programmes that have begun, and they would like to continue.

The Trust would require an additional \$481,261 per year for operations to cover both HAC and WAM to form a \$900,000 annual operating grant across two entities.

Council has the Deed of Guarantee funds, which it has used to support HAC over the last two years, with \$450,000 remaining to date for the 2024-2025 financial year.

The Whangarei Art Trust stated in their submission that in return for an annual operating grant total of \$900,000 to support both HAC and WAM operations they will:

- Offer free entry to the Hundertwasser Art Centre for Whangarei District residents and retain free entry for all visitors to the Whangarei Art Museum.
- Maintain a continuous focus on seeking opportunities to further reduce costs for the Hundertwasser Art Centre and the Whangarei Art Museum.
- Maintain a continuous focus on seeking additional revenue streams to contribute to a net increase in operational income for both the Hundertwasser Art Centre and the Whangarei Art Museum.
- Determine annually whether a portion of the grant funding is returned to the Council because of either reduction in operational costs or increases in net operational revenue, resulting in a cash surplus.

It should be noted that WAM houses the council's art collection and provides free entry to all visitors with regularly changing art displays. HAC charges for entry to the art centre and has a mostly static display of Hundertwasser art works. The Wairau Māori Art Gallery has changing displays and relies on the Trust and HAC for its operations.

Options

1. Funding \$160,000 opex year 1 and \$60,400 year 2-10 - Increase the annual operating grant to WAT by \$60,400 opex years 1-10 in support of the Whangarei Art Museum educational programmes and provide \$100,000 opex year 1 for an independent review of the HAC to be completed to identify future options for the building. Use the \$450,000 guarantee for HAC.

2. Funding \$131,261 opex year 1 - Increase the WAT annual operating grant by \$31,261 opex year 1 to add to the Guarantee funding of \$450,000 in 2024/2025 and \$100,000 for an independent review

of HAC, reassess the annual operating grant through the next annual plan. WAM educational programmes cease.

3. Funding \$131,261 opex year 1 and \$60,400 year 2-10 - Increase the WAT annual operating grant by \$31,261 opex year 1 to add to the Guarantee funding of \$450,000 in 2024/2025 and \$60,400 year 2-10 for WAM educational programmes, \$100,000 for an independent review of HAC and reassess the annual operating grant through the next annual plan.

4. Funding \$191,661 year 1 opex and \$60,400 year 2-10 - Increase the WAT annual operating grant by \$191,661 in year 1 made up of \$31,261 to top up the Guarantee funding of \$450,000 and \$60,400 year 1-10 to enable WAM to deliver education programmes and \$100,000 for an independent review of HAC.

5. Funding \$31,261 opex year 1 and \$481,261 year 2-10 - Increase the WAT annual operating grant by \$31,261 opex year 1 to add to the Guarantee funding of \$450,000 in 2024/2025 and increase the Whangarei Art Trust annual operating grant by \$481,261 opex year 2-10 to create an annual operating grant total of \$900,000 opex. WAM educational programmes start year 2.

6. Funding \$91,661 in year 1 and \$481,261 year 2-10 - Increase the WAT annual operating grant by \$91,661 in year 1 made up of \$31,261 to top up the Guarantee funding of \$450,000 and \$60,400 to enable WAM to deliver education programmes and \$481,261 years 2-10 to create a \$900,000 annual operating grant.

7. Leave the WAT annual operating grant at its current level.

8. Council could choose another amount to increase the annual operating grant for the Trust.

Funding Options Table

Option	Funding option HAC	Funding option WAM	Total Funding Opex year 1	Rates Impact Year 1	Future funding years 2- 10	Comments
1	\$100,000	\$60,400	\$160,400		\$60,400	• The Trustees may resign. • Independent review undertaken of HAC. • HAC liquidation Oct 2025 latest • Council risk re-entry costs. • Reputational risk positive / negative
2.	\$131,261	-	\$131,261		-	• Assess through next annual plan. • Trustees may resign. • Independent review undertaken. • WAM education programmes end • WAM may suffer financial losses. • Reputational risks positive / negative

3.	\$131,261		\$131,261		\$60,400	• Independent review undertaken. • Trustees may resign. • WAM educational programmes continue. • HAC topped up for 1 year. • Reputational risk positive / negative.
4.	\$131,261	\$60,400	\$191,661		\$60,400	• Assess through next annual plan. • Trustees may resign. • Independent review undertaken. • WAM education programmes continue. • WAM may suffer financial losses. • Reputational risks positive / negative
5.	\$31,261	-	\$31,261		\$481,261	• Trust remains in place due to commitment from year 2. • HAC is supported year 1. • WAM educational programmes restart in year 2. • Reputational risk positive / negative • Economic benefit and tourism benefits retained
6.	\$31,261	\$60,400	\$91,661		\$481,261	• Trustees likely remain, and WAM / HAC operations continue uninterrupted due to commitment from year 2. • HAC is supported year 1. • WAM educational programmes continue. • Reputational risk positive / negative • Economic benefit and tourism benefits retained.

						• Greater impact to rates year 2 onwards.
7.	-	-	-	-	-	• No impact on rates or other council services. • HAC will go into liquidation Oct 2025 • Trustees may resign. • WAM may also be affected. • Council face re-entry costs. • Reputational risks positive / negative.
8.	Council chooses another funding amount					• Impacts unknown

Risks

The following risks are associated with the funding of the Whangarei Art Trust:

- **Not funding the Whangarei Art Museum (WAM) will have the following impacts:**
 - WAM accounts will fall in a financial deficit.
 - The council art collection is at risk of being damaged, lost and not being displayed or having suitable storage to maintain it if WAM are not financially viable and do not have the facilities it requires to undertake operations.
 - Art and Culture educational programmes for the community will cease.
 - A loss of the Art Museum in Whangarei
 - Free options for accessing to art and exhibitions within the district will be reduced for all the community.
- **Not funding the Hundertwasser Art Centre (HAC) will have the following impacts:**
 - Liquidation of the Trust and HAC forecast October 2025
 - Re-entry costs to council will likely be larger than the required annual operating grant due to potential legal action by the Foundation, the returning of highly valuable artworks to Vienna, management of the current staff, management of the shop, art centre costs, building costs, outstanding / unpaid expenses, and an active restaurant lease.
 - Loss of a national art centre
 - Loss of the economic benefits to the city, district, and region
 - Loss of an international visitor attraction
 - Unknown negative impacts to cruise ship bookings
 - Unknown negative impact to domestic tourism
 - Loss of a home for the Wairau Māori Art Gallery and an unknown future for them.
 - Potential loss of volunteers who contribute to HAC operations.
 - The building needs to remain functional due to the active lease to the restaurant located within the building.
 - Council become responsible for building maintenance, insurance, audit fees
 - Funding would be required for resources within council to manage these responsibilities.

- Loss of experience, skills, and dedicated Trustees if Trustees resign.
 - May negatively impact council's reputation when re-entry costs must be covered by council and may be unbudgeted.
 - Negative feedback on Council lack of support for its CCO.
 - May increase rates significantly in future years with re-entry costs and future for HAC.
 - Potentially negatively impact the overall Town Basin area and experience for locals, visitors, and businesses.
- **Funding WAM will have the following impacts:**
 - Enable the community educational programmes to continue.
 - Secure the future of the art museum and provision of Art experiences for the community.
 - Provide a home of council's art collection in a suitable environment.
 - Impact rates or impact service delivery of another council service to provide funding.
 - **Funding the HAC will have the following impacts:**
 - Negative for members of the community who pay rates and do not want to support HAC.
 - Negative impact to councils' reputation with some members of the community who do not support HAC
 - Impact rates from year 2 onwards.
 - Positively impact councils' reputation with supporters of HAC and those who benefit from it socially, economically, environmentally.
 - Positive for members of the community who pay rates and want to see HAC supported.
 - Whangarei Art Trust achieve financial stability for both HAC and WAM and long term assurance
 - Whangarei Art Trustees remain place and their skills, experience and expertise are retained.
 - An international art centre is retained for the city/ district/ region.
 - Councils funding has a cost benefit – the economic benefit to the district which can be measured in future years.
 - The relationship with the Hundertwasser Foundation is retained.
 - The Wairau Māori Art Gallery and restaurant lease can continue uninterrupted.
 - Avoid any potential legal action against council and associated costs.
 - Avoid re-entry costs and liquidation of Council's CCO
 - Reduce negative impacts to cruise ship visits.
 - Retain a domestic tourism attraction.
 - Staff and volunteer roles are retained with no negative impacts to them.
 - Council would not be directly responsible for building maintenance, insurance, and audit fees.
 - Council is supporting its CCO

Council could choose to financially support the Whangarei Art Trust as a CCO with an amount up to what has been requested by the Trust of \$481,261 opex.

Staff advise the re-entry costs of HAC would likely be considerably higher than the operating grant funding requested and the amount required is considered comparable to funding support provided to other CCO's and community district amenities.

Council has provided direction to staff through the LTP discussions and the following recommendation has been provided.

Recommendation(s):

That Council:

1. Fund \$90,000 opex in year 1 to the Whangarei Art Trust, split between \$29,600 to the Hundertwasser Art Centre and \$60,400 year 1 to the Whangarei Art Museum to enable Whangarei Art Museum to deliver education programmes and top up the guarantee funding available for the Hundertwasser Art Centre.
2. \$480,000 opex year 2 and 3 to the Whangarei Art Trust, which is additional funding to the existing operating grant.

Financial Impact:

This additional operation expenditure will be funded collectively with other approved recommendations, by a pro-rata budget reduction across Council excluding Transportation to a maximum of \$642,000 in year 1 and \$1,686,000 in year 3.

Further Comments – Community Facilities and Services – Community Safety and CitySafe

Feedback from Consultation

Submissions Analysis:

Two group submissions were received on Community Safety from NorthChamber and the Youth Advisory Group.

Several individual submissions are generally in support of Council's community safety services.

Key Issues raised from submissions:

The importance of CitySafe and Community Safety is clear within the submissions received, with the focus being on the central city and the service CitySafe provides to the public and businesses alike.

NorthChamber representative stated, since the inception of CitySafe, the environment has improved within the CBD including anti-social behaviours and people feeling safer, the service has been transformational and needs to be maintained.

Since the Better Off Funding the difference has been noticeable again with further reduction in anti-social behaviour, therefore funding needs increasing not decreasing, the cost of not fully supporting CitySafe is fundamentally higher than the funding of the service. If people do not feel safe to come to town, the associated loss to businesses comes at a huge cost to the community, hence this service needs to continue at the current levels.

Some of the other community safety feedback included comments such as more of a security presence in the CBD, both with CitySafe personnel staying later, and simply keeping the streetlights on later in the centre of town.

Having a greater security presence (promoting a safe environment) in town allows for a safer environment that in turn attracts more of a youth presence, revitalising the town centre.

Staff Analysis:

In the current long-term plan 2021-2031 the community safety budget is reduced from LTP Year 4 onwards and will result in either the disestablishment of, or a significant reduction to, the CitySafe Community Officer programme as there would not be enough funding to exercise the 3-year right of renewal.

From a community safety perspective, a significant reduction in hours of service or disestablishing the programme would have an adverse impact on safety in the inner city, and (under its Significance and Engagement Policy), Council may also be required to undertake public consultation on the matter.

With the significant success of the CitySafe program in reducing anti-social behaviours in the CBD, council should consider how this programme is currently funded.

The Better Off Funding contribution provided \$200,000 to increase the minimum wage of CitySafe staff to the Living wage which attracted experienced people into the roles and kept them in the roles and increased service delivery at the Rose Street Bus Station over the last 18 months. This funding will come to an end at the end of June this year.

The business community and youth advisory group have submitted that this service is vital to reducing anti-social behaviours in the CBD and keep people coming to town and supporting business. Front facing council staff also rely on CitySafe services alongside their service delivery i.e. Library, Forum North, Civic Centre.

Current funding does not enable the current level of service and the living wage to continue past June this year. Therefore, the impacts and risks of the funding ending are identified below, and funding options provided to be considered.

Risks

- Although the BOF funding agreement explicitly and clearly stated that Council made no commitment to continue the living wage funding beyond 30 June 2024, it is difficult to manage expectations that may have been inadvertently created in the public realm through the funding allocation.
- The contractor is obligated to continue to pay staff the 'living wage' rate and would have to self-fund the living wage payments and have advised that, under the current contract, it is unsustainable to retain experienced staff that are currently paid the living wage as community officers.
- Possible withdrawal from the CitySafe Community Officer contract by the contractor.
- Paying the minimum wage doesn't promote CitySafe as a viable career pathway and impacts negatively on the quality of candidates that apply for community officer roles, length of tenure in the roles, and the accumulation of experience, local knowledge and good working relationships with the public, police, and other organisations.
- If the contractor withdraws from the contract and the service is discontinued, it is likely that there will be push back from key stakeholders in the central city resulting in reputational damage to Council and an economic impact over the longer term.
- Disruption to service provision if Council were to re-tender the contract.
- A contract with a new provider may cost Council the same or more than the current proposed increase.
- Council may garner adverse media coverage.

Options

Options for funding CitySafe service levels and possibly maintaining the living wage and maintaining the Summer Safe Carparks initiative are outlined below. Funding that is currently allocated in the draft long-term plan is outlined in the following table.

Additional projected budget required to, **(A)** maintain the current contracted levels of service **excluding** the Summer Safe Carpark Programme; **(B)** increase the value of the contract to enable living wage remuneration for the CitySafe community officers; **(C)** increase the value of the contract to enable living wage remuneration for the CitySafe community officers and allow the Summer Safe Carpark Programme to continue. **(D)** Fund the Summer Safe Carparks programme and the CitySafe Contract at minimum wage. **(E)** requires no additional funding.

LTP Year	Community safety budget draft LTP 2024-2034 (currently allocated)	Option A: Additional funding required for CitySafe Community Officer programme in line with	Option B: Additional funding required to increase contractor's hourly rate, enabling living wage remuneration for	Option C: Additional funding required to increase contractor's hourly rate, enabling living wage remuneration for Citysafe Community	Option D: Funding the Summer Safe Carparks programme and Option A of CitySafe
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		current contract until 2030	Citysafe Community Officers	Officers <i>and</i> to allow Summer safe carpark programme to continue.	
1	\$585,073	\$0	\$54,405	\$76,592	\$28,000
2	\$585,073	\$0	\$54,405	\$76,592	\$28,000
3	\$585,073	\$0	\$54,405	\$76,592	\$28,000
4	\$400,000	\$185,073	\$239,478	\$261,665	\$213,073
5	\$400,000	\$185,073	\$239,478	\$261,665	\$213,073
6	\$400,000	\$185,073	\$239,478	\$261,665	\$213,073
7**	\$400,000	\$185,073	\$239,478	\$261,665	\$213,073
8**	\$400,000	\$185,073	\$239,478	\$261,665	\$213,073
9**	\$400,000	\$185,073	\$239,478	\$261,665	\$213,073
10**	\$400,000	\$185,073	\$239,478	\$261,665	\$213,073
Total additional funding requested to be included in draft LTP, by option.		\$1,295,511	\$1,839,561	\$2,061,431	\$1,575,511

LTP Budget considerations

Option A: Increased cost over the Long-Term Plan of \$1,295,511 opex

Option B: Increased cost over the Long-Term Plan of \$1,839,561 opex

Option C: Increased cost over the Long-Term Plan of \$2,061,431 opex

Option D: Increase cost over the Long-Term Plan of \$1,575,511

Option E: No increase in funding

Option Alignment

A council resolution in 2022 was made to increase staff and contractor wages when possible to the living wage. Earlier council direction was to reduce the levels of service to maintain the living wage if possible. The current contract hours cannot be reduced sufficiently to reduce the levels of service and maintain the living wage. Hence the options provided to council for consideration.

The financial principles provided by council align with Option E, but this would mean returning staff to the minimum wage and reviewing service levels again in 2027. The risks associated with this have been outlined above.

Options in order of alignment with financial principles

Option E provides an opportunity for council to keep the contracted hours at minimum wage and review service levels in 2027 when the contract comes up for renewal.

Option A provides an opportunity for council to keep the contracted hours at a minimum wage and enable a right of renewal in 2027.

Option D provides minimum wage and the Summer Safe Carparks.

Option B enables council to maintain the living wage and enable the contract renewal in 2027 but lose the Summer Safe Carparks programme.

Option C maintains the living wage and the Summer Safe carparks programmes.

Councillors may opt for another variation on one of the options stated, but align with the council resolution in 2022 for moving employees and contractors from minimum to living wage Option B aligns. Therefore the following recommendation has been provided.

Recommendation(s):

That Council:

1. Fund \$54,405 opex year 1-3 of the Long-Term Plan 2024-2034, to maintain the CitySafe contract and provide the living wage until the right of renewal in 2027.

Financial Impact:

Based on the above Options:

Option	Impact year 1	Impact Years 1-3 opex	Impact Years 4-6 opex	Impact Years 7-10 opex
Option A Current Contract minimum wage	none	none	\$551,219	\$740,292
Option B Current Contract with Living Wage	\$54,405 opex	\$163,215	\$718,434	\$957,912
Option C Current Contract with Living Wage and Summer Safe Carparks	\$76,592	\$229,776	\$784,995	\$1,046,660
Option D Current Contract and Summer Safe Carparks	\$28,000	\$84,000	\$639,000	\$852,073
Option E Current Contract	\$0	\$0	\$0	\$0

Impact on rates for Option B

This additional operation expenditure will be funded collectively with other approved recommendations, by a pro-rata budget reduction across Council excluding Transportation to a maximum of \$642,000 in year 1 and \$1,686,000 in year 3.

Further Comments – Community Facilities and Services (Libraries, Community Property, Community Development, Community Funding, Pensioner Housing, Venues & Events, Customer Services, Civil Defence Emergency Management/CDEM)

Feedback from Consultation

Submissions Analysis:

Key Issue - Te Kamo Library

There was only one submission on libraries regarding Te Kamo Library as a vital community service in Te Kamo village and surrounding area. That the library requires a fit for purpose review of the building and ideally improved and for it not to be removed from the community completely. Kamo Community Inc would like to work alongside council on what a new library for Te Kamo would be like to service the needs of the community.

Staff Analysis

A review of Te Kamo branch library is required to ensure it stays fit for purpose. Basic repairs and maintenance continue to be carried out on the building, but future planning for the branch library is required in the next 3 years. Staff would like to explore a community hub model which incorporates libraries, with community meetings spaces and council customer service presence which aligns with emissions reduction with less travel to access services, climate change and transport choices.

Key Issue - Community Buildings

There needs to be better spaces for youth to meet and feel safe. A survey by the Youth Advisory Group found 100 youth responded that a safe, free, fun and inclusive space was needed by youth.

Further submissions were received requesting that council continue to support community building spaces where community groups can meet and use as its contribution towards community wellbeing.

Staff Analysis

The Community Development Department will be developing a Community Tenancy Occupancy Policy which will assist with assessing the use of community buildings owned by council, their tenancy and equitable use.

The future use of community buildings such as the Old Municipal Building and the old Library will be assessed by council soon as renovations progress and tenancy leases near end of life. Community buildings owned by council are vital to community wellbeing and the provision of these spaces should be protected and maintained. The Community Development Team will continue to work closely with council advisory groups in this matter.

Key Issue - Accessibility Strategy

Several group submissions received specified the need for council to prioritise accessibility across the district for disabled persons. A disability lens has not been put across the long-term plan and providing equity for disabled people across council services is a necessity which is missing. The accessibility strategy also needs funding to enable its implementation and there is a shortage of funding for this.

The Disability Advisory Group would also like the \$40 fee for travel to meetings to be reviewed as this does not reflect the costs incurred by members of the group being able to attend meetings (transport etc.).

Staff Analysis

The Community Development Advisors (CDA) continue to work with community organisations who support disabled persons and with councils' disability advisory group to participate in councils planning. The disability strategy is currently endorsed by all the Northland councils' chief executives, but funding has not been prioritised through the long-term plan of \$25,000.

CDA's will implement parts of the accessibility strategy where they are able with minimal funds from existing budgets. Staff can review the fees and make recommendations where possible with available budgets.

Key Issue - Pensioner Housing

Submissions received specified the need for new and affordable pensioner housing in the district. For council to consider private partnerships and invite developers to create more opportunities for pensioner housing in the future.

Staff Analysis

The Pensioner Housing Review of the current stock of council's pensioner housing is due in the next two months, options will be presented to council on next steps for current stock and future housing models.

In the LTP there is \$4m set aside for new pensioner housing. Staff initially recommended waiting for this review, which was requested by council, to assist with the next steps decision making on current and new pensioner homes and a future operating model. Since the initial staff advice, steps have been taken by staff to investigate new pensioner housing options and this is progressing. The constraints for this piece of work are around resourcing and in-house developer expertise.

To support the progression of the wider Council Housing Strategy and new pensioner housing staff would recommend additional funding of \$50,000 per year to keep implementation moving forward.

Key Issue - Community Funding

Submissions were in support of continued community funding and its vital role in supporting community projects, initiatives, and wellbeing. That council continue to provide community funding.

Staff Analysis

Community funding has remained at the same level for several years and there is no increase included in the draft LTP budgets. There is an increasing demand on council funding across funds.

A review of Community Funding processes and structure is underway with the aim to provide an easier pathway for communities to apply for funding, be equitable across funding provided and strengthen accountability of funding recipients. The review will be complete by the end of June to coincide with implementation at the beginning of the financial year in July.

Venues and Events

Submissions on Venues focussed on Forum North are covered in a separate item.

Submissions on events were few and varied and ranged from supportive of all events large and small, and their contribution to community wellbeing, and economic benefits.

There were also submissions to reduce event funding for large events and using funding to focus on core infrastructure.

Staff Analysis

Council's support of events in the district provides economic and social benefits for everyone whether directly or indirectly. Ongoing funding to support events is important to council but staff recognise the concerns of community members through the submissions.

Therefore staff would recommend the following support, that \$60,000 opex per year is added to the Mayoral budget in support of large or major events for the district but the flags and decorations budgets of \$48,000 opex each year be removed.

Customer Services

There were no submissions received which focussed specifically on customer services operations.

Civil Defence Emergency Management

A few submissions were received regarding CDEM, with communities wanting to work with council on emergency planning and a request for CDEM staff to work with the disability community on emergency planning.

Staff Analysis

CDEM community planning has been underway for over a decade and more communities can join the planning process by contacting council directly.

Support is currently underway but in the early stages, working alongside people with disabilities and emergency management planning. This work is also supported through the Northland Regional Council who work together through our shared service.

Community Facilities and Services – General

There were several submissions which specified the value of council providing community services and how they contribute to community wellbeing and give people joy and a sense of place and culture in the district. Submissions support council to continue delivering on its community services.

Recommendation(s):

That Council:

- 1) Acknowledges the submissions received and the issues raised, and that staff will address as many of the issues through their work programmes where possible where funding is not available.
- 2) Fund \$50,000 opex years 1-4 to progress the implementation of the Council Housing Strategy with a focus initially on new pensioner housing.
- 3) Fund \$60,000 opex years 1-10 to the Mayoral budget in support of large or major events for the district.
- 4) Remove \$48,000 opex years 1-10 for the Venues and Events flags and decorations budget.

Financial Impact:

This additional operation expenditure will be funded collectively with other approved recommendations, by a pro-rata budget reduction across Council excluding Transportation to a maximum of \$642,000 in year 1 and \$1,686,000 in year 3.

Further Comments – Support Services

Feedback from Consultation

Submissions Analysis:

Six submissions were received with the Support Services classification attached. Many of these do not relate to Support Services and are considered elsewhere within this report.

Key Issues raised from submissions:

The issues raised covered a broad range of topics. Key themes relating to Support Services include:

- A comment with regards to employee medical insurance
- The cost of the Civic Centre building and the need to focus on Councils core activities
- Suggestions to better serve the community including improving communication, website and online portals, staff training and development, communication strategy, streamline processes, efficient workflows, digital capabilities, data analytics, mobile app for residents, cash payment option

Staff Analysis:

Staff continue to make continuous improvements and look for efficiencies within current work programmes and budgets.

Recommendation(s):

That Council:

- a) Acknowledges the submissions received and the issues they raise and notes that no changes are proposed as a result.

Financial Impact:

None.

Further Comments – Planning and Development

Feedback from Consultation

Submissions Analysis:

53 submissions were received relating to the services of the Planning and Development Group outside of the three consultation topics. These related to:

- Planning and Consents

- Regulation and funding relating to animal control/rescue
- A number of other matters including NEST, new bylaws, potential to sell commercial properties to fund activities and the economic benefits of the Arts and Creative sector.

Key Issues raised from submissions:

Planning and consents

A number of submitters raised a desire to see simplified District Plan, Resource Consent and/or Building Consent processes. Others stressed the need for robust planning processes that address the effects of development.

In many instances submissions relating to planning highlighted the need for housing supply, and the efficient and effective provision of housing and infrastructure.

A number of submissions highlighted a desire for reduced compliance requirements/costs.

A submitter raised concerns over consent timeframes, outlining a number of operational changes that could be implemented to stream line these and improve customer service

A submitter sought to decrease building inspections and signoffs, instead relying on LBP and Engineer sign off.

Submitters sought that Council clarify 'Tangata Whenua' status in Whangarei and surrounds, requiring during pre-Application that any and all Resource Consent applicants properly engage with 'Tangata Whenua' (it was noted that 'properly engage' will need to be clearly defined and agreed to by both parties). It was sought that if applicants had not done that pre-Application, then a sufficient time is set by Council for this to take place, prior to their application being considered.

Alongside this submissions raised the need for robust planning for growth. Submissions outlined some of the risks and challenges associated with Genetic Engineering (GE) and Genetically Modified Organisms (GMOs), along with the policy position of the current government. It was considered important that Northland retain protections in relation to GE and GMOs.

Submitters raised a need to plan for growth (including alignment of the District Plan and FDS).

Regulation and funding relating to animal control/rescue:

A number of submitters suggested changes to allow for more grant funding for dogs. Others sought changes to how annual dog registration fees are determined, along with changes to the delivery of services in this area.

Seeking further additional cat desexing/microchipping and bylaw compliance officer funding, along with support for bird recovery.

Other matters raised:

Submitters raised concerns about the potential relocation of NEST to Onerahi airport, seeking that Council aided NEST to relocate to a non residential area. Others submitted in support of the services provided by NEST, with some seeking continued funding of NEST.

A submitter raised the need for rules/bylaws phasing out ICE powered lawnmowers, weed eaters and chainsaws in residential areas to reduce noise and carbon emissions.

A submitter raised the potential to sell commercial properties to fund activities.

A submission highlighted the economic benefits of the Arts and Creative sector, highlighting examples including the export of Gangnam Style from Korea, through to the application of AI. The submitter indicated that Northland is uniquely placed to position itself.

Staff Analysis:

Planning and consents

The planning processes of Council, including timeframes, are defined under legislation. In addition, compliance requirements are often driven through the hierarchy of planning documents from Government and Regional Council. This includes National Policy Statements, National Environmental Standards, the National Planning Standards and the Regional Policy Statement and Regional Plans. The District Plan cannot be inconsistent with regional plans and must give effect to national policy statements and regional policy statements.

This framework drives the format, and much of the content, of the District Plan. In doing so it also drives significant compliance requirements at the time of consent. Similarly the Building Code and building consent timeframes are set by Government, with Councils being responsible for implementing the code through their Building Control Authority functions. It is also important to note that the key focus of these compliance measures, and the assurance processes that Council undertakes to assess information provided, is to ensure that buildings are safe and meet the requirements of the Code, while also mitigating the risk to ratepayers in the event that something goes wrong.

Statutory requirements imposed on Councils drive significant compliance requirements (and associated costs) and determine processing requirements relating to timeframes, information and notification/engagement (including in relation to Tangata Whenua involvement in the consent process, noting that Council cannot direct applicants in the pre-application stages nor determine Tangata Whenua status). However, Council is continually looking for ways to streamline these services and improve customer service in

o
r implementation. Two recent examples are our:

- E plan - the ePlan will change the way users view plans, providing an online interactive version of the district plan accessed via our website. In doing so it will make it easier to find information relevant to a specific property and to submit on a policy statement or plan online via tool that is linked to the system. The eplan is set to go live in May.
- Business friendly council - this is a key initiative to review and streamline our regulatory processes. While the team have commenced engagement with the regulatory teams within Council to assess how they enable our communities to meet their aspirations by consistently and proactively delivering positive experiences through all interactions, the project had to be put on hold due to vacancies. With these roles now filled we will recommence this initiative.

Submissions relating to Genetic Engineering (GE) and Genetically Modified Organisms (GMOs), along with the policy position of the current government, are acknowledged. However, Council's policy position/regulatory framework on this matter is included within the District Plan and, recognising current constraints, no further work is scheduled in this space prior to any future review of the Plan. We will maintain a watching brief of changes

proposed nationally. Ultimately Council must implement any legislative requirements passed on from Central Government, however.

Significant work is being done on planning for growth through our Strategy Department and District Plan teams. This includes the development of the Future Development Strategy (which will direct future plan changes) and the Housing and Business Development Capacity Assessment. This work is critical for ensuring that there is sufficient land available for both future housing and business development, along with the necessary infrastructure capacity to enable development. Within this LTP there is a focus on renewal and growth infrastructure required to service zoned land.

Regulation and funding relating to animal control/rescue:

Additional funding for cat desexing, bylaw compliance and/or bird recovery is not recommended within this LTP cycle given the financial challenges facing the District, and the direction of Council. However, contestable grant funding from our Community Development team may be able to be applied for in relation to some of these activities. While submissions to change the operational delivery and fee structure relating to dogs are acknowledged, these would result in potentially material changes to service de

ivery and contract terms. These changes have not been costed or consulted on. While staff will continue to look for operational improvements in this space, changes are not recommended from the draft LTP.

Other matters raised:

Submissions relating to NEST are acknowledged. Council is currently working through the lease process for NEST, having established an Airport Noise Management Committee to provide feedback and recommendations on noise and operations at the airport. It is noted that funding relating to NEST is provided by the Regional Council, with NEST being responsible for the identification (and funding of) a suitable site for its operations.

Given workloads and priorities relating to existing bylaws it is not proposed to investigate further rules (beyond any applicable District Plan rules) or bylaws for phasing out ICE powered lawnmowers, weed eaters and chainsaws in residential areas.

Council reviews the sale of surplus properties to fund activities on a case by case basis. Within this plan Council is also consulting on a change to the delivery of commercial property, which could result in further work in this space.

The submission relating to the economic benefits of the Arts and Creative sector is noted. Council will continue to support activities in this space through applicable existing funding streams, and through our broader support to economic development.

Recommendation(s):

That Council:

- a) Acknowledges the submissions received and the issues they raise; and
- b) That the operational initiatives already in place relating to these submissions be noted, with no changes made from the draft LTP as notified.

Financial Impact:

Nil

Further Comments – Governance and Strategy Services

Feedback from Consultation

Submissions Analysis:

The submissions on governance processes covered a range of issues in this broad area including comments on:

- representation arrangements,
- how to ensure that Māori are engaged in the democratic processes of Council
- Council' s involvement in LGNZ.
- Northland regionalism
- better off funding allocations
- Resilience and climate Change

All of these are matters that are being worked on internally and will be taken into consideration by staff, but they are not points to cause any changes to the Long Term Plan proposal.

Key Issues raised from submissions:

None

Staff Analysis:

That Council:

- a) Acknowledges the submissions received and the issues they raise; and
- b) Notes that issues raised will be taken into consideration by staff but do not impact on the proposed Long Term Plan.

Recommendation(s):

No changes to this area of the Long Term Plan.

Financial Impact:

None

Further Comments – Māori Outcomes

Feedback from Consultation

Submissions Analysis:

Total number of submissions specifically on Māori Partnerships: 1

Submitter noted:

- Te Huinga and Whangārei Hapū seek to be active partners in decision-making regarding commercial property development options within our community for meaningful involvement in shaping the future of our region.
- providing gratuity and/or compensation to hapū for past injustices.
- exploring the possibility of hapū becoming shareholders in development projects, either through gifted shares or as part of a gratuity arrangement.
- consideration to be given to the return of lands that were unjustly taken from hapū through past legislation, such as the Harbour legislation.
- Hapū representation on development boards or committees to ensure Hapū interests are considered in decision-making processes.

Submitters on Maori Partnerships also provided comment through other LTP topics. These are summarised as follows:

Coastal Systems and Flood Management |

- Punaruku Flood Mitigation 2024-2034
- Matapōuri Beach Replenishment

Planning and Regulatory Services |

- Resource Consents
- District Plan: sites of significance

Rates |

- Rates Rise

Other |

- Treaty of Waitangi
- Environment
- Resourcing Hapū

Submissions Analysis:

Total number of submissions making comment on matters relating to Maori Partnerships: 5 (raw data)

1. Otetao Marae | endorsement from Ngātiwai Trust Board & Punaruku Marae
2. Hapū member | Patuharakeke o Te Parawhau
3. Whānau | Mackie Family of Te Whānau a Rangihakaahu

4. Whānau Member | Te Whānau o Mānihera
5. Te Huinga Society Incorporated (Te Huinga)

The submission topics fall under the following key points raised in the consultation document:

Coastal Systems and Flood Management |

- Punaruku Flood Mitigation 2024-2034
- Matapouri Beach Replenishment

Both these topics sit in the coastal area of the hapū of Ngāti Wai.

- a) The first project is related to the long-standing issue of flooding in Punaruku where \$150K was approved from Better Off Funding to support a case study. From the case study a business case was produced to propose river pathway improvements and the first stage of road pathway improvements. While this matter has come via related hapū, marae and iwi entity, it is an infrastructure matter and has been registered via the Infrastructure Group.
- b) The second project is completed and relates to damage clean-up following Cyclone Gabrielle in 2023. The submission centres on engagement which will be attached to 'Māori Engagement' accordingly.

Planning and Regulatory Services |

- Resource Consents & District Plan: sites of significance.

The District Plan and referenced topic is among the topics scheduled for review for which hapū are being engaged for currently.

Rates |

- Rates Rise.

This matter challenges whether WDC has genuinely assessed the impact on Māori landowners and rural and coastal residents. The total sum of submissions for rates rises is covered by Revenue.

Other |

- Environment
- Treaty of Waitangi
- Māori Engagement
- Hapū Capacity.

The themes raised across these topics largely entail long held positions advocated for by Te Huinga and the Whangārei Hapū as per legislative obligations.

Key Issues raised from submissions:

Treaty of Waitangi | Tangata Whenua | Resource Consents

- Historical grievances between Ngā Hapū o Whangārei, local government and central government have left a lasting negative impact on hapū.
- Whānau and hapū have absorbed the cost of land confiscations to provide the public with housing, roading, walkways, cycleways, freshwater, electricity, recreation facilities, and civil defence.
- Employment predicated on forestry, agriculture, fossil fuels, and the port industry.
- The unremitting subdivision of land and the division of labour resulted in admirable levels of productivity, but not for Māori.
- Ensure that Council no longer consents to industries building on confiscated land and businesses taking water from confiscated land without taking into account New Zealand's European Pākehā history more seriously in planning for the future.
- That WDC 'Act in Good Faith' and in accordance with the principles of the Treaty of Waitangi, namely, Participation, Protection and Partnership.
- That WDC undertake appropriate and thorough research in conjunction with 'Te Iwitahi Manihera whanau' of 'Te Parawhau ki Whangarei' to clarify who are the true and evidenced 'Tangata Whenua' to Whangārei CBD and surrounding areas. That this be in conjunction with other whānau and hapū, as appropriate. Resources used should include Waitangi Tribunal findings and the MACA High Court evidence and findings along with other sources of evidence.

Maintain and improve opportunities for Māori to contribute to local government decision-making processes.

- A commitment to facilitate meaningful relationships and partnerships.
- Strengthening engagement with the broader community and other Hapū within the Whangarei District Council rohe is essential for fostering collaboration, sharing knowledge and resources, and addressing common challenges.
- Hapū possess local knowledge and understanding of ecosystems within their lands, both current and historically significant, which can contribute to more effective and sustainable solutions.
- To ensure meaningful participation, it is essential to provide resources that facilitate Hapū engagement in local government decision-making, remunerating time, expertise, and contribution to the community; support for capacity building, investment in resources, support for staffing, training programs, and infrastructure development.

Planning and Regulatory Services

That WDC urgently work with whānau and hapū - including Te Iwitahi Manihera whanau, Te Parawhau ki Whangarei - to map and protect sites of significance (including Heritage Sites).

Coastal Systems and Flood Management

The Matapōuri Beach Replenishment project failed to yield the desired outcomes. There was a lack of thorough and inclusive consultation regarding fencing of dunes under restoration including protecting native wildlife and the improper use and access to adjacent public reserve, resulting in another unsuccessful initiative. These instances of

failure incurred significant costs and have provided reasons for mistrust in Council processes and decision-making and created a barrier to engagement with local Hapū.

Rates

Caused worry among various groups due to inadequate information on its potential impacts, especially from Māori landowners and small rural communities who feel that their needs and interests were not considered. The rationale behind the proposed increase is attributed to rising costs, but lacks evidence of analysis of:

- a) previous expenditure, service rates and delivery standards, Council performance.
- b) unique challenges and needs of small rural and coastal communities.
- c) limited resources and infrastructure.
- d) how proposed increase would affect Māori landowners, rural and coastal communities.
- e) economic, social, and cultural implications.

Environment

Hapū within the Whangarei District remain resilient and committed to ensuring the well-being of Te Taiao (the environment), ngā Tangata (the people), and their communities.

Staff Analysis:

Largely the issues draw long standing issues for Māori within the District, region and across the nation concerning acts and omissions by Crown leading to large scale land alienation, economic and commercial opportunity displacement, perceived by Māori as advantaging local and central government bodies and their constituencies.

WDC is like many Councils who continue to field and respond where local powers can remedy in small parts these issues, but the powers of responsibility to addressing these matters sit with central government.

Second fold theme centres also on the long-standing matter regarding Māori engagement and the many facets to give effect to statutory obligations, namely, “to maintain and improve opportunities for Māori to contribute to local government decision-making processes” (LGA2002 S4). The solution for this issue is being proposed in recommendations a), b) and c). WSP facilitates Making Good Decisions two-day course which formally accredits attendees to respond to consenting matters addressing a current issue of hapū capacity and capability in this area.

WDC is like many Councils who continue to respond and demonstrate commitment as seen in the structure of operations and governance to address Māori engagement which is complex across the vast tiers of decision-making in local government. WDC have grown its Māori Department as an ongoing response precipitating a change in engagement since 2022.

Due to the ongoing fiscal restraints, staff are exploring the option of building a hapū engagement system utilising the existing Tech One programme licenses we currently hold.

Recommendation(s):

That Council:

- A) Prioritises investment to development of Māori Engagement framework:
 - a) Māori Engagement system design and implementation.
 - b) Establishing Hapū consenting capability and capacity to expediate consenting processes
 - c) Establish hapū positions in WDC's project framework for Steering and Control Groups
- B) Allocates funding of \$115,000 opex per annum through years 1 to 10 of the LTP to support this work.

Financial Impact:

\$100,000 opex per annum of the LTP starting in year 1. Where possible this additional expense will be incorporated within the existing funding envelope. However, the cumulative impact of the individual requests approved, as well as depreciation and interest impacts, may result in a further increase to general rates to ensure Councils budget continues to operate within the parameters set as part of the Financial Strategy.

Issue Name – Aquatic Centre Repairs

Reason for Officer Proposal

The Whangarei Aquatic Centre Review and Condition Assessment was completed in February 2024. The reports highlighted a number of short and long term issues.

Key Issues:

1. Lack of asset planning and underinvestment has resulted in the pool plant being assessed as very poor or poor and in imminent risk of failing resulting in the facility closure.
2. Other assets have been condition rated and require renewal over the next 10 years
3. The main pool has a crack in it due to ground movement. The crack is being monitored and managed for now, but the indications are there is a maximum 10 years lifespan for the main pool.
4. The Aquatic centre is experiencing flooding and there are concerns the location is not suitable in the long term
5. The district is currently undersupplied for aquatic space.
6. Sport Northland no longer want to own pools in Northland and are wanting Council to take back ownership

Staff Analysis:

1. The cost to address critical plant renewals is \$2.2m (opex) required in year 1 of the LTP to ensure the facility is safe and remains open.
 2. Non-critical asset renewals requires an additional \$2.2m (opex) over the remaining 9 years of the LTP to maintain a reliable level of service. Of this, \$650,000 is required in yr 2 to continue to ensure continue to maintain the facility at an acceptable level for the community.
 3. Council's agreement with Sport Northland is Council will pay for all operational costs, renewals and maintenance which can not be covered by Sport Northland or CLM.
 4. Demand for aquatic facilities exceeds supply. Discussions with schools has taken place to gain public access to school pools however school pools are a challenge with regards accessibility and liability and not proving a viable alternative to public pools.
- The location of the Aquatic Centre is proving problematic with the facility flooding in extreme weather and ground movement creating cracks in the main pool.
- Planning should commence for the future of aquatic facilities in the district. The planning could be aligned to the planning of the sport/recreation hub.
5. A business case for the transfer of ownership of the Aquatic Centre back to Council should be considered.

Recommendation(s):

That Council:

1. Provide a capital grant of \$2.2m (funded by debt) in year 1 of the LTP to Sport Northland for critical plant repairs and replacements, and;
2. Allocates an additional \$650,000 capital grant (funded by debt) in Year 2 of the LTP to address the the most urgent non critical renewals, and

3. Allocates \$20,000 opex for a Business Case to evaluate the long term investment path for the Aquatic Centre
4. Commences planning for future aquatic facilities that is aligned to the planning of a Sports/Recreation Hub, and
5. Notes that indications are that Council may need to bring the Aquatic Centre in house and that this option may trigger a consultation process; and
6. Notes that \$1.6m funding will possibly be required for remaining renewal items over year 3-10 of LTP but that this requirement will be considered in more depth for the next LTP once the Business Case has been completed.

Financial Impact:

That Council;

1. Approves a \$2.2m capital grant to Sport Northland in year 1 of LTP to address critical plant repairs, noting that in accordance with Councils Revenue and Financing policy, capital grants paid are able to be funded via debt rather than a rates increase. Council will incur interest charges on this debt that will impact balanced budget and potentially rates, and;
2. Approves a further \$650,000 capital grant in year 2 to address noncritical items rated fair and which improve the customer experience. In accordance with Councils Revenue and Financing policy, capital grants paid are able to be funded via debt rather than a rates increase. Notes that Council will incur interest charges on this debt that will impact balanced budget and potentially rates.
3. Approves \$20k in LTP Year 1 to commence the Business Case to evaluate the long term investment path for the Aquatic Centre

Issue Name – Hikurangi and Oakura WWTP Consents and Renewals

Reason for Officer Proposal

Northland Regional Council Wastewater Discharge Consents expire in 2025. Funds to develop the consent applications including technical reports and minor improvements to support the consents are not currently included in the LTP.

The consent renewals were not identified in the accelerated process when the Draft LTP was developed but have been confirmed as essential to meet legislative requirements.

Key Issues:

Wastewater treatment plant discharges require Northland Regional Council consents to operate. Without consents we are in breach of the Resource Management Act.

The consents expire in 2025. The consent applications need to be submitted 3 months before expiry to enable the plants to continue operating under their current consents.

Minor works may also be required to improve discharge quality identified in the technical report and consenting phase.

Staff Analysis:

The consents expire in 2025 and the consent applications need to be submitted 3 months before expiry to enable the plants to continue operating under their current consents. To undertake an application, technical reports on current performance, options analysis and consultation need to occur. Recent applications for the Portland and Tutukaka Waste Water Resource Consents cost in the order of \$250,000 each which has informed the requested budget.

There is no in house capacity or expertise to undertake

this technical reporting and consent application process. Not undertaking the renewals would put us in breach of the Northland Regional Plan and the RMA. There is a risk that the plants could be asked to cease to operate although this risk is low.

Recommendation(s):

That Council:

- a) supports the requirement to apply for Resource Consents Renewals for the Hikurangi and Oakura Wastewater treatment plants and
- b) Agrees to bring forward \$320,000 from years 6 and 7 to years 1 and 2 for Treatment Plant Consents.

Financial Impact:

\$320,000 brought forward from years 6 and 7 to years 1 and 2 for Treatment Plant Consents

Issue Name – Large Event Funding

Reason for Officer Proposal

A proposal from D&L Events has been offered to council to have exclusive hosting rights for a regular season NRL Rugby League game featuring the NZ Warriors.

Councillors have requested this be brought through the Issues and Options Deliberations of the LTP due to its funding requirements.

Key Issues:

During the LTP early stages, council decided to reduce the Venues and Events budget which fund and support large events by \$150,000 opex per year. Therefore, there is now no available funding for annual / returning large events.

New large events can be supported through the event development fund, but this support is reduced to zero over a 2–3-year period.

The recent proposal to hold a regular season NRL Rugby League game featuring the NZ Warriors is another major event opportunity presented to council by D&L Events.

The cost proposed for exclusive hosting rights is \$545,000 + council services costs which have been calculated by staff estimated to be an additional \$80,000 – \$120,000 which would include:

- Additional gardening and toilets clean for the city.
- Marketing
- Advertising
- Corporate hosting
- Community benefits
- Grass roots

Staff Analysis:

Major and large events held in the Whangarei district provide economic growth, social and cultural enrichment, and opportunities for the community. Council investment in major and large events varies and any investment council has previously made does not make a direct return on investment for the council but does bring economic and social benefit to the district and wider region.

Council has invested funding towards major and large events in recent years. Examples of these investments with an economic and social benefit for the district / region are the Women's Rugby World Cup 2021 (held in 2022), Wahine Toa Championship Boxing, Oceania Cup Hockey and NAZCAR Street Sprints.

With the council requested funding contribution and the investment from D&L events (D&L Events receive revenue from ticket sales, corporate hosting, and beverage sales) the total expected amount to run the event is just over \$1,200,000.

NECT2021

The Northland Events Centre 2021 (NECT2021) are the Council Controlled Organisation created by council to undertake major and large stadium events of this type for the district and region on behalf of the council.

NECT2021 have been approached by council staff regarding this event and possible funding options, this included a full underwrite by NECT2021 or a 50/50 share of costs with council.

The NECT2021 board have declined to fund this event for the following reasons:

- It is not financially prudent or viable for the Trust to use its equity on this event.
- The Trust will suffer a loss by funding this event, because some of the costs are their revenue streams from an event of this type. The costs cover promotional costs, marketing, cost of sales, venue expenses (including venue rental/event staffing /Cleaning /Traffic management /Digital signage /Production crew travel accommodation/Game caller /Accreditation, game costs).
- The Trust deed states the trust will seek major and large event opportunities for the Northland Events Centre for the benefit of the community, but there is no requirement to fund these events against being financially prudent.

The Trust are keen to hold the event with their associated costs and revenue in relation to the event itself.

Options Considerations

If council chose to underwrite this event, funding would be split across year 1 and year 2 LTP financial years as a 60/40 split to ensure costs leading up to the game can be paid.

The total sum of costs for the event would be recognised in year 2 of the LTP as all event costs are captured in the financial year of when the event takes place (July / August) 2025.

A 'cost up' for the event management for Contract for Services Agreement would need to be undertaken and completion of the partnership framework between Council and NECT2021 and D&L Events. The timing of the funding decision and the work required to form a contract and partnership framework are out of sync with the funding decision, which is required by D&L Events before the contract arrangements can be confirmed between any of the parties.

External funding will be applied for through the current external funding application to the New Zealand Regional Events Promotion Fund through MBIE for \$150,000 towards the promotional costs of the event. An application of \$100,000 to the MBIE Major Events Fund will also be submitted.

Costs will be reduced by using existing V&E budgets of \$100,000 split across the 2 years.

Options

Councillors have signalled this as one of their priorities. However, the funding request at this stage in the LTP process does not fit in the financial principles established by Council at the start of the Long-Term Plan process. Officers have prepared an analysis of the options available to Council and the likely implications.

Option 1. The funding required for this event cannot be met so council decline the proposal.

Option 2. Council could fully underwrite to ensure the event is secured for \$665,000. The cost to council is estimated to be an additional \$565,000 opex after using \$100,000 of existing budgets, to cover the proposal and required council services for the event (external funding would be sought by council staff to reduce the financial deficit but a commitment to the event would need to be secured before staff know the outcomes of any external funding applications).

Risks

Funding this event in years one and two has impacts on rates or reducing a level or service, service delivery or impacting opex budgets elsewhere across council.

By declining the event proposal, the district will not benefit from the social and economic benefits of this event but other services or budgets will not be impacted. This is ultimately a decision for Council based on priorities and funding allocation.

Funding could be sourced and divided up as follows:

Funding	Amount	Source
Total Funding required.	\$665,000	Council
Potential External Funding Contribution	-\$150,000 requested -\$100,000 requested	MBIE – Regional Promo MBIE – Major Events
Council Event Development Funding contribution	-\$100,000 over 2 years (\$50,000 per year)	Current V&E Budgets
Event Finder Ticket sales commission	-\$20,000	Event Finder commission
Total possible future cost of event if external funding is received	\$295,000	

The following table demonstrates funding across Year 1 and 2 and options to fund.

<u>Funding allocation</u>	<u>Total</u>	<u>Options</u>
Year 1 LTP 2024-2025 council funding 60% of total funding	<u>\$350,000 opex Year 1</u> \$400,000 -\$50,000 from V&E current budgets May be reduced due to the following: • -\$150,000 external funding from MBIE NZ Regional Events Promotional Fund	1. Allocate \$350,000 in year 1 of the long-term plan. OR 2. Reduce levels of service / service delivery or opex budgets from other areas of the business. AND 3. If external funding is received, move into a budget for any deferred projects from the opex list. OR 4. Decline the event proposal

Year 2 2025-2026 LTP Council funding 40% of total funding	<u>\$215,000 opex Year 2</u> \$265,000 -\$50,000 from V&E current budgets May be reduced due to the following: • -\$100,000 external funding from MBIE Major Events Fund • -\$20,000 council commission on ticket sales through event finder.	1. Allocate \$215,000 opex to year 2 of the LTP OR 2. Reduce levels of service / service delivery or opex budgets from other areas of the business OR 3. Allocate year 2 funding through the annual plan process once the outcome of the MBIE Major Events Fund is known. AND 4. If external funding is received, this can go into a budget for any deferred projects from the opex list.
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As outlined above, declining the event would align with Councils financial principles of the LTP and reduce impacts on other services and budgets. As this is a council priority, staff have provided alternative funding options should council wish to continue with funding this event.

Recommendation(s):

That Council:

1) Fund \$350,000 opex year 1 and \$215,000 opex year 2 to provide an opportunity for council to exclusively host an NRL game featuring the NZ Warriors in 2025 at the Northland Events Centre.

Financial Impact:

This additional operation expenditure will be funded collectively with other approved recommendations, by a pro-rata budget reduction across Council excluding Transportation to a maximum of \$642,000 in year 1 and \$1,686,000 in year 3.

Issue Name – NECT2021 Annual Operating Grant

Reason for Officer Proposal

The Community Development Committee passed a resolution on 18 April 2024, that the Northland Events Centre Trust 2021 annual operating grant would be reviewed due to the Trust's concerns regarding the additional expenses the lease agreement would bring to the Trust and the financial impact to the Trust of the Outgoings clause.

Key Issues:

NECT2021 board requested a cap on the Outgoings clause obligations under the lease agreement at \$150,000 as the Trust has concerns the obligations of the Outgoings clause would place the Trust in a financially unstable position.

The Community Development Committee resolved to omit any financial cap within the lease and proceed with the signing of the council approved lease, but that council would review the NECT2021 annual operating grant during the Issues and Options deliberations of the long-term plan 2024-2034 regarding the financial impacts of the lease.

Staff Analysis:

Post the Committee decision on 18 April, NECT2021 have provided financial information on all expenses currently incurred by NECT2021 which relate to the Outgoings clause of the lease for the two financial years 2022-2023 and 2023-2024.

Council have also incurred expenses which relate to the Outgoings obligations over the same period. Below are the expenses for both NECT2021 and Council in relation to the Outgoings clause of the lease:

Organisation	Year	Expenses incurred in relation to lease Outgoings
NECT2021	2022-2023	\$445,733.04
Council	2022-2023	\$52,809
NECT 2021	2023-2024 (forecast)	\$470,694.05
Council	2023-2024 (forecast)	\$89,321

NECT2021 have been funding most of the Outgoings clause obligations since late 2021, so the amount council has been covering will fall to the Trust after the signing of the lease. This is a known cost; unknown costs are also associated with these Outgoings and there is a need to complete an up to date Asset Management Plan and Maintenance Plan so Council and the Trust can forecast works and costs over the next few years.

NOTE: It is important to note that Outgoings by nature under a lease fluctuate each year, some years lower than the figures provided, and other years above. This is factored into the budget by the Trust under financial due diligence.

It is also worth noting the previous Trust covered all Outgoing obligations and council does not have funding set aside in the draft LTP 2024-2034 to support NECT2021 in the Outgoings of the lease as it has done in previous years.

Funding and Revenue arrangements

The current funding arrangements are:

- Annual operating grant \$662,786
- Commercial rates paid by council, incorporated into the LTP draft budgets.
- Giving a total financial package of \$696,452 this financial year
- Rent concession of \$39,000 per year.

Additionally, council is committed to the following:

- Funding repairs and maintenance of the roof for the next 2 years until replaced.

Plus, NECT2021 will receive from the lease:

- Rent concession of \$750,000 (based on a market valuation)

NECT have several revenue streams including:

- All events held at the Stadium and events centre venue spaces.
- Sub-leasing venue offices to external parties
- Stadium liquor licensing
- Event Management contracting
- Branding and naming rights

NECT2021 currently are in a stable financial position, with equity at the end of the 2022-2023 financial year of \$862,268 as stated in their Annual Report. A portion of this equity has been assigned to cover the impacts of the roof replacement over the next 3 years financial forecasts as outlined in their current draft Statement of Intent 2024-2027.

Annual Operating Grant

The annual operating grant provided to the Trust was calculated to include appropriate levels of resourcing and funding for operations as follows:

A = the old trust budgets including, all revenue and expenses (excluding the old management fee of \$150k for services provided by council at the time). Expenses included repairs and maintenance and outgoings.

Plus,

B = the operating grant. This was determined by identifying the new costs for the new Trust including, salaries, directors' fees, and the support services they would require which were previously provided by council.

A + B = the current NECT2021 \$ Annual Operating Grant.

It was therefore determined at the time that the new Trust would have sufficient funding through the operating grant and its own revenue streams to carry out the operational responsibilities of the stadium including a lease.

The comparison below demonstrates where operational costs now lie.

Table 1 Item	Intent of WDC Operating Grant	NECT2021 Statement of Intent 2023-2024
Staff Costs	\$348,000 5 FTE, 6 Casual staff, project management	\$735,000 9.5 FTE, 25 Casual staff
Director Fees	\$120,000 4 trustees	\$173,000 5 directors
Health & Safety	\$12,000	\$9,000
ICT	\$20,000 + \$18,000 = \$38,000	\$23,000
Legal	\$24,000	\$20,000
Marketing	\$25,000	\$32,000
Training	no specific budget before/paid for by WDC	\$33,000

NECT2021 stated in the draft Statement of Intent financial forecasts for 2024-2027 that an additional \$150,000 has been incorporated into draft budgets to cover the additional outgoings of the lease.

The draft financial forecasts for the next three years demonstrate a loss for each year; hence the Trust have concerns that the additional expenses make financials unfavourable.

PROSPECTIVE STATEMENT OF COMPREHENSIVE INCOME

	Budget to 30 June 2025	Budget to 30 June 2026	Budget to 30 June 2027
Income			
Revenue	\$1,821,122	\$1,419,143	\$1,737,444
Grants	\$695,925	\$728,634	\$762,880
Interest	\$86,905	\$41,567	\$28,150
Total Income	\$2,603,952	\$2,189,343	\$2,528,473
Less Expenses			
Expenses	\$2,593,625	\$2,492,413	\$2,667,467
Total Expenses before depreciation	\$2,593,625	\$2,492,413	\$2,667,467
Net Surplus (Loss) before depreciation	\$10,327	-\$303,070	-\$138,994
Depreciation	\$24,809	\$27,721	\$27,721
Net Surplus (Loss) before tax	-\$14,482	-\$330,791	-\$166,715
Tax Expense	\$0	\$0	\$0
Net Surplus/(Profit)	-\$14,482	-\$330,791	-\$166,715

The impacts of the stadium roof replacement have been calculated by the Trust to be in year 2, 2025-2026 \$301,000 and year 3, 2026 - 2027 \$50,000. Total over 2 years \$351,000. The Trust has put aside \$500,000 equity to manage the impacts of the roof replacement project over this time.

Council staff advise this to be addressed by council nearer the time of the roof replacement, the timing of this is dependent on the roof option decided by council.

Conclusion

It is not unreasonable at this stage for the Trust to cover the Outgoings of the lease as the Trust:

- Has budgeted an additional \$150,000 per annum into their 3-year financial forecasts of their draft Statement of Intent towards the additional expenses of the lease, which is more than the actual expenses covered by council in the 2022-2023 financial year.
- receives an annual operating grant from council.
- have several revenue streams additional to the annual operating grant.
- has opportunity to apply for external funding.
- Have commercial rates paid by council.
- under the lease will receive a substantial rent concession
- Currently has equity in reserve.

Once the Asset management and Maintenance Plan is complete, an accurate picture of future costs will be known, and council could review the NECT2021 annual operating grant at that stage taking into consideration those known future costs.

Options

1. Council can choose to keep the NECT2021 annual operating grant at its current amount and continue to pay the commercial rates as budgeted in the LTP 2024-2034. Provide the rent concession of \$750,000 per year and provide two years of repairs and maintenance for the

roof until it is replaced and review the annual operating grant again once the Asset Management and Maintenance Plan is complete.

2. Council could request NECT2021 to reduce expenses in other operations to cover the new obligations under the lease.

3. Council could increase the annual operating grant by the amount of funding council has spent on supporting NECT2021 with the Outgoings obligations to the amount of \$89,321.

Recommendation(s):

That Council:

1. Acknowledges the concerns of the Trust regarding the expenses of the lease

AND

2. Keeps the current annual operating grant of \$662,784

AND

3. Continues to pay commercial rates on behalf of NECT2021

AND

4. Reviews the annual operating grant amount once the Stadium Asset Management and Maintenance Plan is complete and future costs are known.

Financial Impact:

Nil based on the recommendation.

Option	Impact on Rates
Option 1 no change to the annual operating grant	No impact
Option 2 NECT2021 requested to reduce expenses to fund the obligations of the lease if necessary.	No impact
Option 3 Council increase the annual operating grant by \$89,321 opex per year	Where possible this additional expense will be incorporated within the existing funding envelope. However, the cumulative impact of the individual requests approved, as well as depreciation and interest impacts, may result in a further increase to general rates to ensure Councils budget continues to operate within the parameters set as part of the Financial Strategy.

Issue Name – AH Reed Canopy Walkway

Reason for Officer Proposal

The AH Reed canopy tree top walkway is a recreation and tourist key asset for Whangarei. It provides a treetop view of significant kauri trees within the AH Reed Reserve. The walkway was assessed in 2022/23 as part of a periodic structural assessment of all bridges and structures. The report noted that a further detailed structural inspection and potential consequential maintenance is required to address health and safety requirements.

When preparing the Draft LTP it was initially thought the costs could be accommodated in BAU however further interrogation of budgets has determined this is possible and specific budget will be required for the detailed structural assessment.

Key Issues:

As part of a periodic structural assessment in 2022, the AH Read canopy walkway, engineering reports identified the structure as requiring detailed assessment of connecting joints, bracings and steel rope connectors.

The initial report did not provide the level of detail to assess the risk and determine any consequential maintenance and renewals.

A further detailed structural report is required to determine the level of risk. If this is not completed it may require the walkway to be closed to mitigate any potential risk.

At present no budget is allocated to this project.

Staff Analysis:

The AH Reed tree top walkway is in one of Whangarei's premier parks and a popular tourist attraction.

Initial structural assessments has identified further reports are required to assess the potential issues and risk of failure. Without this additional structural information the significance of potential issues are not well understood. This creates a unquantified risk for Council. The impact of this risk on a high profile facilities could require the closure of the canopy bridge.

The outcomes of the detailed report will inform a programme of maintenance and renewals to be implemented.

Recommendation(s):

That Council:

- a) Provide additional \$50,000 opex in year 1 of the LTP for the detailed investigation of the AH Reed canopy walkway, or:
- b) Consider closing the canopy bridge.

Financial Impact:

An additional \$50k opex budget included into year 1 LTP.

Where possible this additional expense will be incorporated within the existing funding envelope. However, the cumulative impact of the individual requests approved, as well as depreciation and interest impacts, may result in a further increase to general rates to ensure Councils budget continues to operate within the parameters set as part of the Financial Strategy.

Further Comments – Rating Policy

Feedback from Consultation

Submissions Analysis:

There were 19 submitters that provided feedback on rating policy.

Key Issues raised from submissions:

Feedback on general rates:

- A higher rates differential for residential lots >1012m²
- A smaller share of rates for small residential properties
- Use capital value rather than land value
- Higher rates to property owners with vacant home and business properties, and increasing rates on farmland that is currently zoned for housing to encourage the land-owners to develop that land quicker
- Lower rates for small businesses
- Lower rates for rural properties
- Rates aligned with user pays basis rather than property values
- Lower the uniform annual general charge as it is a regressive tax

Feedback on targeted rates:

- Targeted rates for road(s) leading to properties
- Targeted rates for stormwater
- Targeted rates for coastal structures
- Water rating policy to be reviewed

Staff Analysis:

General rates

The value-based general rates are currently calculated using a property's land value.

When determining the land value of a property, the potential subdivision impacts its value, resulting in higher general rates. To promote development, Council rating policy provided relief over 5 years when a property is subdivided.

Sector-based rating differentials determine the rate in the dollar for each property.

To change the how the general rates are calculated would require a rate review so that the impacts of change can be understood.

Targeted rates

Adding targeted rates to fund the stormwater and coastal structures activities was discussed at Council Briefings on the 2024-34 Long Term Plan. More detailed analysis of the costs and funding options will occur over the next few years when rates funding becomes necessary.

Concerning the mix of fixed water rates and consumption-based water rates was discussed at Council Briefings on the 2024-34 Long Term Plan. No changes were made. How the rates, fees and charges should be determined in the future will be considered as with stormwater and wastewater in response to the activities increased funding need and the Local Waters Done Well reforms,

At the next review of rating policy, the feedback received should be considered.

Recommendation(s):

That Council:

- a) Acknowledges the submissions received and the issues they raise; and

- b) Notes that the issues raised will be considered at the next review of the rating policy.
- c) That the rating policy review is conducted after the completion of the 2025 General Rating Revaluation so that the impacts on all ratepayers from any changes can be fully understood.

Financial Impact:

Nil

Further Comments – Rates Increases

Feedback from Consultation

Submissions Analysis:

There were approximately 90 submitters that provided feedback on the proposed rates increases, 12 submitters support the proposed rates increases and the remainder do not. Note, the number of submissions is small when considering the district population.

Key Issues raised from submissions:

Support rates increases

Those supporting the proposed rates increases recognised the financial challenges Council is facing. Feedback included:

- Consider spreading the increase across multiple years
- Support community development
- Support infrastructure renewal and growth
- Support the arts

Do not support rates increases

Those not supporting the rates increases provided the feedback:

- Increase by 5% or inflation
- Increase by 10%
- The increase is unaffordable for young families
- The increase is unaffordable for beneficiaries e.g. solo parents, pensioners
- The increase is unaffordable for farmers
- The increase is unaffordable for businesses

Staff Analysis:

The level of the rates increases was determined taking in consideration the funding required to achieve Council's desired outcomes set down in the draft Infrastructure strategy and Financial strategy.

Some submitters support the proposed rates increases but the majority of submitters do not support them, mainly due to household or business financial pressures and affordability.

While the rates increases may be challenging for some ratepayers, Council needs to ensure the provision of the necessary services to the community within its financial benchmarks. Staff will continue to work with any ratepayers struggling to make rates payments and will encourage anyone eligible to apply to the Rates Rebate scheme (noting that the maximum amount available has been raised from \$750 to \$790).

Recommendation(s):

That Council:

1. Acknowledges the feedback received on the topic.
2. Approves increasing general rates by 17.2% for 2024-25.
3. Approves increasing the targeted rates for 2024-25:
 - a. wastewater rates by 2.9%;
 - b. water rates by 5.4%;
 - c. flood protection rates by 4.9%.
4. Notes Council's responsibility to continue to provide the necessary services to the community within its financial benchmarks.
5. Instructs staff to continue to work with ratepayers struggling to make rates payments.

Financial Impact:

Nil

Further Comments – Spending and Debt

Feedback from Consultation

Submissions Analysis:

There were approximately 80 submitters that provided feedback on the debt and spending. The submissions detailed below cover the following subjects:

- most submitters provided feedback on spending and debt
- 1 submitter supported the everyday funding benchmark

Key Issues raised from submissions:

The topics raised throughout these submissions are very broad. The key themes have been captured below:

- Reduce rates by abandoning fluoridation scheme
- Support for the everyday funding benchmark
- Cut budgets to suit, live within your means, do better with what you have, maintain what we've got, stop wasting money, spend wisely, tightened existing services, trim the fat, learn to budget, save money, curb spending on things that do not directly benefit the ratepayers, review spending, look at costs and efficiencies, decrease staff, eliminate non-essential services
- Focus on core activities, stick to your knitting not your wish list, nice to have projects should be delayed, make wise decisions
- Rate payers can't afford an increase, cost of living crisis, recession, will be forced to sell up, consider impact on labour market, ratepayers are on fixed incomes, how much can ratepayers afford?
- Work more effectively
- Review processes and staff competencies, review the effectiveness and efficiency of council services, get control of your accounting
- NTA is clearly not a good structure
- Stop buying and hoarding land, sell some property
- Council has squandered development contributions on consultants fees for advice they ignore
- Negative comments surrounding spend on Hundertwasser, Oruku, Civic Centre,
- Understanding of serious funding deficits Council faces
- Move towards more of a user pay model
- Stop borrowing money, irresponsible to keep incurring this level of debt for our future generations, level of debt is unsustainable
- Complete overhaul of the way Councils are funded and infrastructure decisions made, what services/staff costs/efficiencies need to be reviewed?
- Projects should have detailed business case studies to ensure its fit for purpose
- Don't increase rates for vanity projects such as joining Northland Inc or creating a new CCO that isn't required.
- Rates need to ensure provision is made for Emergency Services support.
- Growing the district should not come at the ratepayers expense
- Work backwards from 11% and find the savings for this next period
- Sell Hundertwasser and Events Centre
- Cap borrowing and spending, no debt is sustainable
- Improve efficiency of current services
- Council has a wayward way of spending tax payers rates money
- trim your expenses/debt as these households have to - they have no 'contingency plan' or anyone to fall back on to feed and house their families.
- reduce the increase to 7 percent, if an increase is strictly necessary

- Other Councils are reducing their costs, WDC should be too
- ballooning debt the WDC plan to accumulate over the next five years is simply unacceptable during a cost-of-living crisis and a recession, with almost daily stories of redundancies
- request a full refund of all monies paid by ratepayers for Channel Infrastructure's water usage.
- Against the funding of Hikurangi Sportshub, not enough engagement funding or support. A simplistic upgrade of current facilities would be good enough in the current climate. Please do not lose our playground and skate park.

Staff Analysis:

The budget for this Long Term Plan has been developed adhering to the financial principles and parameters underlying the financial strategy.

Many suggestions included specific suggestions for cost savings: e.g. funding of Hundertwasser museum, reducing staff and contractors, stopping staff medical insurance, reducing spending on roading, no water fluoridation, stopping Hikurangi sports hub.

Cost pressures due to depreciation, increased maintenance costs, insurance and other operating costs has required a larger rate increase in the early years of the plan. Throughout the development of the LTP, senior management was asked to investigate and identify budget savings and efficiencies. Many of these reductions have been made to the budget. The proposed rates increases are required in order to work towards achieving the Everyday Funding Benchmark. While reducing costs further is an alternative, this would result in reduced service delivery which Council has indicated isn't desirable.

Cost budgets have been set over the last two years without any inflationary adjustments, so that costs outside budget managers control, such as Depreciation, Insurance and Interest could be absorbed. This has led to a decrease in effective buying power of around \$25 million over the last three years.

Achieving the Everyday Funding benchmark means in the later years of the plan operating surpluses are created to enable Councils debt to reduce. Debt is used to fund Councils renewals, replacement and growth of its infrastructure and other assets. It is a necessary funding mechanism to ensure intergeneration equity is achieved.

Notwithstanding the points noted above, if it is decided to include any of the funding requests received through the consultation process there would be additional funding pressure – mainly through general rates as well as debt.

Recommendation(s):

That Council:

- a) acknowledge the submissions and feedback received; and
- b) notes that changes to both debt and expenses will be required as a result of other decision made through the deliberations process; and
- c) Continues to explore opportunities to reduce costs and improve efficiencies where practicable.

Financial Impact:

No direct financial implications, however debt and expenses will be adjusted to reflect decisions made as a result of the deliberations process.

Further Comments – Consultation and Engagement

Feedback from Consultation

Submissions Analysis:

A number of submissions were received regarding consultation and engagement approaches and timing.

Key Issues raised from submissions:

Funding engagement:

- Council providing funding to support the community engaging amongst themselves, with hapu and key stakeholders on specific matters;

Transparency of decision making and timing of engagement.

- Involving the diverse community in the development of projects not at the end.

Community reference groups or communication groups (Climate Advisory Group)

Staff Analysis:

Council staff reviewed the submissions and:

- Suggest planning for 2 x district wide Resident & Ratepayer group meetings per year.
- Inform Council of the establishment of a Communications department led ‘What’s New Whangarei’ fortnightly newsletter. The community will be encouraged to sign up to the newsletter. The newsletter can have topic specific engagement information included and can function similarly to the Auckland Have Your Say newsletter.
- Acknowledge the importance of bringing the community along in the journey to develop solutions to complex challenges like climate change. Staff will investigate this further as part of the engagement plan for climate change adaptation.
- Suggest investigation by staff across Strategy and Communications departments into interactive engagement tools including spatial tools that will lift the quality, breadth and depth of engagement across the community. Tools could be ready for the consultation on the Knowledge Hub Precinct Plan and can come out of the OPEX request included in this report. There is also the opportunity to improve the submissions management process which is particularly important for statutory processes and ensuring the Elect
- d Members receive submissions in a timely manner.
- Suggest an internal engagement calendar be developed by staff across Strategy and Communications departments.

Recommendation(s):

That Council:

- a) Acknowledges the submission received and the issues they raise; and
- b) Instructs officers to investigate options for engagement tools

Financial Impact:

No financial impact known at this point.